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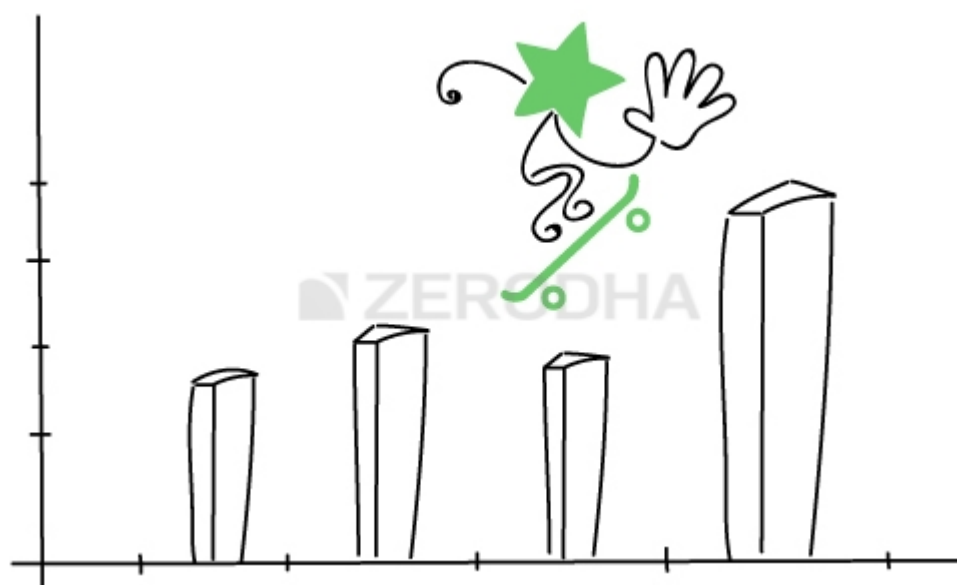
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Module 1. Introduction to Stock Markets

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11. Corporate actions and impact on stock prices

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11.1 – Corporate Actions

Corporate actions are financial initiatives undertaken by a company that results in a change to its stock price. There are different corporate actions that an entity can choose to initiate. A good understanding of these corporate actions gives a clear picture of the company's financial health and determines whether to buy or sell a particular stock.

This chapter will examine the five most important corporate actions and their impact on stock prices. A corporate action is initiated by the board of directors and approved by the company's shareholders.



11.2 – Dividends

Dividends are portions of profits made by the company, which are distributed to the company's shareholders. Dividends are paid on a per-share basis. For example, Infosys recently declared a dividend of Rs.42/- per share, which means you get Rs.42/- as dividend income for every share you own. Suppose you own 100 Infosys shares; you can get $100 \times 42 = \text{Rs.}4,200/-$ as dividend income. The company directly remits the dividends to your bank account (linked to your Demat account). The dividend paid is also expressed as a percentage of the face value. In the above case, the face value of Infosys is Rs.5/-, and the dividend paid was Rs.42/- hence the dividend payout is said to be 840% (42/5).

It is not mandatory to pay dividends every year. If the company feels that instead of paying dividends to shareholders, they are better off utilizing the same cash to fund a new project for a better future, they can do so. Typically, companies in the growth phase (young companies growing fast) choose not to pay dividends but rather to plow back the profits into the business for more growth. However, when the company's growth opportunities slow down and it holds excess cash, it would make sense to reward its shareholders via dividends. Cash with shareholders makes more sense than retaining the cash on the company's book, and distributing the dividends may be the best way forward for the company.

The dividends need not be paid from the profits alone. If the company has made a loss during the year but it holds a healthy cash reserve, it can still pay dividends from its cash reserves.

The company's board members at the Annual General Meeting (AGM) decide whether to pay a dividend. The dividends are not paid right after the announcement. This is because the shares are traded throughout the year, and it would be difficult to identify who is eligible to receive dividends and who isn't. The following timeline would help you understand the dividend cycle.



Dividend Declaration Date: This is the date on which the AGM takes place, and the company's board approves the dividend issue

Record Date: The date the company decides to review the shareholder's register to list all eligible shareholders for the dividend. Usually, the time difference between the dividend declaration date and the record date is 30 days.

Ex-Date/Ex-Dividend date: With the T+1 settlement cycle, the ex-dividend date normally is on the same day as the record date. Only shareholders who own the shares before the ex-dividend date are entitled to receive the dividend. This is because, in India, the equity settlement is on a T+1 basis. So for all practical purposes, if you want to be entitled to receive a dividend, you need to ensure you buy the shares before the ex-dividend date.

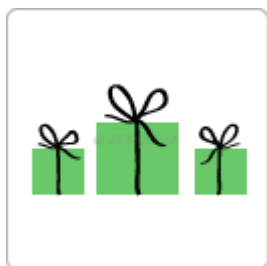
Dividend Payout Date: The date on which the dividends are paid to shareholders listed in the company register.

Cum Dividend: The shares are said to be cum dividends till the ex-dividend date.

When the stock goes ex-dividend, usually, the stock drops to the extent of dividends paid. For example, if ITC (trading at Rs. 335) has declared a dividend of Rs.15. On ex-date, the stock price will drop to the extent of the dividend paid, and as in this case, the price of ITC will drop down to Rs.320. The reason for this price drop is that the dividend amount paid no longer sits on the company's balance sheet; hence the stock price is adjusted. From the balance sheet perspective, dividends paid are considered cash out. Hence the new stock price has to factor in the shrunk balance sheet. Hence the price drops. That said, you will not always notice a significant price drop in the share price.

Sometimes, the company pays out a special dividend. A special dividend is non-recurring and happens on a 'one-time basis.' The special dividends are usually very large payments compared to a regular dividend, and that's when the stock price significantly drops. The drop in stock price should not be considered negative as you would receive a cash payment as a shareholder.

Lastly, dividends can be paid anytime during the financial year. If it's paid during the financial year, it is called the interim dividend. If the dividend is paid at the end of the financial year, it is called the final dividend.



11.3 – Bonus Issue

A bonus issue is a stock dividend allotted by the company to reward the shareholders. In regular dividends, cash is paid out to shareholders, but in a bonus issue, stocks are paid out instead of cash. The bonus shares are issued out of the reserves of the company. The shareholders receive these free shares against shares they currently hold. These allotments typically come in a fixed ratio of 1:1, 2:1, 3:1, etc. In a bonus issue, the stock price declines to the extent of the bonus ratio, but this decline should not be mistaken for a correction in stock price or a fall.

If the ratio is 2:1, the existing shareholders get two additional shares for every share they hold at no additional cost. So if a shareholder owns 100 shares, 200 additional shares will be rewarded. The total holding after the bonus issue will become 300 shares. When the bonus shares are issued, the number of shares the shareholder holds will increase, but an investment's overall value will remain the same.

To illustrate this, let us assume a bonus issue on different ratios – 1:1, 3:1 and 5:1

Bonus Issue	No. of shares held before bonus.	Share price before Bonus issue	Value of Investment	No. of shares post Bonus.	Share price after Bonus issue	Value of Investment
1:1	100	75	7,500	200	37.5	7500
3:1	30	550	16,500	120	137.5	16,500
5:1	2000	15	30,000	12,000	2.5	30,000

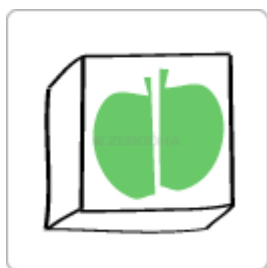
So as you see, in a bonus issue, only the number of shares increases, and your investment value remains the same before and after the bonus issue.

The bonus announcement date, ex-bonus date, and record date are similar to the dividend issue.

Companies issue bonus shares to encourage retail participation, especially when the company's price per share is very high, and it becomes tough for new investors to buy shares. The number of outstanding shares increases by issuing bonus shares, but the share price is slashed, as shown in the example above.

Think about this – fewer retail participants can buy or sell that share if the share price is bloated (I mean just the per-share price here, not the valuation). For example, the share price of MRF Limited is in the region of Rs.90,000 per share. A retail investor has to shell out 90K to buy and invest in 1 share, and this also means a small retail investor, with, say, Rs.25,000 to invest, can never buy MRF. Many retail investors spread the risk across 100s and 1000s of investors as opposed to a few investors. Hence, when the stock price bloats, companies issue a bonus share to slash the stock price without impacting any other financial metric, which is one reason to issue a bonus share.

Why isn't MRF splitting the shares, then? Well, at the end of the day, the decision is solely dependent on the company and I guess MRF is yet to make up their mind or perhaps they just wont indulge in these corporate actions 😊



11.4 – Stock Split

The word stock split sounds weird, but this happens regularly in the markets. What this means is quite literally – the stocks that you hold are split!

Similar to a bonus issue, when the company declares a stock split, the number of shares held increases, but the investment value remains the same. The big difference between a bonus and a split is that in the bonus issue, the face value of the company remains unchanged, but in a stock split, the face value changes. Suppose the stock's face value is Rs.10, and there is a 1:2 stock split, then the face value will change to Rs.5. If you owned one share before the split, you would now own two shares after the split.

We will illustrate this with an example:

Split Ratio	Old FV	No. of shares you own before split	Share Price before split	Investment Value before split	New FV	No. of shares you own after the split	Share Price after the split	Investment value after the split
1:2	10	100	900	90,000	5	200	450	90,000
1:5	10	100	900	90,000	2	500	180	90,000

Like a bonus issue, a stock split encourages more retail participation by reducing the value per share. The dates and timeline (announcement date, ex-date, record date, etc.) are similar to dividend and bonus issues.



11.5 – Rights Issue

The idea behind a rights issue is to raise fresh capital. However, instead of going public, the company approaches its existing shareholders. Think about the rights issue as a second IPO and a select group of people (existing shareholders). The rights issue **could indicate** promising new development in the company,

but this is not always true. As an investor, you need to evaluate the reasons for the right issue and determine if it makes sense. The shareholders can subscribe to the rights issue in the proportion of their shareholding. For example, 1:4 rights issue means for every four shares; the shareholder can subscribe to 1 additional share. The new shares under the rights issue will be issued at a lower price than what prevails in the markets. For example, if a stock is trading at Rs.500 per share, then the right issue could be at a 20% discount, at Rs.400 per share.

However, a word of caution – The investor should not be swayed by the company's discount, but they should look beyond that. A rights issue is different from a bonus issue as one is paying money to acquire shares. Hence the shareholder should subscribe only if he or she is completely convinced about the company's future. It can so happen that after the company announces the right issue, the stock price can go below the right issue price. If the market price is below the subscription price/right issue price, it is cheaper to buy it from the open market.



11.6 – Buyback of shares

A buyback can be seen as a company's method to invest in itself by buying shares from other investors in the market. Buybacks reduce the number of shares outstanding in the market; however, the buyback of shares is an important corporate restructuring method. There could be many reasons why corporates choose to buy back shares...

1. Improve the profitability on a per-share basis
2. To consolidate their stake in the company.
3. To prevent other companies from taking over.
4. To show the confidence of the promoters about their company.
5. To support the share price from declining in the markets.

When a company announces a buyback, it signals the company's confidence in itself. Hence this is usually positive for the share price, but like other things in the market, always evaluate the reasons for the corporate action.

Key takeaways from this chapter

1. Corporate actions have an impact on stock prices.
2. Dividends are a means of rewarding shareholders. The dividend is announced as a percentage of the face value.
3. You must own the stock before the ex-dividend date to get the dividend.
4. A bonus issue is a form of stock dividend. This is the company's way of rewarding the shareholders with additional shares.
5. A stock split is done based on the face value. The face value and the stock price change in proportion to the change in face value
6. A rights issue is how the company raises fresh capital from the existing shareholders. Subscribe to it only if you think it makes sense
7. Buyback signals a positive outlook for the promoters. This also conveys to the shareholders that the promoters are optimistic about the company's prospects.

[1,169 comments](#)1. *Vimal* says:[June 1, 2026 at 12:58 pm](#)

other corporate action like merger, demerger, spinoff not included?

[Reply](#)o *Karthik Rangappa* says:[June 4, 2026 at 11:09 am](#)

No sir, we have not covered this.

[Reply](#)2. *Siddhant Jain* says:[January 11, 2026 at 10:19 pm](#)

I think in the case of a bonus issue, there will be a marginal profit to the shareholder that would be equal to the new face value added.

For example, Company ABC announces a 1:1 bonus issue. If I hold 100 shares of ABC with a face value of 10, and a LTP of 100.

Total shares post bonus issue = 200.

Face value per share = 10 (remains same in case of a bonus issue)

Since, ABC has issued fresh shares, ideally book value should double too (1:1 bonus). Hence, fresh capital is added.

Initial value = $100 \times 100 = 10000$ (100 shares)

Final value = $10000 + 100 \times 10 = 11000$ (200 shares)

New LTP post bonus = $11000/200 = 55$

[Reply](#)o *Karthik Rangappa* says:[January 12, 2026 at 9:37 am](#)

Hey Siddhanth, check this – https://youtu.be/MX-6rdHDPbE?si=poqe93PSKXgL7H_r

[Reply](#)3. *VIPIN KUMAR GUPTA* says:[September 9, 2025 at 9:29 pm](#)

Hi

Pls clarify the Capital gains applicable in this scenario:

I buy a RE from the market at say Rs. 5, and applied for the share against it at Rs. 100.

1. What would be the cost of the share to calculate Capital Gains if I held this share for more than 365 days.

2. Can I calculate STCG on Rs. 5 and LTCG on Rs. 100?

[Reply](#)

4. *Arjun Verma* says:
[September 4, 2025 at 9:31 am](#)

Hi if there is multiple corporate action on same day to same isin

CA will be applies individually to the original quantity ?

or

it will be applied sinquentially?

if siquentially, what will be correct sequence

[Reply](#)

- o  *Karthik Rangappa* says:
[September 4, 2025 at 10:14 am](#)

It will be sequential as per the way the company has suggested.

[Reply](#)

5.  *Prafull* says:
[August 23, 2025 at 1:06 pm](#)

After dividnt announcement stock price is adjusting to (stock – dividnt).

What if I short the stock before dividnt payout date ? Am I get profite ?

[Reply](#)

- o  *Karthik Rangappa* says:
[August 24, 2025 at 8:32 am](#)

Nope, you wont.

[Reply](#)

6.  *Tushar* says:
[June 27, 2025 at 9:29 pm](#)

Suppose Someone buys two lots of a particular stock at two different dates and a fractional allotment due to stock split occurs at a later date. Is it correct that the fractional share will be considered part of the second lot and acquisition price will be the price of the share in the second lot for calculating related capital gain/loss ?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 28, 2025 at 10:22 am](#)

There is nothing like buying in lots for EQ. You can buy any many shares as you\'d want. If there is a fractional shares, that will be cash settled.

[Reply](#)

-  *Tushar* says:
[June 28, 2025 at 11:48 pm](#)

Thanks for your quick and helpful response. Let me modify my question. Suppose Someone buys two shares of a particular stock at two different dates and a fractional allotment due to stock split occurs at a later date. Is it correct that the fractional share will be considered part of the second share (and not a part of the first share) and acquisition price will be based on the price of the second share while calculating related capital gain/loss ?

[Reply](#)

-  *Karthik Rangappa* says:
[June 30, 2025 at 10:16 am](#)

No, your corporate action benefit (which may result in fractional) is not dependent on the price you buy. All depends on the quantity you hold.

[Reply](#)

7.  *Akshit Das* says:
[June 11, 2025 at 2:14 pm](#)

Just asking this out of curiosity. If the share prices fall after the ex-date, then should I short sell my shares to book a profit equal to the dividend? Using GTT of course.

[Reply](#)

-  *Karthik Rangappa* says:
[June 13, 2025 at 9:31 am](#)

The prices are adjusted to dividends and whatever other corporate action, Akshit.

[Reply](#)

8.  *Tap Mistry* says:
[May 24, 2025 at 10:54 am](#)

First of all, thank you for giving free education and knowledge of Finance.

I have a question. What if the company announces the bonus issue 3:2 and I have 3 shares before bonus, then how many additional shares will I get ?

Mathematically, I will get 4.5 additional shares after the bonus, but the Indian Stock Market doesn't operate in fractional quantities.

So, how can justice be served?

[Reply](#)

-  *S K R* says:
[May 24, 2025 at 11:11 am](#)

I have experienced two scenarios.

- (1) Fractional part is simply ignored and the investor is at a loss. Not commenting on the justice part.
- (2) The company moves all the fractional entitlements to another account, sell them, and distributes the amount (after deductions (applicable taxes and expenses)). I have experienced this with amalgamation, demerger.

[Reply](#)

-  *Karthik Rangappa* says:
[May 25, 2025 at 11:27 am](#)

You get the amount right, its not taken away from investors.

[Reply](#)

-  *Karthik Rangappa* says:
[May 25, 2025 at 11:25 am](#)

Yes, fractionals is not allowed. You will get the funds equivalent to the fractional shares to your bank.

[Reply](#)

9.  *Sandeep A* says:
[May 8, 2025 at 1:42 pm](#)

I bought some shares of 'Ease My Trip' on 7/02/24 and again on 8/04/24, under MTF.

The company issued bonus shares on 3/12/24.

My bonus shares got credited to my cash delivery portfolio.

Now, there stands a huge discrepancy in the rates of 'Ease My trip', reflecting in my account.

The MTF positions and my delivery portfolio in which the bonus got credited show different purchase rates.

What is the standard practice generally in this kind of situation ? Else all MTF positions on corporate action dates will lead to huge losses for the share holder.

Kindly advise.

[Reply](#)

-  *Karthik Rangappa* says:
[May 9, 2025 at 10:09 am](#)

Have you created a ticket for this?

[Reply](#)

-  *Sandeep Agarwal* says:
[May 20, 2025 at 2:17 pm](#)

Hello Karthik !

What would you mean by raising a ticket ? Im not really aware of this ! If it implies raising the issue with SEBI, yes I have. However, I have not yet heard from the grievance team.

[Reply](#)

-  *Karthik Rangappa* says:
[May 21, 2025 at 9:55 am](#)

Not SEBI Sandeep, but with the broker. They will be able to help you with this and guide you on what the issue is, and if there is a resolution for it.

[Reply](#)

-  *Akshit Das* says:
[June 11, 2025 at 2:17 pm](#)

Hello Mr. Agarwal,

Do you have any updates? I'm very intrigued to see your case.

I hope I'm not bothering you.

Thank you

[Reply](#)

10.  *Bhavesh* says:
[March 20, 2025 at 3:43 pm](#)

21st March 2025 (Friday) is ex-date / record date for getting dividend for NMDC. If I buy NMDC shares today, i.e. 20th March 2025 (Thursday), am eligible for getting dividend?

[Reply](#)

-  *Karthik Rangappa* says:
[March 21, 2025 at 9:55 am](#)

Yes, the only situation where you won't is if the stock was short delivered.

[Reply](#)

11.  *Ruchi Jha* says:
[March 8, 2025 at 1:05 am](#)

I do not understand the difference btw the share price and face value of the share.

[Reply](#)

-  *Karthik Rangappa* says:
[March 8, 2025 at 12:43 pm](#)

Share price is the market price determined by the market and face value is notional value assigned at the time starting the company.

[Reply](#)

-  *Raj Shah* says:
[May 9, 2025 at 11:01 pm](#)

I read a bit about the face value online but still could not understand the use case/exact meaning of this number? Let's say it's my company – can you explain two scenarios – where my face value is 5 rs and I issue 100 shares vs my face value being 10 rs and I issue 50 shares. How would it make a difference to me in the long term? I understand that dividend is said as a percentage of face value but then again, it could be 200% or 400%, at the end the exact number of rupees would matter right? So how exactly does face value change anything in the accounting books of the company.

Thank you for creating the content btw – really nice reads for a beginner like me 😊

[Reply](#)

-  *Karthik Rangappa* says:

[May 11, 2025 at 9:30 am](#)

In both cases, the share capital remains the same. You need to assign a notional value to the company you create and assign shares to all shareholders, hence you need some face value to begin with 😊

[Reply](#)

12.  *Shivraj Kawale* says:
[March 7, 2025 at 6:11 pm](#)

Thank you so much for clear details explanation.
It is clear and understandable to gain knowledge.

[Reply](#)

- o  *Karthik Rangappa* says:
[March 8, 2025 at 12:42 pm](#)

Glad you liked it. Happy learning 😊

[Reply](#)

13.  *Venkatagiri jois* says:
[February 17, 2025 at 8:14 pm](#)

What is the implication of buyback in the hands of investor? The difference between cost and buy back price is treated as dividend or entire proceeds? What is the portion taxed as normal income and the amount ltcg or stcg as the case may be?

[Reply](#)

- o  *Karthik Rangappa* says:
[February 18, 2025 at 10:48 am](#)

Check this – <https://incometaxindia.gov.in/Documents/Left%20Menu/AOP-Income-from-capital-gains.htm>

[Reply](#)

14.  *Tulsi Tankha* says:
[January 31, 2025 at 7:55 pm](#)

Hello sir,

1. In rights issues, do we get fresh allotment of shares?
2. In stock split, by reducing the FV, the company increases the total number of authorized shares, whereas in other cases they just try to increase the number of shares in circulation within the authorized capital limit.

I hope I have mentioned it correctly.

Thank you.

[Reply](#)

- o  *Karthik Rangappa* says:
[February 1, 2025 at 9:15 am](#)

- 1) Yes
- 2) Yes

You got that right.

[Reply](#)



15. *Laji* says:

[January 24, 2025 at 8:51 pm](#)

I have 150 Wipro stocks purchased in 2022. So if I sell Profit/Loss will come as LTCG. Stock split happened on 03.12.2024 and I got 150 share as bonus. What will be the tax implications when I sell all 300 Shares?

[Reply](#)



o *Karthik Rangappa* says:

[January 25, 2025 at 9:21 am](#)

Please do check this – <https://zerodha.com/z-connect/varsity/fy-23-24-how-are-dividends-bonuses-splits-buy-backs-and-mergers-of-shares-taxed>

[Reply](#)



■ *Shibu* says:

[March 30, 2025 at 10:42 pm](#)

Thanks Karthik for curating Varsity. This is a wonderful resource to learn about Stocks! After reading the link on tax implications, I have a question. There, for the stock split example (5:1), it's mentioned for every 1 stock, you get 5 stocks. However, here (under 11.4 – Stock Split), it mentioned 1:2. Should not it be 2:1 to get 2 additional stocks for the existing 1 share?

[Reply](#)



■ *Karthik Rangappa* says:

[March 31, 2025 at 10:19 am](#)

My bad, the way to read this would 2 for 1 or 5 for 1. So 11.4 is sort of a typo, will fix it 😊

[Reply](#)



16. *Kumari rinka* says:

[January 20, 2025 at 1:45 am](#)

Sir i have questions regarding bonus share. Suppose i have 100 share holding on ex-date. Company announced 5:1 bonus share, means i got 500 additional share total 600 share but that additional share not yet delivered in my demate account

Question

1- if i buy more 100 qty before bonus share get what is avg buying value?

2 as per FIFO process my old share buying value high if i sold 1st 100 share does my account will ship loss?

3 what is your recommendation if i feel company performance not good after get bonus share my avg buying value less should i sell my old stock before got new bonus share in my demate account?

[Reply](#)

- o  *Karthik Rangappa* says:
[January 20, 2025 at 12:18 pm](#)

- 1) This will be the weighted avg price of both the buys.
- 2) The P&L will be calculated based on FIFO
- 3) As I mentioned, its as per the buy avg

[Reply](#)

17.  *Dhiraj* says:
[January 15, 2025 at 3:01 pm](#)

Hi.

Could you pls resolve the undermentioned queries pls.

1. Ratio of bonus is 2:1. Suppose i hold a stk – qty 100, before the record date and sold half my holding after the record date. Say 50 shares is sold and 50 is held. The credit of bonus issue and price adjustment is not yet happened. Will i be eligible for credit of bonus issue of 200 share. Pls clarify.

[Reply](#)

18.  *Vaishakh* says:
[January 12, 2025 at 10:38 am](#)

Dear Karthik sir,

Good morning to you, reading through the varsity contents 3rd time, after a gap of 2 years. Thank you so much for all your efforts to educate us financially. I've committed to be a life long learner, hence VARSITY is a true GEM of India.

A doubt: Lets say Reliance is now trading at Rs. 1300, I shorted CE of Rs. 1350 of this month or next month expiry. Now between these period if the bonus issue (2:1) or stock split (1:2) happens, then the share price would become Rs. 650. In that case, how will my Call writing position would appear ? With the change in Stock price, will the exchanges also changes the Options Strike price & premiums of existing open positions ?

Thank You !

[Reply](#)

- o  *Karthik Rangappa* says:
[January 13, 2025 at 9:20 am](#)

Vaishakh, welcome back 😊

Regarding your query, check this – <https://youtu.be/MX-6rdHDPbE?si=WGvBIzhd1ZBDtslU>

[Reply](#)

19.  *Ram* says:
[January 9, 2025 at 11:46 pm](#)

While I'm calculating returns for a particular stock with past bonus issues, I believe I am to multiply the (restated post bonus) price increase with the addition in number of shares.

So if a 100\$ stock gets a bonus of 1:1, I now have two shares of 50\$ each.

Let's say over time, the (restated price) goes up to 200\$, the returns would not just be 4X, but 8X as we have to account for the additional shares received.

Not sure if I'm correct so far, but if I am the next part gets more confusing.

On screener.in, say for GAIL, the 10 year CAGR is shown as 9%.

But they have had 4 bonuses since, 1:3, 1:3, 1:1 and 1:2. I assume this means we multiply whatever return we get from the (adjusted) stock price increase by 5.333, meaning we get a CAGR very different from the one given.

Which one is the correct figure if one bought into GAIL in 2015? If I am wrong, please tell me how. I tried solving this on my own, but after many google searches, I am still confused and I didn't know whom to approach. Please help.

[Reply](#)



- o *Karthik Rangappa* says:
[January 10, 2025 at 8:27 am](#)

Think about it – when any corporate action is announced, the price gets restated and so does the investment value. So what happens from here on is considered fresh. Going by your logic, if a stock falls by 50% post bonus, then you don't lose 100% right? You only lose to the extent of loss i.e. 50%.

Actually there is a video on this, please check – <https://youtu.be/MX-6rdHDPbE?si=Uk9g6qh7pUayY34H>

[Reply](#)



- 20. *Soham* says:

[December 11, 2024 at 11:56 pm](#)

When company declares that it will give an interim dividend, how does it affect on stock price next day ?

[Reply](#)



- o *Karthik Rangappa* says:
[December 12, 2024 at 11:27 am](#)

Not much for small valued dividends.

[Reply](#)



- 21. *Shivansh Agarwal* says:

[November 21, 2024 at 12:28 am](#)

Yes, the definition for special dividend has been changed. It is now classified as a payout exceeding 2% of the company's market capitalisation.

Regarding your response, while you highlighted the positive perception of dividends and their impact on demand and share price. I would like to know any plausible reason for the below two questions.

1. Why were the November futures (₹251.3) trading at a premium to the cash price (₹250.65) on November 18, even though the stock was about to go ex-dividend the next day i.e. 19th November?

2. In case of special dividend, shareholders receive a dividend but the share price adjusts downward by the same amount, Futures prices are also adjusted for dividends, so what is the practical difference between being a shareholder and holding futures in this scenario?

[Reply](#)

- o  *Karthik Rangappa* says:
[November 21, 2024 at 8:14 am](#)

1) The only explanation is the demand supply dynamics. Also, you can dig deeper to figure what is the usual spread b/w the spot and Fut, and put the spread of 0.65 in perspective.

2) As a share holder you are entitled for not just receiving the current special dividends, but also all future dividends plus other corporate actions. That is not possible with Fut right?

[Reply](#)

22.  *Shivansh Agarwal* says:
[November 19, 2024 at 3:57 pm](#)

How does a special or extraordinary dividend affect the share price and its derivatives?

ONGC announced a special dividend of ₹6, with the ex-date being November 19.

On the day before the ex-date (November 18), the November futures (₹251.3) were still trading at a premium to the cash price (₹250.65). What explains this discrepancy?

Additionally, since the share price decreases by the dividend amount (in this case, ₹6), how do shareholders benefit? If the share price drops by ₹6 and they receive ₹6 as a dividend, what is the net advantage? Similarly, with futures prices also adjusted for the dividend, what is the difference between being a shareholder and holding futures?

[Reply](#)

- o  *Karthik Rangappa* says:
[November 20, 2024 at 6:45 am](#)

Few things –

1) Dividends are perceived as a positive thing, so many ppl want to buy the shares before the dividend. Hence demand is high, therefore the stock price tends to increase

2) On a immediate basis the shareholders will see a dip in share price, but that is offset by the dividend. But overall outlook is considered positive. The perception, is one of the big advantages.

Also are you sure this is a special dividend? I think special dividend is when the payout is more than 5% of the share price.

[Reply](#)

23.  *DILEEP JOSHI* says:
[November 1, 2024 at 2:49 am](#)

I have a question

how “Share price before Bonus issue” is decided
is it last traded price on record date

or

last traded price before announcement of bonus issue

or

?????

in short what is the formula used for adjustment of share price ?

[Reply](#)

- o  *Karthik Rangappa* says:
[November 1, 2024 at 12:04 pm](#)

Do check this Dileep – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=8>

[Reply](#)

24.  *Prakhar* says:
[October 22, 2024 at 8:08 pm](#)

Hi Karthik,
Firstly, what an amazing resource you guys have created. Wonderful. I think the comments section adds almost as much value, if not more, to the chapter. Cheers.

While this question has been asked before, I didn't see an explanation that a records more an answer that represents the procedural nuances of adjustment for corporate actions. I wanted to clarify whether the procedure followed for adjustment of historical data at Kite follows the standard backward convention(for there is also a forward adjustment procedure that people use that has its merits and demerits).

The reference I use is : <https://blog.data.nasdaq.com/the-comprehensive-guide-to-stock-price-calculation>

For the benefit of others:

1. For dividends:

Adj. Factor = (Close Price on Ex.date + Div. per share)/(Close price on Ex.date) then divide all previous unadjusted close prices by the adj. factor.

2. For Bonus:

Adj. Factor = (No. of Shares after/No of Shares before) then divide all previous unadjusted close prices by the adj. factor.

3. For Splits(incl. reverse):

Same as Bonus

Could you confirm the above? Thank you.

[Reply](#)

- o  *Karthik Rangappa* says:
[October 23, 2024 at 10:14 am](#)

Hi Prakhar, thanks for the kind words. Yes, the comments sections does add a lot of value 😊

I actually have a video around this, please do check – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=8>

[Reply](#)

25.  *nik* says:
[October 21, 2024 at 1:32 am](#)

I didn't understand the motivation behind the bonus share

[Reply](#)

- o  *Karthik Rangappa* says:
[October 21, 2024 at 9:52 am](#)

Motive is to give the shareholders more number of shares.

[Reply](#)

26.  *angeline* says:
[October 16, 2024 at 6:33 pm](#)

dear karthik

Thank youIf share price goes down due to bonus shares, will it go down to half. as bonus share is 1:1. I invested in reliance (I am senior citizen grappling in the stocks but only with well known and top companies). do i see the benefit only if dividends are paid in future or if the stocks go up after hitting the corrected price. Sorry not able to use technical jargon but genuine concern. Say i bought reliance industries at 3000 rs per share it has dropped to 2700 now. When will things at least be ground zero for me

[Reply](#)

- o  *Karthik Rangappa* says:
[October 17, 2024 at 9:33 am](#)

The share price will go down in case of a bonus issue, but at the same time, the number of shares also increases. So net net, your investment value will remain the same.

[Reply](#)

27.  *Mausam* says:
[October 4, 2024 at 3:22 am](#)

Let's say I buy one share of XYZ Company one day before the Record Date (for dividend). Since settlement happens on T + 1, technically, at the end of the day before the Record Date, I do not own the share. In that case, I shall not be eligible for the dividend. Right?

[Reply](#)

- o  *Karthik Rangappa* says:
[October 4, 2024 at 3:28 pm](#)

The idea is to ensure you have fully settled shares before the record date. So yes, in this case you wont be.

[Reply](#)

28.  *SAKTHI S* says:
[September 28, 2024 at 11:51 am](#)

The company announced the dividend to be paid for this financial year at the annual general meeting, recognizing that a significant group of retail investors could invest heavily in shares before the report date. This allows them to qualify for the dividend, enabling them to potentially profit from the news of the annual general meeting. Is this scenario feasible in the real market?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 29, 2024 at 9:23 am](#)

Yeah, why not. This is legit 😊

[Reply](#)

29.  *Chinmaya Adiga* says:
[September 17, 2024 at 8:30 pm](#)

Excellent content Karthik Sir,

Just wanted to know that as a company, I only get money from the shareholders when the company goes public and after that if the price of the stock goes up, the market cap of my company goes up and therefore the value of my percentage in the company also goes up.

However, why should I give a dividend and hurt the books and reserves of my company and why do some companies keep giving dividends??

[Reply](#)

- o  *Karthik Rangappa* says:
[September 18, 2024 at 10:25 am](#)

Thanks!

You give dividends to distribute your profits with shareholders. End of the day, when the company earns a profit, it should either invest in growth so that it can earn higher profits in future, or if there is no growth, the company should distribute it with its shareholders so that they can utilize the funds better.

[Reply](#)

30.  *Niharika* says:
[September 8, 2024 at 1:30 am](#)

Hello,

Can you please explain how a bonus issue impacts equity share capital of a company? I know it has to increase if FV has to remain same, but how? Does that mean Authorized Capital of company increases? Or that bonuses can be issued only if Issued capital < Authorized Capital. Or does none of this matter?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 8, 2024 at 10:19 am](#)

You can check this detailed video – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=8>

[Reply](#)

31.  *Shyam* says:
[September 6, 2024 at 8:50 am](#)

Sir, bonus issue is a surplus profit in company that want to give to its shareholders in place of cash. but after the issue the price of that share reduce to the extent to the bonus ratio. Then what is the benefits of shareholders?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 6, 2024 at 11:22 am](#)

The shareholders tend to get more number of shares. Thats it 😊

[Reply](#)



32. *prayash* says:

[August 27, 2024 at 3:26 pm](#)

i didnt understand stock split.

[Reply](#)



o *Karthik Rangappa* says:

[August 28, 2024 at 9:30 am](#)

You can check this – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JsklEq1JFGbG6qJ&index=8>

[Reply](#)



33. *Ashish Ranjan* says:

[August 22, 2024 at 11:15 am](#)

You should also add “Demerger” as a separate line item as well.

Anyways keep enlightening us with authoritative content.

[Reply](#)



o *Karthik Rangappa* says:

[August 23, 2024 at 10:44 am](#)

Thanks, Ashish. Happy learning 😊

[Reply](#)



34. *Ranjana* says:

[August 12, 2024 at 11:23 am](#)

My question is regarding right issue....

I have got RE for tataconsumer...

Wanted to exercise my RE for buyingwhat would be the procedure.....

Thanks

[Reply](#)



o *Karthik Rangappa* says:

[August 13, 2024 at 10:56 am](#)

Check this Ranjana -<https://www.youtube.com/watch?v=m7U4liUJAkE>

[Reply](#)



35. *Dinesh K N* says:

[July 20, 2024 at 1:53 pm](#)

Hi, I received 6 Bonus shares of OIL and sold it on the same day. The Tradebook report shows the transaction, however I cannot see it in the P&L report. Please advise why this is so and also can you please confirm if the sale proceeds has been credited to my account? If not, when it will be done?

[Reply](#)

- o  *Karthik Rangappa* says:
[July 21, 2024 at 8:33 am](#)

I'd suggest you check with the support desk for this, Dinesh.

[Reply](#)

36.  *shahiskant bivare* says:
[June 30, 2024 at 3:30 pm](#)

Can any one describe about the proxy vote of corporate action

[Reply](#)

- o  *Karthik Rangappa* says:
[July 1, 2024 at 12:20 pm](#)

As a shareholder, you can choose to vote on company matters.

[Reply](#)

37.  *Raja* says:
[June 14, 2024 at 11:38 am](#)

How a 14:48 bonus will be issued, if I have 40 Shares Only?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 15, 2024 at 10:30 am](#)

The balance will be paid in cash.

[Reply](#)

38.  *Dharm* says:
[June 8, 2024 at 4:46 pm](#)

Hello Karthik,

If there is rights issue of 1:4 for a company, that means number of outstanding shares are increasing for a company. If so that means a shareholders losing their value because company net income is same but number of outstanding shares increased due to rights issue. Is it correct?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 9, 2024 at 9:51 am](#)

On an immediate basis, yes, you can think of it that way. But the idea is that the company is expected to do well, create more free cashflow, and therefore reward all the shareholder in the future.

[Reply](#)

39.  *Jayesh Agrawal* says:
[June 8, 2024 at 3:46 pm](#)

Hello Karthik,

Please explain where does extra shares come from in bonus issue?

In a split we understand that the share is diluted by decreasing the face value but in bonus issue the face value is remaining same so how are new shares created ?

[Reply](#)



- o *Karthik Rangappa* says:
[June 9, 2024 at 9:44 am](#)

Check this Jayesh – <https://www.youtube.com/watch?v=MX-6rdHDPbE>

[Reply](#)



40. *Ramaa* says:
[June 3, 2024 at 2:24 pm](#)

is there any option to check all corporate action stock details ?

[Reply](#)



- o *Karthik Rangappa* says:
[June 4, 2024 at 9:39 am](#)

Please do check the fundamental page of the stock.

[Reply](#)



41. *Bhagawan Sahay* says:
[May 25, 2024 at 4:44 pm](#)

can any one tell me why share price of vsf projects fall from 127 to 72 on right issue record date 24 may 2024? this is first time when i bought a right issue share and before the record date i was in profit about 15k and not my portfolio is showing loss 16k. plz can any one clarify i am in profit or loss

[Reply](#)



- o *Karthik Rangappa* says:
[May 26, 2024 at 9:13 am](#)

Check this – <https://www.youtube.com/watch?v=m7U4liUJAkE>

[Reply](#)



42. *Yaqoot* says:
[May 20, 2024 at 10:31 pm](#)

Another query related to bonus issue would be: why is there a need for the company to use their reserves to issue bonus share?: investment value is unchanged before and after.

[Reply](#)



- o *Karthik Rangappa* says:
[May 21, 2024 at 10:13 am](#)

Thats a balance sheet rearrangement, thats it.

[Reply](#)

43.  *Yaqoot* says:
[May 20, 2024 at 9:19 pm](#)

Hi Karthik,

While the rationale for issuing bonus share seems sound, why would companies decrease their EPS by issuing additional shares? I sense there are many factors at play here but could you pls help highlight how these factors are tugging at each other to make a company decide in favor of diluting their EPS?

[Reply](#)

- o  *Karthik Rangappa* says:
[May 21, 2024 at 10:09 am](#)

It is a way of rewarding the shareholders. While the EPS may reduce on an immediate basis, companies see this as a way to make their stock price more liquid, attract more investors, and improve EPS over time etc.

[Reply](#)

44.  *Poonam Talwar* says:
[May 18, 2024 at 1:45 pm](#)

Dear Karthik sir,

Kindly let me know how to get an reply of mail from Zerodha. Help

[Reply](#)

- o  *Karthik Rangappa* says:
[May 19, 2024 at 8:55 am](#)

Have you created a ticket?

[Reply](#)

45.  *Paul* says:
[April 7, 2024 at 1:52 pm](#)

On the kite platform, the prices that are shown are the LTP values, right? Is there a way to see the market value?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 8, 2024 at 4:48 am](#)

LTP is the latest market value, Paul.

[Reply](#)

46.  *Paul* says:
[April 6, 2024 at 7:34 pm](#)

I am slightly confused between the market value of a stock and the LTP of the stock. Do they mean the same?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 7, 2024 at 3:57 am](#)

Market value is the price of a stock in the stock market.
LTP is the last traded price of at the time you are looking at the stock.

[Reply](#)

47.  *Chirag* says:
[March 26, 2024 at 10:51 am](#)

What happened to shares when company invests more across business units ?
Will it affect company in any way ?

[Reply](#)

- o  *Karthik Rangappa* says:
[March 27, 2024 at 8:57 am](#)

Yes, investing implies cash position changes, and that impacts the share price as well.

[Reply](#)

48.  *Aryan* says:
[March 23, 2024 at 9:51 pm](#)

most of these actions do not affect the money i hold in the company right?
So like these numbers always work in ratio so it does not affect my portfolio ?

[Reply](#)

- o  *Karthik Rangappa* says:
[March 24, 2024 at 9:23 am](#)

Not really. If you are concerned about the value of your investment, then it remains the same and does not really change post corporate action.

[Reply](#)

49.  *Tanush* says:
[March 12, 2024 at 12:01 pm](#)

Can you please explain why will stock price adjust to the amount of dividend paid?

[Reply](#)

- o  *Karthik Rangappa* says:
[March 12, 2024 at 12:15 pm](#)

Cash out of the balance sheet, therefore the stock price gets adjusted to reflect the new cash position of the company.

[Reply](#)

50.  *Balakrishnan* says:
[March 6, 2024 at 11:00 pm](#)

South Indian Bank rights ent

[Reply](#)51.  *mohit* says:[March 5, 2024 at 12:44 pm](#)

but kartik , when bonus issue of shares happens . price range of a share shoul also decrease na . bcz number of shares are increased in the market ?

[Reply](#)o  *Karthik Rangappa* says:[March 6, 2024 at 9:58 am](#)

Of course, price is proportionately decreased.

[Reply](#)52.  *SD* says:[February 13, 2024 at 10:27 pm](#)

Hello sir, thank you for your reply but you are not understanding my questions properly. Here is my question, read my questions carefully before answering.

Question 1: A company announces a **3:5 stock split** and **I hold only 1 share** of that company, in this case, how many shares will I get after the stock split and how will it be calculated and how will the share price change in my portfolio?

Question 2: A company has announced a **bonus issue** in the ratio of **2:3** and **I hold only 1 share** of that company, in this case, how many shares will I get after the bonus issue and how will it be calculated and how will the share price change in my portfolio?

[Reply](#)o  *Karthik Rangappa* says:[February 14, 2024 at 11:27 am](#)

Ah sorry, my bad.

So if you hold partial shares, like in the case you've stated, then you will be cash settled based on how many shares you hold. For example, here – you are getting 3 shares for every 5 shares you hold, so in the same ratio, you will get cash for the 1 share you hold. This is the same for all corporate action.

[Reply](#)53.  *Mahesh* says:[February 13, 2024 at 8:37 pm](#)

After issue of bonus shares stock price is reduced so value of profile will be reduced right so how it is helpful for the investor

[Reply](#)o  *Karthik Rangappa* says:[February 14, 2024 at 11:25 am](#)

Not really, your investment value will remain the same.

[Reply](#)

54.  *K M S SWARUPANANDA* says:
[February 13, 2024 at 12:30 pm](#)

I want to buy 10 rights issue equity shares.

[Reply](#)

- o  *Karthik Rangappa* says:
[February 14, 2024 at 11:19 am](#)

Sure, you can apply for it online.

[Reply](#)

55.  *SD* says:
[February 12, 2024 at 9:40 pm](#)

I have already watched this video twice, it is a very good and informative video but I didn't get my answer.

I want to know how many shares I will get after the bonus and split issue if I hold only 1 share in both the above-mentioned scenarios how will it be calculated and how will the share price change in my portfolio?

I would like to know the calculation in case of holding only 1 share in both of the above-mentioned situations.

Before giving any answer read my doubts again and if possible explain here.

[Reply](#)

- o  *Karthik Rangappa* says:
[February 13, 2024 at 5:41 am](#)

Ok. Let say you hold 1 share and the company decides a bonus of 5 shares for every 1 shares you hold. Then you will get 5 shares as bonus, plus you already have 1 shares, so your total shares will be $1+5 = 6$. Here share price if it was 100 before bonus, it now becomes 16.6 and your value investment remains the same before and after i.e 100.

If it was a 1:2 split, then your 1 shares will become 2. Here if the share price is 100, then post split it becomes 50.

[Reply](#)

56.  *SD* says:
[February 11, 2024 at 11:03 pm](#)

Hello sir, I have 2 doubts,

Doubt 1: A company announces a 3:5 stock split and I own only one share of that company, in this case, how many shares will I get after the stock split and how will it be calculated and how will the share price change?

Doubt 2: A company has announced a bonus issue in the ratio of 2:3 and I own only one share of that company, in this case, how many shares will I get after the bonus issue and how will it be calculated and how will the share price change?

[Reply](#)

- o  *Karthik Rangappa* says:
[February 12, 2024 at 5:48 am](#)

Check this, I've explained both the cases here – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=8>

[Reply](#)

57.  *Manya* says:

[February 2, 2024 at 12:33 pm](#)

Amazing content....very helpful. Cannot thank you enough team zerodha for providing such valuable knowledge at free of cost.

[Reply](#)

o  *Karthik Rangappa* says:
[February 3, 2024 at 7:35 am](#)

Happy learning, Manya! Glad you liked the content here on Varsity 😊

[Reply](#)

58.  *Mithilesh* says:

[February 1, 2024 at 2:35 pm](#)

Yesterday the closing price of Indiabulls housing finance was around 222 rs. And when I opened my account, the share price was adjusted to Rs.198 , Today, 1st Feb 2024 , ex date for Rights issue. Still I am not able to understand this adjustment in the share price?why? Incase of dividend adjustment it is understandable but not in rights issue. Kindly clarify. Thanks in advance

[Reply](#)

o  *Karthik Rangappa* says:
[February 2, 2024 at 10:35 am](#)

Please check this – <https://zerodha.com/z-connect/tradezerodha/everything-you-need-to-know-about-rights-entitlements>

[Reply](#)

59.  *jesh* says:

[January 22, 2024 at 2:14 pm](#)

hi, if a company ex xyz wants to buy back its share i.e 17000 shares. what if they are not able to buy back all 17000?
hope you understood

[Reply](#)

o  *Karthik Rangappa* says:
[January 23, 2024 at 9:10 am](#)

Well, then it remains as an unsuccessful buyback.

[Reply](#)

60.  *jesh* says:

[January 22, 2024 at 1:44 pm](#)

If someone bought shares of BEL yesterday (27th SEPT). will the shares be delivered with price adjusted for ex bonus. I mean deliveries for BEL yesterday were at 60% so all those who bought were already aware that tomorrow price will go down 10%.. so why they'd take such a risk ? could you please explain this

[Reply](#)



- o *Karthik Rangappa* says:
[January 23, 2024 at 9:10 am](#)

There is no risk right? In any corporate action, the value of your investment will not change. What changes is the number of shares.

[Reply](#)



61. *Shibin TP* says:

[January 6, 2024 at 2:36 pm](#)

Thanks for sharing such valuable information. If the x company is announcing buyback shares, let's assume I have some shares of the x company. How can I sell that share to the x company? Because if I sell the shares, how will I know this x company has got the shares?

[Reply](#)



- o *Karthik Rangappa* says:
[January 7, 2024 at 9:42 am](#)

Here you go, Shibin – <https://support.zerodha.com/category/trading-and-markets/corporate-actions/articles/how-do-i-apply-for-buy-back>

[Reply](#)



62. *Rahmat ali* says:

[December 15, 2023 at 3:01 pm](#)

Hello

[Reply](#)



- o *Karthik Rangappa* says:
[December 16, 2023 at 10:56 am](#)

Hey, whats up 😊

[Reply](#)



63. *Ankush S* says:

[December 10, 2023 at 2:00 pm](#)

If Ex-date is 10th July, by which date, I should buy shares to get dividends or similar benefits? on 9th July or 10th July OR T day or T+1 day.? Here 9th July is T day and 10th July is T+1

[Reply](#)



- o *Karthik Rangappa* says:
[December 11, 2023 at 9:22 am](#)

Look for the record date and ensure you have the shares in your account on or before the record date.

[Reply](#)

64.  *Sujo Thomas* says:
[November 22, 2023 at 10:08 am](#)

As thousands of people refer the Zerodha varsity documents as their bible for trading, you should keep these documents up-to-date.

\"Ex-Date/Ex-Dividend date: The ex-dividend date is normally set two business days before the record date. Only shareholders who own the shares before the ex-dividend date are entitled to receive the dividend. This is because, in India, the equity settlement is on a T+2 basis.\"

This has changed long time back.

[Reply](#)

o  *Karthik Rangappa* says:
[November 23, 2023 at 11:02 am](#)

Thanks for pointing this, Sujo. Will fix it.

[Reply](#)

65.  *Vaibhav* says:
[November 2, 2023 at 11:51 pm](#)

I'm still confused about ex dividend share price dip

Is it something which the stock exchange adjust at their discretion or is this because of sale volume that might arise ex dividend i.e. kinda price discovery?

[Reply](#)

o  *Karthik Rangappa* says:
[November 3, 2023 at 7:56 am](#)

Do check this – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=8>

[Reply](#)

66.  *Neethu* says:
[October 24, 2023 at 6:27 am](#)

Hi Karthik,

Can u please explain – how a buy back can prevent other co. from taking over, isn't buyback a choice left to shareholders. if the shareholder doesn't subscribe to buyback then it can still take over the co.?

[Reply](#)

o  *Karthik Rangappa* says:
[October 24, 2023 at 10:15 am](#)

Buy back is a choice for the shareholders, not necessary that they need to participate. Buyback is not a medium to takeover a company.

[Reply](#)

67.  Chandramouli KS says:
[October 12, 2023 at 11:48 am](#)

Sir, my question is regarding issue of Bonus Shares. I have been observing that before the announcement of bonus issue, particular share price will be on the rise atleast 2-3 months prior to announcement. How does the market knows news of bonus issues in advance? Is it similar to insider trading?

[Reply](#)

- o  Karthik Rangappa says:
[October 13, 2023 at 8:41 am](#)

Bonues are announced well in advance.

[Reply](#)

68.  Vedic Investor says:
[October 12, 2023 at 5:58 am](#)

Hi Karthik

Thanks for sharing the knowledge.

I have one question. Isn't the equity settlement date is $T + 1$?

In the Dividend section, it is written $T + 2$?

[Reply](#)

- o  Karthik Rangappa says:
[October 12, 2023 at 10:43 am](#)

Checking this, thanks for pointing.

[Reply](#)

69.  Raghu Ram says:
[October 9, 2023 at 12:45 am](#)

Hi karthik sir,

Little bit confused with adjustment of dividend from Stock price

As you have mentioned, price is not adjusted for ordinary dividends and adjusted for only special dividend!!!!

Can you please elaborate further Sir!!

Thanks

[Reply](#)

- o  Karthik Rangappa says:
[October 9, 2023 at 9:45 am](#)

Do check this – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=8>

[Reply](#)

70.  Adithya says:
[October 6, 2023 at 11:57 pm](#)

As Billie Eilish says in Bad Guy – \”Duh\”

[Reply](#)

o  Karthik Rangappa says:
[October 7, 2023 at 8:22 am](#)

Yeah, I love that song 😊

[Reply](#)

71.  Adithya says:
[October 5, 2023 at 8:27 am](#)

Thanks for your reply Karthik!

What you’ve mentioned seems more like a disadvantage from a stock market perspective.

As a business, what’s the advantage MRF is seeking by having more higher price shares? Doesn’t this imply they are confident in their business that they don’t need any more investors in the business?

Thanks!

[Reply](#)

o  Karthik Rangappa says:
[October 5, 2023 at 9:19 am](#)

Capital appreciation in share price is what everybody (promoters, share holders) aspire for right 😊

[Reply](#)

72.  Adithya says:
[September 30, 2023 at 6:20 am](#)

1) What are the advantages of having a small amount of retail investors as opposed to a larger pool?
 For instance, what are the advantages MRF take when they have their share price at 90,000?

2) What is it that MRF is missing out on by not issuing bonuses?

Thanks very much!

[Reply](#)

o  Karthik Rangappa says:
[September 30, 2023 at 7:13 am](#)

1) It is always good to have large number of small investors as the risk is spread across
 2) But they more than compensate that by capital appreciation 😊

[Reply](#)

73.  Raghu Ram says:
[September 26, 2023 at 1:27 am](#)

Hi Karthik Sir,

In Rights issue concept, it would be better to mentioning about kind of action taken to be taken by Shareholders i.e to subscribe for Right Shares or Sell RE Rights reflected in Demat A/c. If no action taken, the share holder would suffer loss due to non reaction to the right shares.

Thank you for Spreading the Knowledge. VARSTIAN 😊

[Reply](#)



- *Karthik Rangappa* says:
[September 26, 2023 at 11:06 am](#)

Check this Raghu, we have covered this in detail – <https://www.youtube.com/watch?v=m7U4liUJAkE>

[Reply](#)



74. *Roshan* says:
[September 25, 2023 at 11:26 am](#)

Respected sir,

I have doubt regarding credit of bonus shares in my account.

Suppose I had purchased 100 shares of company on 1 November. And company had announced 1:1 bonus shares with ex date 20 November. If I sold all the shares on ex date , what will happen

A. will i get bonus shares

If yes then how many shares i will get

Thanks

[Reply](#)



- *Karthik Rangappa* says:
[September 26, 2023 at 10:41 am](#)

You will still get the bonus shares as per the ratio announced.

[Reply](#)



75. *shreyans* says:
[September 24, 2023 at 2:04 pm](#)

Why is growth linked to price instead of dividends. Why prices are not higher for higher dividend paying companies?

[Reply](#)



- *Karthik Rangappa* says:
[September 25, 2023 at 9:49 am](#)

Dividend is a payout of cash from company, if the company is growing, then they probably needs funds to fuel that growth, hence they dont give out dividend.

[Reply](#)



76. *Saicharan* says:
[September 20, 2023 at 9:58 pm](#)

In India equity settlement is on t+1 basis or t+2 basis?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 21, 2023 at 9:44 am](#)

Its now on T+1 basis.

[Reply](#)

77.  *Roshan* says:
[September 15, 2023 at 3:50 pm](#)

Respected sir,

I have doubt regarding credit of bonus shares in my account.

Suppose I had purchased 100 shares of company on 1 November. And company had announced 1:1 bonus shares with ex date 20 November. If I sold all the shares on ex date , what will happen

A. will i get bonus shares

If yes then how many shares i will get

Thanks

[Reply](#)

78.  *M SAIRAM* says:
[September 12, 2023 at 4:34 pm](#)

As you said in the bonus share, No of shares will increase without a change in the investment value. In that case, Why does the company have to issue bonus shares from reserves? Explain this with an example.

[Reply](#)

- o  *Karthik Rangappa* says:
[September 13, 2023 at 3:56 pm](#)

Bonus shares are like stock dividends. Over time if business does well, and dividends are paid, you tend to make a little more on your investments.

[Reply](#)

79.  *Yash* says:
[August 20, 2023 at 7:49 pm](#)

It's said in the dividends section that the stock price will drop to the extent of the dividend paid on ex-date.

Given below is the data on ex-date of the dividend of BAJAJ AUTO. The dividend given out was Rs.140. I can't seem to see the price drop.

Date	Open Price	High Price	Low Price	Close Price
30-June-2023	4646.95	4735.30	4631.60	4692.20
28-June-2023	4659.95	4740.00	4620.10	4710.05

What might have happened here?

[Reply](#)

- o  *Karthik Rangappa* says:
[August 21, 2023 at 10:27 am](#)

The stock price dropping to the extent of dividend given out happens to special dividends and not to ordinary dividends.

[Reply](#)

80.  *Jeesu Nandy* says:
[July 29, 2023 at 12:50 am](#)

Can You Give Me Some Live Example Of Changing Of Price Of Share Due To Corporate Action In The Market?

[Reply](#)

o  *Karthik Rangappa* says:
[July 29, 2023 at 10:02 am](#)

Check this – <https://www.youtube.com/watch?v=MX-6rdHDPbE>

[Reply](#)

81.  *krishna* says:
[July 25, 2023 at 10:55 am](#)

Hi Karthik,

Is it possible to buy naked put option on a stock which has been announced as demerger...?

[Reply](#)

o  *Karthik Rangappa* says:
[July 26, 2023 at 11:22 am](#)

Only if you feel directional it will go down due to fundamental reasons.

[Reply](#)

82.  *Anirban Basak* says:
[July 20, 2023 at 9:39 am](#)

Sir,

I am targetting to make investments in Nifty 50 companies for my retirement and preparing an excel to compare them from various aspects. However, before that I would also like to understand the returns each stock has given for the past decades. However, there are several stocks those had given splits/ bonuses previously and I would like you to comment if I have correctly written the below:

To find out returns of an investment of Rs. 1 lac against a stock investment (which had given repeated bonus & splits) made 15 years ago, we can find from stock charts with the following steps:

- (i) Find the stock price (s1) 15 years ago from stock chart.
- (ii) Calculate the number of shares (x) that could be made from Rs. 1 lac ($x = 1,00,000/- / s1$)
- (iii) Find the stock price (s2) now from stock chart.
- (iv) Calculate the present value of the investment. It will be $x * s2$
- (v) Return will be $x * s2 - Rs. 1,00,000/-$
- (vi) Percentage return: $((x * s2 - Rs. 1,00,000/-) / Rs. 1,00,000) * 100$

N.B: If we follow the above steps, we didn't require to consider/ account the bonus shares/ stock splits separately since those are already adjusted in stock charts itself.

[Reply](#)

- o  *Karthik Rangappa* says:
[July 21, 2023 at 12:34 pm](#)

YOu simply have to take the starting and ending value of the stock for the time period (assuming the stock price is cleaned up). The apply the CAGR formula for these prices and you will get the growth rate for the stock.

[Reply](#)

83.  *Anirban Basak* says:
[July 20, 2023 at 9:37 am](#)

Sir,

Please help me to understand if I am right on the below else, please correct me:

(i) Stock charts are already adjusted on Stock splits/ bonus shares.

[Reply](#)

- o  *Karthik Rangappa* says:
[July 21, 2023 at 12:32 pm](#)

Thats right, if not adjusted the chart will look skewed.

[Reply](#)

84.  *Anirban Basak* says:
[July 20, 2023 at 6:40 am](#)

Sir,

Am I correct on the below understanding?

1. Once a stock gives bonus (say 1:1), the market price of the stock halves only on the day it gives bonuses and the market price of the previous history remains the same on the chart graph.

2. Once a stock splits (say 1:2), the market price of the stock halves on the day it splits and the market price of the previous history also gets halved.

[Reply](#)

- o  *Karthik Rangappa* says:
[July 20, 2023 at 9:31 am](#)

Yes. I'd suggest you check these two videos –

1) <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JsklEq1JFGbG6qJ&index=8>

2) <https://www.youtube.com/watch?v=AAphxTCTDbs>

[Reply](#)

85.  *Jitu* says:
[July 19, 2023 at 4:00 pm](#)

Dear Sir

In case of bonus issue, bonus share credited into acc after somedays.....till that time investment value

will be shown less. Now i want to exit my positioncan i only exit original no of shares? If so, in that time period suppose share fell 20%, this cost will be bear by investor only (as he can't exit bonus shares).

Pls clarify

[Reply](#)



- o *Karthik Rangappa* says:
[July 20, 2023 at 9:06 am](#)

YOU can exit your original shares at any point, Jitu. Market risk exists, that's the nature of the investments in equity market.

[Reply](#)



86. *Jeesu Nandy* says:
[July 15, 2023 at 5:00 pm](#)

Hello sir, in the case of stock split and bonus issue ... suppose i have 10 share of reliance at 100 rupees per share and a bonus issue or stock split declared.

so in case of bonus issue of 1:2 i have 20 share of reliance of 5 rupees per share price . so is the market is one bearish trend, with one bearish marabozu in the chart, pulling down the price of per share price of 10 all the way to 5 . i am actually want to know how market and there candles work ?

can you please explain me these sir

[Reply](#)



- o *Karthik Rangappa* says:
[July 16, 2023 at 11:02 am](#)

The corporate action won't have an impact on the stock's trend. I'd suggest you check this video – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JsklEq1JFGbG6qJ&index=8>

[Reply](#)



87. *Jeesu Nandy* says:
[July 15, 2023 at 4:31 pm](#)

Why there is a face value of 5 in the distributed dividend of infosys, it can be 3 or 4, why the face value is 5, any reason ?

[Reply](#)



- o *Karthik Rangappa* says:
[July 16, 2023 at 10:39 am](#)

Rs.1, Rs.5, Rs.10, Rs.50, or Rs.100 are common face values. Easier to run corporate actions on these figures.

[Reply](#)



88. *Karanjeet Singh* says:
[July 15, 2023 at 4:30 pm](#)

Hello sir, Why there was a face value of 5 rupees, in the dividend distributed by infosys, it can be 6 or 7, why 5 ?

[Reply](#)

- o  *Karthik Rangappa* says:
[July 16, 2023 at 10:38 am](#)

Rs.1, Rs.5, Rs.10, Rs.50, or Rs.100 are common face values. Easier to run corporate actions on these figures.

[Reply](#)

89.  *Hrushikesh peddi* says:
[July 7, 2023 at 5:11 pm](#)

Thanks for the video, sir.

[Reply](#)

- o  *Karthik Rangappa* says:
[July 8, 2023 at 11:58 am](#)

Happy learning!

[Reply](#)

90.  *Hrushikesh* says:
[July 7, 2023 at 12:20 am](#)

Sir, could you simply explain face value?

[Reply](#)

- o  *Karthik Rangappa* says:
[July 7, 2023 at 10:30 am](#)

Check this – <https://www.youtube.com/watch?v=EAucHIFstdU>

[Reply](#)

91.  *bhavesh* says:
[June 27, 2023 at 3:59 pm](#)

hi karthik,

i m new to the market kindly help with this one....

from where i can find all the news of nse/bse listed stock or from when can i found news whether which company is going to give dividend or other news like whether particular company is going to expand its business or particular company will invest, etc..?

is there any media publication newspaper where we can rely on it for survey purpose....?

i hope you understand my point of view...

[Reply](#)

- o  *Karthik Rangappa* says:
[June 28, 2023 at 9:55 am](#)

Bhavesh, wishing you the best in your journey. For this, keeping track of news channels and a few online business publications is best.

[Reply](#)

92.  *Rakesh* says:
[June 27, 2023 at 7:54 am](#)

1. Will stock price decrease always after stock split and bonus share of any company? (in 2022 seen in REC Ltd, Motherson, Bajaj Fiserv)

[Reply](#)

 *Karthik Rangappa* says:
[June 27, 2023 at 10:17 am](#)

Yes, the price reduces but value remains the same.

[Reply](#)

93.  *Meghandra* says:
[June 26, 2023 at 10:32 am](#)

First, thank the whole Zerodha team for generating this crisp yet insightful resource for teaching financial management to noobies like me who are from engineering backgrounds; thus, our complete institute IIT Kharagpur is following this to explore the deep ocean of finance.

Sir/Mam, I had a little doubt in understanding dividends, so could you please clarify it so together we can help the upcoming readers too, who may face the same difficulty as we, the learners, solely depend on you to shed light on our financially dark future.

Why does a company announce dividends if it can keep the profits with itself?

[Reply](#)

 *Karthik Rangappa* says:
[June 26, 2023 at 12:32 pm](#)

Thanks for the kind words, Meghandra. Companies pay dividends to share profits with shareholders. Also, there could be times when the companies have no use of the cash, in that case they can choose to payout dividends rather than keeping the cash with them.

[Reply](#)

94.  *Sunandini* says:
[June 24, 2023 at 8:37 pm](#)

Hey Karthik 🙌,
Can you please explain how this calculation happened
1000% ie $5 \times 2 \times 10 = 100$ for 2 shares. 🤔

[Reply](#)

 *Karthik Rangappa* says:
[June 25, 2023 at 9:49 am](#)

Dont seem to get the context, but I'm guessing 1000% of 10 = 100?

[Reply](#)

95.  *Sanjay* says:
[June 24, 2023 at 11:16 am](#)

Thank you for sharing knowledge

My question is regarding dividend

1) I need to have share of the company in my demat on or before ex- date/ ex dividend date am I right?

[Reply](#)



o *Karthik Rangappa* says:

[June 25, 2023 at 9:36 am](#)

Yes, thats right Sanjay.

[Reply](#)



96. *Kamal chand jain* says:

[June 22, 2023 at 9:20 pm](#)

How to apply Wipro buy back on zerodha platform

[Reply](#)



o *Karthik Rangappa* says:

[June 23, 2023 at 10:00 am](#)

Do check this – <https://support.zerodha.com/category/trading-and-markets/corporate-actions/articles/how-do-i-apply-for-buy-back>

[Reply](#)



97. *Dilip* says:

[June 22, 2023 at 5:06 pm](#)

Under buyback of shares when there is capital gain by shares holder, who sells shares to company, is he /she subjected to capital gain tax ?

[Reply](#)



o *Karthik Rangappa* says:

[June 23, 2023 at 9:57 am](#)

Buyback is exempted from capital gains tax at the shareholder level, but the company pays the buy back tax.

[Reply](#)



98. *Sulthan* says:

[June 8, 2023 at 8:36 pm](#)

Hi, how does stock split announcement affects tomorrow's share price ? Market will react in positive or negative way ?- (just an announcement from company – not split actually)

[Reply](#)



o *Karthik Rangappa* says:

[June 9, 2023 at 9:43 am](#)

No, the announcement does not impact the stock price.

[Reply](#)

99.  Vineet Tripathi says:
[June 4, 2023 at 7:49 pm](#)

Sir, I've some queries.
 I want to know during stock split or bonus issue, share got diluted or not?

Kindly clarify it

[Reply](#)

o  Karthik Rangappa says:
[June 5, 2023 at 9:49 am](#)

Yes, there is some dilution as the share capital increases.

[Reply](#)

100.  Sujo Thomas says:
[May 21, 2023 at 8:23 pm](#)

I understand that this content was prepared when it was T+2 settlement in India and now it is T+1 settlement. Still I see a misleading statement here. This document says...

"Ex-Date/Ex-Dividend date: The ex-dividend date is normally set two business days before the record date. Only shareholders who own the shares before the ex-dividend date are entitled to receive the dividend. This is because, in India, the equity settlement is on a T+2 basis."

When it was T+2, ex-date was just one business day before record date (and now when it is T+1, record date and ex-date falls on the same date). The above quoted lines, which is copied from the above content is wrong and misleading.

[Reply](#)

o  Karthik Rangappa says:
[May 22, 2023 at 10:23 am](#)

Sujo, I'll probably update this chapter with T+1 settlement.

[Reply](#)

101.  Prashant Agarwal says:
[May 16, 2023 at 3:27 pm](#)

Hi, I have a doubt:

What if a company raises funds via an IPO, and the price band is, let's say, somewhere around 100-105? Now, what if the share price falls to, say, Rs 10? And what if the company plans to buy back the shares? They raised money at around Rs 100 per share, but they acquired the same shares at Rs 20 to regain the same equity. Wouldn't this be unfair?

[Reply](#)

o  Karthik Rangappa says:
[May 17, 2023 at 8:42 am](#)

All these outcomes are possible. There is no question of being fair or unfair as these are market-driven pricing.

[Reply](#)

102.  *abhijith* says:
[May 11, 2023 at 4:24 pm](#)

What is rights issue . what happens to my existing shares after rights issue . totally new to this . can anyone please help here . I am confused whether to apply for rights issue or not

[Reply](#)

- o  *Karthik Rangappa* says:
[May 12, 2023 at 10:08 am](#)

Check this – <https://support.zerodha.com/category/trading-and-markets/corporate-actions/rights-issue/articles/rights-issue>

[Reply](#)

103.  *omkar jadhav* says:
[May 6, 2023 at 5:53 pm](#)

In the both cases of bonus issue and stock split, investment value remains unchanged; only the face value changes in case of stock split.
 what does it actually means? also, is it considered negative when face value is decreased?

[Reply](#)

- o  *Karthik Rangappa* says:
[May 7, 2023 at 10:17 am](#)

I'd suggest you watch this video – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=8>

[Reply](#)

104.  *Rohan* says:
[April 9, 2023 at 12:14 pm](#)

Hey Karthik, thanks for the lessons. The topics are clear but I have a doubt regarding stock split and bonus shares. Can you tell which is more beneficial for me if the company I have invested in decides to split the stock or decides to give bonus shares.

[Reply](#)

- o  *Karthik Rangappa* says:
[April 9, 2023 at 1:22 pm](#)

Rohan, I'd suggest you watch this video – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=8>

[Reply](#)

105.  *manohar* says:
[April 4, 2023 at 4:53 pm](#)

thank you sir

[Reply](#)

106.  *Ganesh Pai* says:

[April 3, 2023 at 4:29 pm](#)

In the merger corporate actions, how does one arrive at the cost of acquisition for the new shares allotted

[Reply](#)



- o *Karthik Rangappa* says:
[April 5, 2023 at 6:53 am](#)

The cost of corporate action will depend on the valuation, Ganesh.

[Reply](#)



107. *santonu* says:

[March 31, 2023 at 2:09 pm](#)

thanks for sharing the link

[Reply](#)



- o *Karthik Rangappa* says:
[April 1, 2023 at 8:12 am](#)

Sure, happy learning!

[Reply](#)



108. *santonu* says:

[March 30, 2023 at 11:01 pm](#)

How stock price is adjusted when right issue is open.

[Reply](#)



- o *Karthik Rangappa* says:
[March 31, 2023 at 11:41 am](#)

Santonu, can you check this – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=10>

[Reply](#)



109. *manohar* says:

[March 29, 2023 at 11:42 am](#)

sir is it possible that a company is giving dividends more than its share price?

[Reply](#)



- o *Karthik Rangappa* says:
[March 30, 2023 at 11:10 am](#)

Unlikely 😊

[Reply](#)



110. *Bhaskar* says:

[March 8, 2023 at 8:04 pm](#)

Is it profitable to buy shares of a company few days before ex-dividend date to get dividend?
 Asking this as prima facie the method looks too easy to make profit.
 Plz clarify

[Reply](#)



- o *Karthik Rangappa* says:
[March 9, 2023 at 10:29 am](#)

Not really; there is always the risk of price going down.

[Reply](#)



111. *Eshaan Gupta* says:
[March 4, 2023 at 10:46 pm](#)

What is the difference between the face value of a stock and the share price?

[Reply](#)



- o *Karthik Rangappa* says:
[March 5, 2023 at 9:52 am](#)

Face value is the notional value of a stock. Market or share value is the price market is willing to pay to that stock.

[Reply](#)



112. *Guruprite Singh* says:
[February 28, 2023 at 3:56 pm](#)

Hello Karthik, if someone shorts the shares just before ex dividend date and lets say it was worth RS 1000 and the dividend announced was Rs 600 and just after the report date share fell to Rs 400(1000-600) then the person can square off his position making clean profit of Rs 400 per share. So at this time the dividend will belong to whom? (I guess the one to whom he short sold the stocks) and if it is true then no one will lend the stock just before ex dividend date as otherwise he will not get dividend and his share price will also get reduced. Am I right in my assumption?

[Reply](#)



- o *Karthik Rangappa* says:
[March 1, 2023 at 10:58 am](#)

Firstly, you cannot short the stock and carry it overnight..and the prices get adjusted after the corporate announcement. Check this – <https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JsklEq1JFGbG6qJ&index=10>

[Reply](#)



113. *Deepan Chakraborty* says:
[February 28, 2023 at 11:52 am](#)

The Share price after the bonus issue is different for different people holding different no. of shares- for e.g Person A holding 2000 shares of Rs. 15 has the share price slashed to Rs.2.5 for a 1:5 bonus ratio whereas person B holding 4000 shares of 15 Rs. has the share price slashed to Rs. 5 for the same bonus ratio- My question is what share price are we talking about here which keeps changing people to people? is it the face value?

[Reply](#)

- o  *Karthik Rangappa* says:
[March 1, 2023 at 10:26 am](#)

In bonus issue, the face value does not change. We are talking about the buy averages here.

[Reply](#)

114.  *S Singh* says:
[February 15, 2023 at 10:03 am](#)

Hii Karthik,

Please help me to understand. This morning i sold 100shared of torrent power which i was holding for last 2-3 months. I just checked company is also giving dividend of rupees 22 on each share. am i eligible for this dividend. Can i purchase it again so that i can get the dividend what should i do please guide me. I placed the order as CNC.

Thank you

[Reply](#)

115.  *Rishabh verma* says:
[February 7, 2023 at 10:53 pm](#)

The difference between Stock Split and Bonus Issue primarily is the face value of stock does not change in case of Bonus issue, but for the other case it changes.

So, in case of stock split, the public stocks remains same, that is if company has 100 floating stocks in the share market, that and say split was 1:2, then the total floating stocks will now be 200. So, everyone will have double the no of stocks they previously owned, because the face value of stock is also getting halved.

But in case of bonus issue 1:1, every investor who had 1 shares, they will get 1 extra shares, that is their no of shares again getting doubled, but now new shares are being pumped into the market, because the face value of stock has not changed, so from where this new shares are coming? Has the company members who had big portion of shares diluted their stakes or what has happened?

[Reply](#)

- o  *Karthik Rangappa* says:
[February 8, 2023 at 10:09 am](#)

These new shares are carved out of the reserves. Do check this –
<https://www.youtube.com/watch?v=MX-6rdHDPbE&list=PLX2SHiKfualEyD05J9JskIEq1JFGbG6qJ&index=10>

[Reply](#)

116.  *Tsheri* says:
[December 13, 2022 at 8:52 pm](#)

Difference between face value and share price?

[Reply](#)

- o  *Karthik Rangappa* says:
[December 14, 2022 at 8:51 am](#)

Face value is assigned at the time of forming the company. It is a notional value. Share price is market driven.

[Reply](#)

117.  *Het Dama* says:

[December 5, 2022 at 4:44 pm](#)

Kartik, First of all many thanks for sharing knowledge.

When I was looking for which has declared dividend, I've seen some dividend types

Dividend types:

- Interim
- Final
- Special
- ROC
- Misc. Incom

Please explain this types.

[Reply](#)

o  *Karthik Rangappa* says:

[December 6, 2022 at 9:32 am](#)

Interim is a dividend given out during the financial year. The final dividend is paid out at the end of the financial year. The special dividend is an interim dividend, but the magnitude of the dividend is way different. The special dividend is much larger compared to the interim and final dividends. I'm not sure about ROC and Misc Incom dividends; these are new to me and have never heard before.

However, here is what I know –

ROC = Registrar of company

Misc.Incom = Misellaneous income.

[Reply](#)

118.  *saumajeet paul* says:

[December 1, 2022 at 11:36 am](#)

sorry my bad its ok the bonus issue is 3:1 not 2:1

[Reply](#)

o  *Karthik Rangappa* says:

[December 2, 2022 at 6:59 am](#)

Sure 😊

[Reply](#)

119.  *saumajeet paul* says:

[December 1, 2022 at 11:34 am](#)

hi sir,

if the bonus issue is 2:1 and if no. of shares before bonus in 30 as you have mentioned in the above table

then no. of shares after bonus should be 90 not 120

please check

[Reply](#)

-  *Karthik Rangappa* says:
[December 2, 2022 at 6:59 am](#)

In 2:1, you get one share for every 2 shares held, taking the total shares to post bonus to 3. Let me check this again.

[Reply](#)

120.  *Manoj* says:
[October 11, 2022 at 12:29 pm](#)

sir i have one doubt about face value. after face value become 1 Rupee what happen ? how companies split stocks ? for example face value is 1 rupee company decided to split 1:5 but after split what is face value ?

[Reply](#)

-  *Karthik Rangappa* says:
[October 12, 2022 at 10:05 am](#)

Manoj, companies cant split the face value beyond Rs.1. They will have to issue bonus shares.

[Reply](#)

121.  *JJ* says:
[October 10, 2022 at 8:30 pm](#)

If the stock price will drop to the extent of dividend paid, for which the reason is the amount paid out no longer belongs to the company. So Can the stock also rise in similar fashion if the company decides to reinvest and issue no dividend the present year?

[Reply](#)

-  *Karthik Rangappa* says:
[October 11, 2022 at 10:18 am](#)

If the amount is not paid out, the stock price reflects the cash on the books.

[Reply](#)

122.  *sagar* says:
[October 4, 2022 at 2:00 pm](#)

If a company announces 2 bonus shares for 5 existing shares. A investor holding less than 5 or odd number of shares like 7,9,11. then how it will be considered, pls clarify my doubt.
Thanks in advance.
Regards,
sagar

[Reply](#)

-  *Karthik Rangappa* says:
[October 5, 2022 at 11:40 am](#)

The balance, if any will be cash settled.

[Reply](#)

123.  *Hartlin* says:
[September 16, 2022 at 11:27 am](#)

I have question regarding the profit that vanishes after the stock got split.

I had around 75000 profit in my bajaj finserv, but when the Split happened recently 5:1 my profits vanished.

after split the stock was opened at around 1700 rps but in my portfolio it was showing as average 2590, dude to which it went to around 70000 loss, why is there such big difference in average

If the amount which I invested was take as average then where did my profits go.

i have totally confused on this.

Please help me with the solution.

[Reply](#)

- o  *Karthik Rangappa* says:
[September 16, 2022 at 11:45 am](#)

The profit won't vanish. The stock price reduces, but the number of shares you hold increases, so the investment value remains the same.

[Reply](#)

124.  *Wen* says:
[September 15, 2022 at 6:29 pm](#)

As below case, if I have 1000shares,How to count my shares on 9/13?

- 1.Bajaj Finserv had last split the face value of its shares from Rs 5 to Rs 1 in 2022. The share has been quoting on an ex-split basis from September 13, 2022.
- 2.The last bonus that Bajaj Finserv had announced was in 2022 in the ratio of 1:1. The share has been quoting ex-bonus from September 13, 2022.

Thank you

[Reply](#)

- o  *Karthik Rangappa* says:
[September 16, 2022 at 11:20 am](#)

That means you'd have get 5 shares for every 1 share you hold and then a bonus on the split shares.

[Reply](#)

125.  *Manoj Kumar* says:
[September 15, 2022 at 11:18 am](#)

Thanks for this valuable knowledge.
 It cleared all doubts regarding the topic.

[Reply](#)

- o  *Karthik Rangappa* says:

[September 16, 2022 at 11:08 am](#)

Happy learning 😊

[Reply](#)



126. *Vivek Ahlawat* says:

[September 14, 2022 at 2:35 pm](#)

If I had Share on the record date nd Sell My Shares Before bonus issue . Then I m Eligible or not eligible bonus issue.

[Reply](#)



o *Karthik Rangappa* says:

[September 15, 2022 at 10:47 am](#)

Yes, you will.

[Reply](#)



127. *Anant* says:

[September 6, 2022 at 1:40 am](#)

I am still not clear about ex-dividend, ex-bonus dates. Generally because of the T+2 settlement, ideally there should be a gap of 2 days between Record and Ex-Bonus dates. However most of the companies are opting for back to back days for these dates. Let me take an example of IOC. The Record Date was 01-07-2022 and Ex-Bonus was 30-06-2022. Generally its advised to buy on or before Ex-Bonus date to be eligible for bonus shares however in this case, I was not issued the bonus share though I bought them on Ex-Bonus. How to make sure we are eligible for Bonus.

[Reply](#)



o *Karthik Rangappa* says:

[September 6, 2022 at 11:00 am](#)

The ex-date is the date before which you need to purchase the security to be eligible for the corporate action. It is always one day before the record date. A stock is said to trade ex-dividend/ex-bonus/ex-split etc, on the ex-date to indicate that the price of the stock is adjusted for the corporate action. In the case of IOC, to be eligible for the bonus, one should have bought the stock on or before 29-06-2022 (One day before the ex-date). Check this support article for more info. [Hyperlink: <https://support.zerodha.com/category/trading-and-markets/corporate-actions/general/articles/what-does-ex-date-and-record-date-mean%5D>]

With the settlement cycle getting reduced to T+1 (Trading + 1 day) [Hyper link: <https://support.zerodha.com/category/trading-and-markets/corporate-actions/general/articles/what-does-settlement-cycle-i-e-rolling-settlement-mean%5D>], you should be eligible for a corporate action even if you buy the security on the ex-date.

[Reply](#)



128. *pankaj prajapati* says:

[August 14, 2022 at 11:29 am](#)

if i am not wrong maneesh verma we are not eligible as the share must in our demat account before the ex date which takes t+2 days.

[Reply](#)

129.  *Maneesh verma* says:
[August 14, 2022 at 9:06 am](#)

But some case like RECL have ex date just 1 day before record date?? If we buy share in just 1 day before ex date...it's only t+1 day not t+2 ..then are we eligible for this or not??

[Reply](#)

130.  *pankaj prajapati* says:
[August 13, 2022 at 11:25 pm](#)

i checked for a few companies which declared the final dividend but few of them were showing bearish candlestick on the ex-date while few were showing bearish candlestick on ex-date.

[Reply](#)

- o  *Karthik Rangappa* says:
[August 14, 2022 at 9:17 am](#)

Small dividends dont have a significant impact, but special dividends do.

[Reply](#)

131.  *pankaj prajapati* says:
[August 12, 2022 at 4:16 pm](#)

hello dear Karthik Rangappa sir ,
i have one question for you: can you please show us with any picture of the candlestick pattern that when the dividend is declared the stock price went down on the ex date this will be very helpful.
Thank you.

[Reply](#)

- o  *Karthik Rangappa* says:
[August 13, 2022 at 8:08 am](#)

Pankaj, not sure which company declared a special dividend in the recent past, but do check such charts.

[Reply](#)

132.  *Tippanna Belunki* says:
[July 30, 2022 at 11:18 am](#)

Thanks for kite, great information given its helpful

[Reply](#)

- o  *Karthik Rangappa* says:
[July 31, 2022 at 2:35 pm](#)

Happy learning!

[Reply](#)

133.  *Amit Kale* says:
[July 28, 2022 at 12:01 pm](#)

Hi Karthik,

Tata Steel has split today and is trading at 1/10 the the price in the stock market however split stocks will be actually deposited in the demat account in next 3-4 working days. So if one has to sell his existing stocks how should one sell because demat account still shows the old quantity i.e pre-split

[Reply](#)



134. *Sai kumar* says:

[July 23, 2022 at 10:18 pm](#)

I bought vedanta shares. Ex dividend date is 26 June and record date is 27 June . vedanta declared dividend of rupees 19.50 of face value 1 . So stock price is going to dip 19.50 rupees on ex dividend date plz explain

[Reply](#)



o *Karthik Rangappa* says:

[July 24, 2022 at 11:41 am](#)

Yes, the stock price will drop to the extent of the dividend paid.

[Reply](#)



135. *Aditya* says:

[July 6, 2022 at 9:18 pm](#)

Really good article and reading comments really help me a lot
A big thanks to zerodha varsity for providing these knowledge free .

[Reply](#)



o *Karthik Rangappa* says:

[July 7, 2022 at 10:40 am](#)

Glad to note, happy learning 😊

[Reply](#)



136. *Shiv Prasad Chatterjee* says:

[June 27, 2022 at 3:32 pm](#)

Pls advice in details about how to participate in open market buy back.your details are all vague unlike tender offer of buying back .

[Reply](#)



o *Karthik Rangappa* says:

[June 28, 2022 at 10:17 am](#)

You can check this – <https://support.zerodha.com/category/trading-and-markets/corporate-actions/buyback/articles/open-market-buybacks>

[Reply](#)



137. *Ashish* says:

[June 16, 2022 at 10:02 am](#)

So the stock price falls down by the dividend value. Then, what is the profit to shareholders of such a corporate action?

The fall of ₹5 in stock value is given as dividend to the us (shareholder). This is just like extracting a part of our own wealth!

[Reply](#)

- o  *Karthik Rangappa* says:
[June 16, 2022 at 10:10 am](#)

The price fall does not occur for all dividends, it does only for special dividends.

[Reply](#)

138.  *JAYA* says:
[June 4, 2022 at 10:22 am](#)

THANK YOU

[Reply](#)

- o  *Karthik Rangappa* says:
[June 5, 2022 at 9:13 am](#)

Happy learning!

[Reply](#)

139.  *jaya* says:
[June 2, 2022 at 8:42 pm](#)

1) regarding buyback example tcs Buyback Record Date: Feb 23 2022 Feb 23 day is wednesday , if i buy tcs shares on monday i will be share holder in books on wednesday ? our settlement t+2 days ?

2)tcs Buyback Record Date: Feb 23 2022 can i sell my shares on record date do i eligible for buyback participation ?

3)Buyback Opening Date :Mar 09 2022 Buyback Closing Date :Mar 23 2022 at what date i need to buy again tcs shares for participation of buy back ? thank you

[Reply](#)

- o  *Karthik Rangappa* says:
[June 4, 2022 at 9:32 am](#)

Jaya, response in order –

- 1) Yes you will be eligible.
- 2). Yes you will be eligible.
3. Buyback period won't matter. You should have the securities in his demat account on the record date to be eligible to participate.

[Reply](#)

140.  *Vamsi* says:
[May 23, 2022 at 8:00 am](#)

“The ex-dividend date is normally set two business days before the record date.” Isn't the exdate is one day before the record date (eg- if record date is Wednesday then exdate would be Tuesday (one day) not Monday (two days) right??

[Reply](#)

- o  *Karthik Rangappa* says:
[May 23, 2022 at 9:56 am](#)

Because of T+2 settlement, Vamsi.

[Reply](#)

141.  *Kamlesh Parekh* says:
[May 14, 2022 at 7:17 am](#)

Hi Karthik,

Thanking Zerodha for the initiative to educate common man and thanks for your write up.

I have some confusion:

\"There could be many reasons why corporates choose to buy back shares...

..... 1) Improve the profitability on a per-share basis

2) To consolidate their stake in the company.....\"

Is it company\'s money or promoters\' money to buy back?

If company spends money to acquire, (then and then only the profitability on per share basis would increase) how they can consolidate their stake?

[Reply](#)

- o  *Karthik Rangappa* says:
[May 14, 2022 at 8:24 am](#)

Kamlesh, buyback happens via the company\'s balance sheet. The shares get extinguished (reduction in share capital) against the cash on books.

[Reply](#)

142.  *Mohit* says:
[May 11, 2022 at 2:27 pm](#)

In table 11.1 on bonus issue, share price before bonus issue and after bonus issue should remain same I think.

Otherwise what\'s the difference between stock split and bonus shares then?

[Reply](#)

- o  *Karthik Rangappa* says:
[May 12, 2022 at 9:13 am](#)

The share price will obviously change, right? The difference is mainly in terms of the treatment to the face value.

[Reply](#)

143.  *Devesh* says:
[April 28, 2022 at 11:58 am](#)

I am holding Future of a particular share. If bonus is declared 1:1, the share price will fall down to nearly half. What will happen to the Future? How are profit/loss affected?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 28, 2022 at 12:13 pm](#)

The futures contract will be adjusted to the corporate action to ensure there is no profit or loss owing to the corporate action.

[Reply](#)

144.  *Raghav* says:
[April 23, 2022 at 11:07 am](#)

Corporations follow a structured dividend policy and reward their investors with stock dividends and stock splits. How can we show this with the help of suitable examples? Like how stock dividends and stock splits create value for the investors?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 24, 2022 at 10:51 am](#)

These corporate actions increase the number of shares, but the investment value remains the same. Wealth is eventually created when the stock price rallies. If that does not happen, then there is no wealth creation 😊

[Reply](#)

145.  *Zakirah* says:
[April 6, 2022 at 3:16 pm](#)

Whenever a bonus, dividend or share split is declared for a stock, what happens to the Future's price of that particular stock. For example, let's say WIPRO is trading at 600 in equity and it's April and May future is trading at 602 and 604, respectively. And the company declares 1:1 bonus. After bonus, stock trades at 300 in equity, but what happens to the Future's price and lot size?

It would be fruitful, if one could explain in detail the impact of a company's actions on Futures and Options of a particular stock.

[Reply](#)

- o  *Karthik Rangappa* says:
[April 6, 2022 at 7:28 pm](#)

Whenever corporate actions takes place, the futures price too gets adjusted. This is called the 'adjustment factor'. The adjustment is in such a way that your P&L position does not get affected.

[Reply](#)

146.  *SHIV PRASAD CHATTERJEE* says:
[March 8, 2022 at 12:39 pm](#)

Hi Karthik,

I've been breaking my head to know online open market buy back procedure but No one Zerodha ,CDSL has a solid step by step process detailed anywhere.w would be grateful if your reply shoots a simultaneous mail to my mail id.

[Reply](#)

- o  *Karthik Rangappa* says:

[March 9, 2022 at 11:00 am](#)

Check this – <https://support.zerodha.com/category/trading-and-markets/corporate-actions/buyback/articles/open-market-buybacks>

[Reply](#)

147.  *Pranit* says:

[February 23, 2022 at 8:32 pm](#)

HI,

It's a great article & can be easily understand by the fresh bees
I have couple of queries regarding this

1) If we buy shares at the day of announcement, we will be eligible for the dividends (we need to keep holding till ex dividend date & ex record date) Please do let me know?

2) in a bonus case, we can buy shares at the day of announcement, we will be eligible for the bonus (we need to keep holding till ex bonus date & ex record date) Please do let me know?

3) In bonus shares, on 1:1 basis , if we have 100 shares we will be getting 100 Shares extra, so total will be 200 Shares

So we can sell 200 Shares @ CMP or not ???

[Reply](#)

o  *Karthik Rangappa* says:

[February 23, 2022 at 8:37 pm](#)

1) That's right

2) That's right

3) The buy average of the bonus shares will change, check this –

<https://support.zerodha.com/category/trading-and-markets/trading-faqs/articles/average-price-reduced-after-receiving-bonus-shares>

[Reply](#)

148.  *Vagheesh M K* says:

[February 22, 2022 at 6:47 pm](#)

Hi Karthik.

First things first, Thank You so much for creating a such a detailed, to-the-point and comprehensive content.

Shouldn't the price of a stock decrease by its dividend per value(Rs 5 for ITC example) on Dividend Payout Date rather than ex-dividend date , because it is on the Dividend Payout Date the company actually have a decrease in their cash reserves. In such a scenario, why does stock price still dip on ex-dividend date ?

Thanks in Advance

[Reply](#)

o  *Karthik Rangappa* says:

[February 23, 2022 at 10:14 am](#)

That's because of the way stocks are settled in India. Assume the payout date is Wednesday and ex-date is Monday. According to you, the stock price should decline on Wed and not Monday.

But if I have bought on Say Tuesday, I neither get the dividend nor a good price, so a double whammy. To avoid this, the stock price actually declines T days prior.

[Reply](#)

149.  *RITIK RAUSHAN* says:
[February 2, 2022 at 11:21 pm](#)

i am confused regarding fall of stock price price after dividend payment, doesnt stock price depends on demand and supply, even after dividend demand of stock is high why price would fall ? Please explain

[Reply](#)

- o  *Karthik Rangappa* says:
[February 3, 2022 at 11:32 am](#)

Thats right, but there is a balance sheet explanation for this as well. Hence the drop in price.

[Reply](#)

150.  *Sandip* says:
[February 2, 2022 at 11:18 am](#)

Thanks Karthik

[Reply](#)

- o  *Karthik Rangappa* says:
[February 2, 2022 at 8:02 pm](#)

Happy learning!

[Reply](#)

151.  *Sandip* says:
[February 2, 2022 at 10:29 am](#)

Just wanted to understand , Does corporate action has any impacts on NAV ? and if yes then which are the events are specifically impacts on NAV?

[Reply](#)

- o  *Karthik Rangappa* says:
[February 2, 2022 at 10:56 am](#)

Not much impact Sandip since you investment value remains the same.

[Reply](#)

152.  *Siddhesh* says:
[January 20, 2022 at 2:45 pm](#)

So for example if I have 10 shares of motherson sumi

If it says,

\”Shareholders will get one share of each of the demerged and existing entities\”

What does that mean?

I get 10 shares of Motherson Sumi Wiring India (MSWIL) as well as another 10 of Samvardhana Motherson International (SAMIL) or ONLY the 10 shares of Wiring?

[Reply](#)

- o  *Karthik Rangappa* says:
[January 20, 2022 at 8:21 pm](#)

Yes, thats right. Please go through the scheme arrangements for exact details.

[Reply](#)

153.  *Siddhesh* says:
[January 11, 2022 at 10:51 pm](#)

I am a Motherson Sumi shareholder, there's news surrounding a demerger with the record date being 17th January, 2022. Is it similar to these corporate actions? Can you please explain what a demerger means and how will it affect us shareholders?

[Reply](#)

- o  *Karthik Rangappa* says:
[January 12, 2022 at 9:51 am](#)

Demerger is different. In a demerger, you spin off a subsidiary from its parent company or it can be a separation of a large company into two or more parts.

[Reply](#)

154.  *Yash* says:
[December 29, 2021 at 5:33 pm](#)

Thanks buddy

[Reply](#)

155.  *Yash* says:
[December 25, 2021 at 3:19 pm](#)

Bonus issue decreases the share price and the same is the case with stock split though in both of the cases investment value remains the same. So basically the main difference between stock split and bonus issue is that stock split affects the face value whereas bonus issue doesn't rest all is same. Am I right?

[Reply](#)

- o  *Karthik Rangappa* says:
[December 25, 2021 at 8:43 pm](#)

Yup that's right. But there is a difference in terms of balance sheet treatment. You can ignore this if you are just getting started in the market.

[Reply](#)

156.  *Kuber Sharma* says:
[December 22, 2021 at 10:32 pm](#)

When company gives bonus shares then the face value of shares will reduce. Then how does the investor gets benefit please clarify

[Reply](#)

- o  *Karthik Rangappa* says:
[December 23, 2021 at 9:56 am](#)

It's just that number of shares you hold increases, Kuber.

[Reply](#)

157.  *Rick* says:
[December 22, 2021 at 7:06 pm](#)

Sir, do the number of shares of the company remains same during a bonus issue?

[Reply](#)

- o  *Karthik Rangappa* says:
[December 22, 2021 at 7:22 pm](#)

No, the number of shares increases.

[Reply](#)

158.  *Rick* says:
[December 22, 2021 at 6:02 pm](#)

Sir, Can you please please explain me in detail why this stock price falls down to the extent of dividend paid?

[Reply](#)

- o  *Karthik Rangappa* says:
[December 22, 2021 at 7:21 pm](#)

The dividend is cash paid out, money goes out of reserves, hence stock price needs to adjust to that extent.

[Reply](#)

159.  *Atul* says:
[December 13, 2021 at 9:17 am](#)

I don't have the shares in DEMAT. I have it in MTF mode. They are open positions and I haven't been credited the bonus shares.

[Reply](#)

- o  *Karthik Rangappa* says:
[December 13, 2021 at 10:55 am](#)

Please check with your broker regarding this.

[Reply](#)

160.  *Atul* says:
[December 9, 2021 at 1:56 am](#)

Hi Karthik, I spoke with my broker. They're saying I'll not get the bonus shares because it was open position in MTF mode and the shares were actually never in my DEMAT account and the I have to

bear the loss. I'm suffering a loss of 67% because of the price adjustment after the bonus issue. What should I do? Can I register a complaint against my broker? What are the options available to me?

[Reply](#)



- o *Karthik Rangappa* says:
[December 10, 2021 at 12:54 pm](#)

Hmm, I'm not sure about the details. I think there is some confusion here. If you have shares in DEMAT, you should get the bonus shares. If its demarked for you via MTF, then you should get the benefit of the bonus shares. Please speak to the broker and figure out the modality.

[Reply](#)



161. *suman* says:

[December 6, 2021 at 11:41 am](#)

hello , i brought coal India at 158.80 3 days before the ex date .Now on ex date it is 150 (9 rupees is adjusted on ex date).so now if i sell the stock at 150 after ex date so the 9 rupees removed from stock will be loss? or i get after settlement in trading account ? i will get dividend of 9 rupees that i know but the 9 rupees deducted from stock is doubt .

Buy at $158.801000 * = 158880$ so dividend will be $(1000 * 9 = 9000)$

sell at $151 * 1000 = 150000$ after ex date

loss of 8880 which is adjusted is it loss or will i get after settlement

[Reply](#)



- o *Karthik Rangappa* says:
[December 7, 2021 at 9:32 am](#)

You are eligible for the dividend, hence you should receive the dividend in your bank account.

[Reply](#)



162. *Atul* says:

[December 3, 2021 at 5:19 pm](#)

So if I have 100 shares of a particular company in MTF mode before the ex-date and it is issuing bonus shares in 2:1 ratio, I will be receiving 200 shares as a bonus ? I mean I obviously won't be getting the delivery of those shares but will it get adjusted in my MTF open position? Because right now the difference in price before and after the bonus adjustment is showing as a loss.

[Reply](#)



- o *Karthik Rangappa* says:
[December 4, 2021 at 8:36 am](#)

Atul, the shares dont move out of your DEMAT account in MTF, it remains in your account. Hence the bonus shares too come to your account. I'd suggest you speak to your broker to know the exact details.

[Reply](#)



163. *Saksham Tripathi* says:

[December 3, 2021 at 1:20 pm](#)

A great initiative by zerodha for enhancing knowledge of investors, Thanks a lot

My curiosity is for dividend declaration date?

Dividend declaration date as elaborated in 11.2 where it is quoted as the date of approval by Board at AGM

However at AGM, Board of Directors proposes the distribution of dividend where it is to be approved by the shareholders with Majority of votes

[Reply](#)



- o *Karthik Rangappa* says:
[December 4, 2021 at 7:55 am](#)

Perhaps, I need to check this. But I guess the AGM date works for all practical purposes.

[Reply](#)



164. *Atul* says:

[December 2, 2021 at 10:46 am](#)

What happens to the shares held in MTF mode if bonus shares are issued?

[Reply](#)



- o *Karthik Rangappa* says:
[December 2, 2021 at 1:35 pm](#)

You'll still get the benefits of the corporate action since the stocks are in your account.

[Reply](#)



165. *Vaddi Hari Ram charan* says:

[November 27, 2021 at 11:11 pm](#)

What is the difference between bonus issue and stock split

[Reply](#)



- o *Karthik Rangappa* says:
[November 28, 2021 at 11:45 am](#)

In the bonus issue, the face value of the shares remains the same, but in the split, the face value changes.

[Reply](#)



166. *Sarvesh* says:

[October 30, 2021 at 8:12 pm](#)

Dear Sir

I have doubt in face value, market value, and issue value(in IPO)

Please rectify

Market value is at which particular stock is trading at the stock exchange

issue value is the value at which during IPO, the company want to issue share based on a price band
for face value i can't understand how to relate

[Reply](#)



- o *Karthik Rangappa* says:
[November 1, 2021 at 9:44 am](#)

Sarvesh, we have discussed this in the comments section itself. Can you please check once?

[Reply](#)

167.  *Adil Khan* says:
[October 29, 2021 at 12:17 pm](#)

And again I tried to reply in two way. Firstly I wrote my details and comment than clicked \'reply\'. Then second time I clicked \'reply\' then wrote comment then clicked \'post comment\', but non of them worked in expected way.

[Reply](#)

o  *Karthik Rangappa* says:
[October 29, 2021 at 9:29 pm](#)

Click reply and then post, Adil. That\'s the only way I guess.

[Reply](#)

168.  *Adil Khan* says:
[October 29, 2021 at 12:08 pm](#)

so this is the only way?

[Reply](#)

169.  *Adil Khan* says:
[October 28, 2021 at 8:45 pm](#)

And please tell me how to reply on a previous comment.

[Reply](#)

o  *Karthik Rangappa* says:
[October 29, 2021 at 8:45 am](#)

Click on reply button below the comment and it will post your reply.

[Reply](#)

170.  *Adil Khan* says:
[October 28, 2021 at 8:29 pm](#)

How does that happens? Suppose a company earned some profit, now how do that profit is transferred or delivered to shareholders?

[Reply](#)

o  *Karthik Rangappa* says:
[October 29, 2021 at 8:43 am](#)

Via dividends, paid in proportion to the shares an investor holds.

[Reply](#)

171.  *kuldeep* says:
[October 28, 2021 at 6:13 pm](#)

example : if i had pledge shares in Zerodha which value is 100000 (1000*100) after hair cut ,and have FNO position on basis of this shares ,if this shares split in to 5 shares then next day price of @ 1000 will revised in to @ 200. and my pledge shares after hair cut value will be revised to Rs. 20000 (200*100).

how zerodha handle this on which value my MTM will calculate ,Rs. 100000 or Rs. 20000

[Reply](#)



o *Karthik Rangappa* says:

[October 29, 2021 at 8:40 am](#)

The new shares will $5000 * 20 = 100000$. So its the same.

[Reply](#)



172. *Adil Khan* says:

[October 27, 2021 at 10:16 pm](#)

Sir, what else leads price of a share to increase? Is it just supply and demand dynamics ? Does companies results has no direct impacts on price? Is it just the fact that good result will attract people to buy which will eventually increase its value?

[Reply](#)



o *Karthik Rangappa* says:

[October 28, 2021 at 7:33 am](#)

Of course, company's results, its business performance, management efficiency etc matter the most when it comes to the long term performance of a stock. But from a short term perspective, what's important is the demand and supply of the stock.

[Reply](#)



173. *Munaf Ansari* says:

[October 15, 2021 at 11:30 pm](#)

In Bonus Issue and Stock split If the share prices goes down, will that be the OPEN price of that particular stock from the next trading day ?

[Reply](#)



o *Karthik Rangappa* says:

[October 16, 2021 at 6:30 pm](#)

Thats right.

[Reply](#)



174. *Munaf Ansari* says:

[October 15, 2021 at 11:19 pm](#)

When the stock goes ex-dividend, usually the stock drops to the extent of dividends paid. For example, if ITC (trading at Rs. 335) has declared a dividend of Rs.5. On ex-date, the stock price will drop to the extent of dividend paid, and as in this case, the price of ITC will drop down to Rs.330—— I am not sure if I understand this part correctly. If I own ITC 10 shares worth 3350 till ex dividend date and on the ex-date the share value will drop to 3300 ? Why is the dividend reducing my stock value ? Isn't it supposed to increase the value of my stock? Or is the dividend amount is credited directly to my trading or Bank account ?

[Reply](#)

- o  *Karthik Rangappa* says:
[October 16, 2021 at 6:26 pm](#)

The dividend is paid from the balance sheet, it is an actual cash outflow for the company. This reduction in the balance sheet is reflected in the share price.

[Reply](#)

175.  *Munaf Ansari* says:
[October 15, 2021 at 11:13 pm](#)

Ex-Date/Ex-Dividend date: The ex-dividend date is normally set two business days before the record date. Only shareholders who own the shares before the ex-dividend date are entitled to the dividend. — So if ex dividend is set 2 days before record date and in India normal settlement is on T+2 basis, to be eligible to get the dividend we need to buy that particular stock ATLEAST 4 days before the Ex-dividend date. Is that correct ?

[Reply](#)

- o  *Karthik Rangappa* says:
[October 16, 2021 at 6:23 pm](#)

Nope, you buy on ex-date, then basis T+2 you get shares on the record date, hence you are eligible for whatever corporate actions.

[Reply](#)

176.  *p.shunmuga perumal* says:
[October 11, 2021 at 11:50 am](#)

Company name and
Split ratio 10:1
Cmp 800
Ex split date 24/5/2021
Split record date 25/5/2021
If I sell my split shares on 24/5/2021 will I get a new shares

[Reply](#)

- o  *Karthik Rangappa* says:
[October 12, 2021 at 9:18 am](#)

Yes, but you can sell it on the next day also to avoid confusion.

[Reply](#)

177.  *vinod* says:
[October 8, 2021 at 11:33 am](#)

thank u karthik for the clarification.

[Reply](#)

- o  *Karthik Rangappa* says:
[October 8, 2021 at 7:20 pm](#)

Good luck, Vinod!

[Reply](#)

178.  VINOD says:
[October 7, 2021 at 6:02 pm](#)

Hi Karthik,

I just checked Investopedia. It says so:

- 1) For eligible for any corporate action i.e bonus, split, dividend etc, the shareholder needs to ensure share is delivered in demat atleast a working day before record date i.e one can buy a day before ex date to ensure they get the benefit (this contradicts ur explanation of ex date -2 days).
- 2) the ratio which i enquired x:y. it is always taken as for any y number of shares you will get x shares. This is the standard set.

Please verify this and might be if this is correct might be you would wish to update this in the course content for bringing more clarity here.

[Reply](#)

o  Karthik Rangappa says:
[October 7, 2021 at 7:31 pm](#)

Don't go by Investopedia, stuff that they have there is mainly from US perspective.

[Reply](#)

179.  VINOD says:
[October 7, 2021 at 5:43 pm](#)

thanks karthik. i m a fan of you. appreciate how u and team built up all this material from scratch. I believe there was no such repository available anywhere for you even for referring things when you started this journey. For the catch up part if u can inbox on my email your phone no. to check mutually acceptable timings it would be great (not sharing phone no. as understand it as a public platform). Coming to the topic in question:

Suppose the 6000 stocks i hold in xyz goes for 1:1 bonus and now the new count of no. of shares held is 12000. Earlier the pledged value of collateral assume for 6000 stocks (after accounting haircut and other margins) was 10 lacs at my disposal. Would the pledged collateral margin now available would be 5 lacs rupees (as the no. of stocks pledged will remain 6000 and given the value of stock reduces to adjust the no. of bonus shares issued).

[Reply](#)

o  Karthik Rangappa says:
[October 7, 2021 at 7:30 pm](#)

Thanks for the kind words, Vinod.

The pledge value will remain unchanged as the new quantity that comes in will automatically be treated as pledged. But please do check once with the team by creating a ticket.

[Reply](#)

180.  vinod says:
[October 6, 2021 at 9:27 pm](#)

Suppose i hold 6000 shares in xyz company and the 6000 quantity i have pledged for trading. Will i still be entitled for the corporate benefits like bonus/dividend/split/rights etc? Are there any other

conditions involved here as my said all stocks are pledged.

[Reply](#)



- o *Karthik Rangappa* says:
[October 7, 2021 at 10:50 am](#)

Yes, because the pledged quantity will still stay in your Demat and you are the beneficial owner of the shares.

[Reply](#)



181. *vinod* says:

[October 6, 2021 at 9:21 pm](#)

Hi kartik,

Here are my doubts regarding the topic:

1. Is ex-date -2 days (the best least time) required to buy a share to be eligible for bonus/dividend/split etc. ?? i.e suppose the ex date is 06 Oct 21 so I have to buy the share at least on 04 Oct 21 to be eligible for the corporate gift? (logic: share needs T+2 days to be credited to demat)
2. Bonus if is given in 1:3 that means for every 1 share i get 3 additional shares (1st variant considered as my holding i.e 1), wherein in stock split case if it is 1:3 that means for every three share i hold, i will get 1 additional share (2nd variant is considered as my holding i.e 3)

Thanks in advance karthi. I am from Bangalore. Wish to catch up with the legend over tea some time if ur free.

[Reply](#)



- o *Karthik Rangappa* says:
[October 7, 2021 at 10:49 am](#)

- 1) Yes, it is the closest you can buy
- 2) Thats right, but even I need to cross-check once, keep getting confused with it 😊

Will be happy to meet! Good luck.

[Reply](#)



182. *p.shunmuga perumal* says:

[September 29, 2021 at 8:14 pm](#)

If I sell my bonus shares after it reaches my DEMAT Account will I have to pay any extra tax for it

[Reply](#)



- o *Karthik Rangappa* says:
[September 30, 2021 at 11:36 am](#)

Taxes are applicable, I'd suggest you speak to your CA once.

[Reply](#)



183. *Anand* says:

[September 29, 2021 at 12:42 am](#)

When does the price of the stock reduce, on ex dividend date or record date? If I buy the share before the ex dividend date and sell it on the ex dividend date, will I be eligible for dividend? Or do I have to

hold till the record date? If so, can I sell it on record date?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 29, 2021 at 9:57 am](#)

You can buy before ex-dividend, but need to be a holder on the record date to receive the dividend.

[Reply](#)

184.  *p.shunmuga perumal* says:
[September 27, 2021 at 10:11 am](#)

Consider a company ABC is announcing a bonus

Announcement date:10/08/2021

Ex bonus date:29/08/2021

Record date:30/08/2021

Bonus ratio:1:10

10/08/2021 CMP OF ABC is 500

02/09/2021 CMP OF ABC IS 520 (THE PRICE DIDN'T CHANGE CONCERNING TO bonus ratio)

If I sell my shares on 03/02/2021 can I get the bonus shares

[Reply](#)

- o  *Karthik Rangappa* says:
[September 27, 2021 at 9:19 pm](#)

Yes, you need to be the shareholder on the 30th, which you are, so you will get the bonus shares.

[Reply](#)

185.  *Kadir* says:
[September 24, 2021 at 4:58 pm](#)

Could you pls explain me this part alone

“When the stock goes ex dividend, usually the stock drops to the extent of dividends paid. For example if ITC (trading at Rs. 335) has declared a dividend of Rs.5. On ex date the stock price will drop to the extent of dividend paid, and as in this case the price of ITC will drop down to Rs.330. The reason for this price drop is because the amount paid out no longer belongs to the company.”

[Reply](#)

- o  *Karthik Rangappa* says:
[September 25, 2021 at 8:15 am](#)

Amount paid no longer belongs to the company, in the sense that cash is paid out from reserves from the balance sheet. Hence the stock price drops, since company's valuation reduces a bit.

[Reply](#)

186.  *Madhur agarwal* says:
[September 23, 2021 at 12:44 am](#)

Hello karthik

I have a very little confusion after reading your article.

In case of share split it is obvious that our share will be split according to the ratio decided by the

company and the investment will be unchanged and the market value will be the same.
 But suppose in case of bonus our share count will increase, our investment cost would be the same and the average cost per share will change.
 The question here arises is the market value will also increase or not?
 For eg: i have 10 shares of rs 10 each my market value will be 100
 And i got bonus of 1 share then my share count will be 11(10+1) in this case my market value will be 110 or not

[Reply](#)

- o  *Karthik Rangappa* says:
[September 23, 2021 at 11:58 am](#)

Madhur, even in the case of Bonus shares, the share price reduces and thereby the value of your investment remains the same. Its just like the share split.

[Reply](#)

187.  *Akbar* says:
[September 18, 2021 at 9:31 am](#)

Then how is the price adjusted? Without adjusting the price the charts become so extremely distorted. I used the same formula for adjusting the price after a rights issue as adjusting the price after a bonus issue.
 For example, in the case of PRAXIS, the rights issue was 11:8. So I get a dividing factor as 2.375 (11:8 => 1.375:1 => 1+1.375 => 2.375).
 In kite, for PRAXIS, the dividing factor observed is 1.85 instead.
 Adjusting my charts with 2.375 gives me a very different chart that is very different than kite's for PRAXIS.
 Care to please elaborate how the PRAXIS chart in Kite is adjusted for rights issue?
 I know you already said there is no formula for adjusting the stock price after rights issue, but then how is price adjusted (dividing by 1.85) for PRAXIS in kite.

[Reply](#)

188.  *Akbar* says:
[September 16, 2021 at 1:41 pm](#)

Hello,

Anybody still answering on this thread? I have a question.

How is the share price after rights issue is calculated?

Please take the example of PRAXIS rights issued on 2021-09-07

Thank You

[Reply](#)

- o  *Karthik Rangappa* says:
[September 16, 2021 at 8:02 pm](#)

There is no calculation as such for rights issue, like the way it is for bonus and splits.

[Reply](#)

189.  *Ashish* says:
[September 14, 2021 at 9:16 am](#)

If you buy share day before the bonus issue, and because of delivery cycle you have stock at price of pre bonus issues and stock is at post bonus price. What will happen in those cases?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 14, 2021 at 12:30 pm](#)

YOu will get the bonus as long as you buy before the record date.

[Reply](#)

190.  *Ankit bansal* says:
[September 9, 2021 at 4:37 pm](#)

Please help me.

I have a doubt in dividend in cash case.

Vedanta declared a dividend of Rs18.5 per share this year and I buy 200 shares of vedanta a day before the ex dividend date this is on 7 September 2021 at a rate of 311. On the next day that is on ex-dividend date its price is adjusted by the price equal to 18.5 and it show new price of 292.5.

In my holding section 200 shares are showing with a loss equal to the price adjusted. And I know I'm eligible for the dividend.

But the doubt I have is, what is the benefit of getting a dividend if my shares are in loss equal to the dividend amount?

I just can't understand it.

[Reply](#)

- o  *Karthik Rangappa* says:
[September 10, 2021 at 11:53 am](#)

The shares are not in a loss, since you've received the dividend in cash.

[Reply](#)

191.  *Dhiraj* says:
[September 6, 2021 at 11:26 am](#)

Very well explain with example, thank you.

Need to understand about Buyback. In buyback there are two methods..

1) Open Market 2) Tender.

Could you please explain on this & how the company will decide buyback value? & when to purchase the shares in both Open market & Tender condition?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 7, 2021 at 9:30 am](#)

Dhiraj, I think this was explained in the comments itself. Can you please check that once? Else, I'll try and do it here again. Thanks.

[Reply](#)

192.  *Raj* says:
[September 6, 2021 at 1:34 am](#)

I have one doubt on Bonus share, will the share price fall based on the announcement, record or ex date??

[Reply](#)

- o  *Karthik Rangappa* says:
[September 6, 2021 at 8:43 am](#)

Record date.

[Reply](#)

193.  *SS* says:
[August 28, 2021 at 3:17 pm](#)

Thank you Sir.

Sir,

chapter 11 and 12 of Module 1, gives a understanding that it has a influence on the stock price ,but can you please elaborate on how it influences the stock prices .Example an increase in Repo rate will it be positive for the banking stocks or negative. or which sector will benefit .

Regards,

SS

[Reply](#)

- o  *Karthik Rangappa* says:
[August 28, 2021 at 9:30 pm](#)

Sorry, lost the context, can you please share more details?

[Reply](#)

194.  *SS* says:
[August 27, 2021 at 4:20 pm](#)

A 1:5 bonus indicates 1 additional shares are being issued for every 5 shares. If the investor has 14 shares (before issue), would the total additional shares given as bonus be 2or 3

[Reply](#)

- o  *Karthik Rangappa* says:
[August 28, 2021 at 10:05 am](#)

It will result in 2 shares, for the balance 4 shares, the company will settle in cash.

[Reply](#)

195.  *Shakti* says:
[August 18, 2021 at 10:56 am](#)

I bought 30 shares of a company before 1 day of bonus execution, on the bonus execution day share value reduced and I dont have shares in my demat account. What will be the value of shares when I get them in my demat account? will I suffer loss of 50%?

[Reply](#)

- o  *Karthik Rangappa* says:
[August 18, 2021 at 8:49 pm](#)

No, the buy average price will be reduced accordingly.

[Reply](#)

196.  Harmit says:
[August 8, 2021 at 4:48 pm](#)

Hello Sir,

I have already been credited with the dividend in my account.
It shows in HDFC sec.

Not sure how this is possible, trading view shows the pay out date to be in september

[Reply](#)

o  Karthik Rangappa says:
[August 9, 2021 at 9:46 am](#)

Yeah, this is not possible. Can you call the support desk to check this? Must be a dividend from another company or some other payout.

[Reply](#)

197.  Abhishek says:
[August 7, 2021 at 9:47 am](#)

Hello Karthik,
One question from my side.
An organisation X announces a bonus of 1:3

which means the shareholders get 1 additional share for every 3 shares held.

Assuming the value of my stock during bonus issue is Rs. 5000 for 50 shares.
Since the bonus issue is 1:3, I would be getting 16 additional shares and the price of the stock gets adjusted to Rs. 75.

Now after the bonus split, my total shares would be 66(1 for every 3 shares held) and total investment still remains at Rs. 5000.
That brings my average stock price to Rs. 75.75 which would mean the overall value should have been $75.75 * 50$ for me to break even.

But since the adjusted stock price is 75, the value of my investment depreciates to $75 * 66$ which is 4950.

Doesn't that put me at loss?

[Reply](#)

o  Karthik Rangappa says:
[August 8, 2021 at 9:08 am](#)

The buy average also changes, Abhishek. Check this –
<https://support.zerodha.com/category/trading-and-markets/trading-faqs/articles/average-price-reduced-after-receiving-bonus-shares>

[Reply](#)

198.  Harmit says:
[August 6, 2021 at 8:15 pm](#)

Hello Sir,

I bought Apar industries on August 4th.

They had an ex date dividend on August 5th.

I am yet to receive Apar industries in my Demat but I have already received a Dividend in my account as of 05/08/21.

How is this possible? This does not make sense.

Also it is mentioned that the payout date is in september, so how did I get the money so quickly?

[Reply](#)



o *Karthik Rangappa* says:

[August 8, 2021 at 9:04 am](#)

If you buy it before ex data, you are eligible for dividends. But I don't think you'd have received the dividend just yet. Please do a double check.

[Reply](#)



199. *Mayank* says:

[August 5, 2021 at 9:50 pm](#)

Do we get benefits of corporate actions if we hold shares in physical form not in demat.

Like for stock split or bonus issue will we receive additional stock certificate.

[Reply](#)



o *Karthik Rangappa* says:

[August 6, 2021 at 9:03 am](#)

Yes, all shareholders do. It's a lot easier to manage if the shares are held in DEMAT mode.

[Reply](#)



200. *Paresh* says:

[August 2, 2021 at 10:52 am](#)

Please give information on the time frame in which bonus or split share are credited to the account. There is no explanation regarding the same.

[Reply](#)



o *Karthik Rangappa* says:

[August 2, 2021 at 6:54 pm](#)

Usually, within 10-15, working days post the record date.

[Reply](#)



201. *Tarun* says:

[August 2, 2021 at 8:59 am](#)

Hello Sir,

I hope you are doing well.

Assuming I have bought X company at Rs. 200, (100 shares). They have a 1:1 bonus resulting in me getting 200 shares at a CMP of 100.

Now theoretically my asset value is exactly the same.

But on financial statements, 100 Shares are free while 100 shares have a loss of 100 Rs.

Lets say I sell these 100 shares at a loss to reduce my tax burden. While I retain the other 100 shares for free. Now If I sell these free shares what the STCG/LTCG I effectively pay?

[Reply](#)



o *Karthik Rangappa* says:

[August 2, 2021 at 9:03 am](#)

Check this Tarun – <https://support.zerodha.com/category/trading-and-markets/trading-faqs/articles/average-price-reduced-after-receiving-bonus-shares>

[Reply](#)

202.  *Inder* says:

[August 1, 2021 at 8:21 am](#)

Many thanks Karthik

Let's take an example if I have bought 500 shares at 100 RS on record date, and the bonus is 1:1, total investment is 50000. Price after record date will be 50 RS. As he is not eligible for bonus share now he will be in 25000 rs loss.

Could you please tell me how the price will be adjusted.

Thanks in advance.

[Reply](#)



o *Karthik Rangappa* says:

[August 2, 2021 at 8:50 am](#)

There is an adjustment factor that gets applied here, post adjustment, your cost of buying reduces, hence there is no loss with respect to the corporate action.

[Reply](#)

203.  *Indra* says:

[July 31, 2021 at 11:10 pm](#)

Thanks for sharing this information.

I have one doubt.

If anyone have bought shares on record date. As he is not eligible for bonus in this case , the next day after record date he will be in big loss. Is it true?

Please suggest

[Reply](#)



o *Karthik Rangappa* says:

[August 1, 2021 at 7:30 am](#)

No, the price will be adjusted.

[Reply](#)

204.  *Adhi* says:

[July 31, 2021 at 8:00 pm](#)

The order of definition of record date before EX-Date in the article is bothering me. Please rearrange so as to not break the flow.

[Reply](#)

-  *Karthik Rangappa* says:
[August 1, 2021 at 7:28 am](#)

I understand, but you need to know both these things contextually. Record date is post ex date, but to be eligible for record date, you need to know how and why of ex date.

[Reply](#)

205.  *Vivek* says:
[July 30, 2021 at 10:33 pm](#)

What happens to the price when you have holded 1 share before ex date, when a company declares bonus 1:3(For every 3 shares held, 1 bonus share)? Is it profitable to hold!?

[Reply](#)

-  *Karthik Rangappa* says:
[July 31, 2021 at 5:30 am](#)

You get 3 additional shares, Vivek.

[Reply](#)

206.  *Teja* says:
[July 29, 2021 at 11:21 am](#)

Will the average cost of our purchased stocks also decrease with the price of stock

[Reply](#)

-  *Karthik Rangappa* says:
[July 29, 2021 at 8:32 pm](#)

Yes, the buy average also changes.

[Reply](#)

207.  *SP TIWARI* says:
[July 26, 2021 at 11:45 pm](#)

30th July 2021 is record date for bonus, I have call option of July expiry.
What will happen on ex date.
Please reply on mail also as tomorrow is exdate.

[Reply](#)

-  *Karthik Rangappa* says:
[July 27, 2021 at 9:58 am](#)

The derivative contract will be adjusted accordingly to accommodate the price change. So nothing to worry.

[Reply](#)

208.  *Tusshar* says:
[July 26, 2021 at 7:46 am](#)

Hello Sir,

I have a few questions

1) A company has authorized share capital of 10L shares, issued share capital of 1L share. What does it do with the balance 9L share? Where are those kept? Are those 9 L shares counted in the share holding pattern?

2) When a company undergoes a split of bonus, the EPS reduces substantially correct? PAT would remain the same, but EPS reduces. What can one infer from this and how does one account for this?

[Reply](#)



o *Karthik Rangappa* says:
[July 26, 2021 at 11:05 am](#)

1) Authorized is like a notional equity capital. What matters is subscribed and paid-up capital
2) Split and bonus just affect the quality of shares the investor has. The value of the shares and the balance sheet will remain the same.

[Reply](#)



209. *Midhun Johnson* says:
[June 26, 2021 at 11:48 am](#)

Hi Karthik,
What is the reason for dividing the market value of a share after the bonus issue?

[Reply](#)



o *Karthik Rangappa* says:
[June 26, 2021 at 7:32 pm](#)

Give you share the context, please?

[Reply](#)



210. *Ashwinkumar Shet* says:
[June 24, 2021 at 12:26 pm](#)

Hi team,
In 11.4 Stock split, the mentioned ratio is wrong. It should have been 2:1 and in that manner for the following examples. Please correct it.

[Reply](#)



o *Karthik Rangappa* says:
[June 24, 2021 at 7:21 pm](#)

Checking this.

[Reply](#)



211. *Pavan S* says:
[June 22, 2021 at 2:22 pm](#)

Hi.

My doubt on dividend. SBIN: Ex date is 3rd June 2021. Record date is 4th June 2021. If a person has bought share on 2nd June 2021, will he is entitled to receive dividend.

Thanks.

[Reply](#)

-  *Karthik Rangappa* says:
[June 22, 2021 at 7:33 pm](#)

Not really. Should have bought at least on 1st.

[Reply](#)

212.  *Inderdeep* says:
[June 15, 2021 at 7:15 am](#)

In case of stock split, if a company splits with a ratio of 1:2.5, and a shareholder holds 1 share, how is the calculation done and where does the extra amount of .5 go ??

[Reply](#)

-  *Karthik Rangappa* says:
[June 15, 2021 at 10:35 am](#)

That will be cash-settled. Usually, the split will be in whole numbers, but it can lead to fractional shares which will be cash-settled.

[Reply](#)

213.  *Tarun* says:
[June 14, 2021 at 11:17 am](#)

Sir, what do you mean by a face value of a stock, and how it computed by the company/exchange?

[Reply](#)

-  *Karthik Rangappa* says:
[June 14, 2021 at 8:40 pm](#)

Its a notional value of the share set by the company at the time of company formation.

[Reply](#)

214.  *Atul A* says:
[June 10, 2021 at 11:36 pm](#)

One of the best explanation in simple layman language .Must compliment the writer and editor
Many douts cleared in the first reading only

[Reply](#)

-  *Karthik Rangappa* says:
[June 11, 2021 at 11:33 am](#)

Happy reading, Atul!

[Reply](#)

215.  *Brijesh Kumar* says:
[June 10, 2021 at 7:42 pm](#)

Vikas Ecotech right issue how to apply.

[Reply](#)

216.  *Bibhuti* says:
[June 8, 2021 at 2:15 pm](#)

One thing confused me please clear it.

When a bonus is issued why reserve decreased? Price is decreasing because of bonus then why reserve also decrease? Then where this reserve money goes after bonus issue?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 8, 2021 at 7:24 pm](#)

When the bonus is issued, cash from reserves is reduced, and share capital is increased and the balance sheet is balanced.

[Reply](#)

217.  *Nikunj* says:
[June 8, 2021 at 12:55 pm](#)

When the stock goes ex-dividend, usually the stock drops to the extent of dividends paid. For example, if ITC (trading at Rs. 335) has declared a dividend of Rs.5. On ex-date, the stock price will drop to the extent of dividend paid, and as in this case, the price of ITC will drop down to Rs.330. The reason for this price drop is because the amount paid out no longer belongs to the company.

May i know Who decides the new price?

The stock exchange (nse or bse) Or the market participants are so smart that they will bid for the price accordingly

[Reply](#)

- o  *Karthik Rangappa* says:
[June 8, 2021 at 1:26 pm](#)

There are standard '\adjustment factors\' for such events, which the exchange will implement and normalize the price.

[Reply](#)

218.  *Nandeesh* says:
[June 4, 2021 at 2:22 am](#)

My doubt is regarding the bonus.

Let us assume that the ratio is 1:3 and I have 5 shares of that company. Soo is it that I get just 1 bonus share for holding 3 and no bonus share for the remaining 2 shares held.?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 4, 2021 at 10:14 am](#)

That will be considered as fractional shares and will be settled in cash.

[Reply](#)

219.  *Harit* says:
[June 2, 2021 at 1:07 pm](#)

Hello Sir,

This is a follow to my previous question.

For example Sundaram Finance Holding has a rights issue at 50. The current price is 75. Now that rights are traded, I can buy as much rights issue as I want and then sell it at cmp at 75. Something seems off.

When a company issues new shares, do the existing shares getting diluted? Do they remove the money from their reserves?

[Reply](#)

220.  *Sunil Kumar A* says:
[June 1, 2021 at 5:42 pm](#)

Hi Karthik, Bonus issue and stock split looks quite similar. In the latter there is face value as a basis but what about Bonus issue ??
How ever they sound quite similar , at least from your explanation. Please clarify !!

[Reply](#)

o  *Karthik Rangappa* says:
[June 1, 2021 at 8:33 pm](#)

Bonus is decided basis the number of shares you hold. For example, 2 bonus shares for every 3 held.

[Reply](#)

221.  *Harit* says:
[June 1, 2021 at 7:57 am](#)

Dear Karthik,

I did read that before asking a question.

A] My confusion is about what happens post rights allotment? I buy the rights at 50, the CMP is at 75. Do the prices converge or
basically I can sell the shares immediately once I got the shares allotted for Rs. 25 for a 50% gain. This doesn't make sense to me.

B] Where are these new shares created?? Does the promoter have to decrease his holdings.

C] I don't understand how new shares are given out for bonuses and esops etc. Where do they come from as 100% of the company's
shares are owned by some entity correct? Like 60 % promoters, 30% Retail, 10 % DII/FII etc.
So how are new shares created and from where?

Thank you

[Reply](#)

o  *Mohit Mehra* says:
[June 1, 2021 at 10:48 am](#)

The rights shares are new shares issued by the company against the discounted price you're paying. The shares of a co. incorporate the effect of rights on the ex-date itself since everyone knows how many new shares will be issued and how much dilution of holdings is taking place. This also affects the balance sheet structure of the company. Assume you hold 1 share of a co.,

and it issues you one more rights share at the current market price of Rs. 100. Now, this Rs. 100 goes to the co. and it can use the money for business activities. Since the balance sheet structure of the co. has changed even though the price of the rights share was the same as other shares, the share price of the co. may change. Let's take a look at your questions:

A. Since the price convergence takes place on the ex-date (much before the rights shares are issued), you should be able to sell the shares immediately for a gain if the rights are issued at a significant discount.

B. The company has issued new shares to its shareholders. The promoter holdings may change if they apply for more shares or less shares than they're entitled to. Assume the co. has two shareholders, you & me. It issues rights in the ratio of 1:2. You hold 100 shares and can apply for 50 rights. I hold 200 shares and can apply for 100 rights. Original shareholding pattern: You – 33%, Me – 66%. I apply for 80 shares and you take up 70 rights shares. Now, the shareholding pattern becomes: You: 38% (170/450), Me: 62% (280/450)

C. The company creates new shares and issues them. New shares can be created just like you make them when a co. is formed or sometimes when it goes IPO.

[Reply](#)



222. *Harit* says:

[May 31, 2021 at 8:38 am](#)

Hello Sir,

I hope you are doing well.

Can you update this section with the new rights issue mechanic since we can purchase rights issues like a share in the market now.

Rights are always listed at a discount, so the rights are over does the discounted price and the CMP converge?

For example sundaram financial holding has a rights issue at Rs. 50, the CMP is 75. What happens to the stock price after the shares are allotted?

[Reply](#)



o *Karthik Rangappa* says:

[May 31, 2021 at 10:15 am](#)

Will try and do that, Harit. Check this meanwhile –

<https://support.zerodha.com/category/trading-and-markets/trading-faqs/articles/right-entitlement>

[Reply](#)



223. *Nishant* says:

[May 27, 2021 at 4:30 pm](#)

Sir, Like BPCL has declared a dividend of 58 rs so I can buy 1 lot in cash segment and sell 1 lot in future of same month. With this the stock price will remain balanced as if stock moves High then cash segment will give profit and future lot sell will give loss while the opposite of same holds true if stocks moves on lower side and when ex date came that day we can get the dividend amount and close both the position. Does this type of strategy is successful in real market. On theory it looks gud.

[Reply](#)



o *Karthik Rangappa* says:

[May 27, 2021 at 8:23 pm](#)

Hmm, but with such dividends, the futures would have factored in the price. I haven't checked, but did the futures trade at a discount to spot?

[Reply](#)

224.  *Nishant* says:

[May 27, 2021 at 2:57 am](#)

Sir,

If company is giving special dividend (i.e more than 5%) and if I want gain the dividend amount can I go long in cash equity and short in future of the same month. Will it help me to get the dividend amount as both future and cash will get adjusted on ex date.

[Reply](#)

o  *Karthik Rangappa* says:

[May 27, 2021 at 11:18 am](#)

Yes, you can do that.

[Reply](#)

225.  *nalini* says:

[May 21, 2021 at 2:33 am](#)

Hi sir,

I have one doubt. If suppose I buy 100 shares of a company for 100Rs. The value invested is 10,000Rs. The company issues 1:1 bonus. So I will get 200 shares. After 3yrs the stock price rises to 200Rs, and if I sell those shares I will get $200 \times 200 = 40,000$ Rs. Am I right sir?

Thanks in advance.

[Reply](#)

o  *Karthik Rangappa* says:

[May 21, 2021 at 12:16 pm](#)

That's right, the price you get at the time of selling = number of shares * price per share.

[Reply](#)

226.  *Vipul* says:

[May 15, 2021 at 11:39 am](#)

When there is Rights issue – do Mutual Funds/ Institutional investors also get an option to buy into the rights issue? Or are there special conditions for such investors?

[Reply](#)

o  *Karthik Rangappa* says:

[May 15, 2021 at 7:20 pm](#)

Yes, all investors do.

[Reply](#)

227.  *Salem* says:

[May 6, 2021 at 2:33 pm](#)

Hello Sir,

I thank you for replying to my question.

I still did not understand how companies create new shares for Bonus/split/rights issue.

Your answer was that they deduct cash from their reserves.

But how does that happen? If they deduct cash from their reserves that cash goes to their current account correct?

Please let me know?

[Reply](#)



o *Karthik Rangappa* says:

[May 6, 2021 at 9:44 pm](#)

Ah, reserves as in not the funds in the bank. You need to look at it from the Balance sheet perspective.

[Reply](#)



228. *mukesh* says:

[May 6, 2021 at 1:14 pm](#)

hi karthik,

1. is there anything like I need to hold some minimum number of shares to be eligible for a dividend payout?

2. if I m eligible to get a dividend then how many days will it take for the amount to be transferred to my demaat account?

3. if I am a share holder of a particular company and the company announces dividend payouts then will the dividend amount automatically settle in my demaat account or will I have to apply for that or something like that?

thanks,

mukesh

[Reply](#)



o *Karthik Rangappa* says:

[May 6, 2021 at 9:40 pm](#)

1) Not really

2) Depends on the company

3) Yes, the funds will be settled directly to your bank account, not to your DEMAT account.

[Reply](#)



229. *akmittal* says:

[May 6, 2021 at 10:51 am](#)

sir last year reliance m Facebook ne invest kiya around 10,000cr... my question is this ...toh unko 10,000 cr k huge share bechee kisne ???

retail investors ne , Institutions ne ya promotor ne...??

company m kis k share kam hue

[Reply](#)



230. *akmittal* says:

[May 5, 2021 at 4:18 pm](#)

sir, Delisting k time pr Outstanding shares ki settlement Kaise Hoti...??
kya promotor sab k shares khreed let

[Reply](#)

- o  *Karthik Rangappa* says:
[May 5, 2021 at 7:55 pm](#)

Yes, sometimes the company buys them back.

[Reply](#)

231.  *akmittal* says:
[May 4, 2021 at 9:39 am](#)

sir , If Companies share price follow its companies business performance is true ??
Then 2 day ago Reliance 2021 Q4 Result is almost double its Previous 2020 Q4 result.
I think Thats Huge Growth, But even after Good Result, Reliance Share price Goes Down around 2%
In next 2 trading session.

[Reply](#)

- o  *Karthik Rangappa* says:
[May 4, 2021 at 11:27 am](#)

The fact that the results will be good was perhaps already factored into the price 😊

[Reply](#)

232.  *akmittal* says:
[May 3, 2021 at 9:32 pm](#)

Buyback se Company k reserve pr kya fark pdta h..??

[Reply](#)

233.  *akmittal* says:
[May 3, 2021 at 9:16 pm](#)

sir, Delisting k time pr Outstanding shares ki settlement Kaise Hoti...??
kya promotor sab k shares khreed leta

[Reply](#)

234.  *Pitabash Sahu* says:
[May 2, 2021 at 10:45 pm](#)

During buy back corporate action, does the company reserves the right to take back the shares from a share holder against his wish? Or it has to buy back the shares with the consent of the share holder.

[Reply](#)

- o  *Karthik Rangappa* says:
[May 3, 2021 at 9:38 am](#)

No, the company cant do that.

[Reply](#)

235.  *Salem* says:
[April 28, 2021 at 3:24 pm](#)

Hello Sir,

For Rights and bonuses, how is the company creating new shares?
Are they reducing the amount of shares from the promoter?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 28, 2021 at 9:35 pm](#)

They can issue new shares by deducting cash from reserves.

[Reply](#)

236.  *Priyanka Jadhav* says:
[April 27, 2021 at 4:29 pm](#)

Understood

[Reply](#)

237.  *AKMITTAL* says:
[April 20, 2021 at 7:52 pm](#)

SIR, AS P/B RATIO OF RELIANCE INFRA IS 0.08 ONLY AND ITS BOOK VALUE IS 400 .
ACCORDING TO RATIO ASSETS ARE MORE THAN ITS LIABILITY , SO SHOULD I BUY OR
NOT?, WHERE COMPANIES ASSET IS MORE THAN ITS LIABILITY.

[Reply](#)

- o  *Karthik Rangappa* says:
[April 20, 2021 at 10:25 pm](#)

Ratios are ok, you need to look at the financial statements for a detailed perspective.

[Reply](#)

238.  *AKMITTAL* says:
[April 20, 2021 at 7:47 pm](#)

SIR ,CAN YOU SHARE ANY TRADING TECHNIC IN WHICH LOSS IS NEGLIGIBLE, AND GET
GOOD REWARD ON THAT BET

[Reply](#)

- o  *Karthik Rangappa* says:
[April 20, 2021 at 10:23 pm](#)

Wish I knew the same 😊

[Reply](#)

239.  *B P Venkatraju* says:
[April 17, 2021 at 10:13 pm](#)

If you hold 21 shares & 5:1 bonus issue declared, you get 105 bonus shares and with your original shares your total shares will be 126.

[Reply](#)

240.  *MANISH Gulati* says:
[April 16, 2021 at 11:14 am](#)

Buy back is not clear, what is open market buy back?
Advantage or disadvantage for investor to participate.

[Reply](#)

241.  *Rohan Mahantesh* says:
[April 7, 2021 at 12:21 am](#)

Hi!!
Thanks for providing such an amazing course.
I had a query regarding the rights issue. If it's something similar to second IPO, will there be any role assigned to the Merchant Bankers? If yes, can you please explain how will this scenario be different from that of the first IPO?

[Reply](#)

o  *Karthik Rangappa* says:
[April 7, 2021 at 8:16 am](#)

Rohan, a merchant banker will be appointed to manage the issue, find the right price for the rights and do the legal legwork with regulators. The price discovery steps of the merchant banker will be slightly different than in an IPO since shares of the company are already listed and there's a ready reference point.

[Reply](#)

242.  *Varun Raipat* says:
[March 19, 2021 at 6:42 pm](#)

In the table, it's showing that share price decrease after Bonus Issue. But at the end of that paragraph, you said Face Value remains unchanged, how is this possible since Face value is the value per share. Please clear my confusion.

[Reply](#)

o  *Karthik Rangappa* says:
[March 20, 2021 at 10:21 am](#)

Bonus shares, the face value remains the same (unlike stock splits), and the share price reduces.

[Reply](#)

243.  *Hemant* says:
[March 9, 2021 at 5:31 pm](#)

Hey Karthik, I have a confusion regarding dividend payout. Ex dividend date is announced before the arrival of ex date. So, If anyone who buys the stock before ex dividend date and sell it on or after ex dividend date, then after 30-45 days, he will receive the dividend amount. If it is that simple that holding a company for 2-3 days make you eligible for dividend payout, anyone can receive dividend very easily without losing anything. Please explain why does everyone not invest in stock for 2-3 days just to receive dividend payout if it's that simple ?

[Reply](#)

-  *Karthik Rangappa* says:
[March 9, 2021 at 9:51 pm](#)

Yes, but you are assuming that your buy and sell results in a profit. What if it does not?

[Reply](#)

244.  *Viral Gala* says:
[February 19, 2021 at 11:18 am](#)

What will be the impact on the share price after ex-split date, If the face value increased from previous value of 2 to 10, i think its no. of shares will drop & the value should increase...what if the share value does not increase after ex split date, should we buy or not, as generally the value of share post split should be 5 times in such case and if we are getting at the same rate, discounted rate i think we should buy that...

[Reply](#)

-  *Karthik Rangappa* says:
[February 19, 2021 at 4:25 pm](#)

Across both splits and bonus, the number of shares will vary but the value remains the same.

[Reply](#)

245.  *Vipin Jain* says:
[February 17, 2021 at 9:55 pm](#)

Hi, I sold put option of ITC FEB expiry of @220.
Will the strike price change post ITC Interim dividend which is on 22nd Feb.. Means it will become strike price @215 and I need to take physical delivery @215.

[Reply](#)

-  *Karthik Rangappa* says:
[February 18, 2021 at 11:20 am](#)

Depends on the dividend. Co incidentally, we are putting up a small post on the same topic on Instagram, do follow us there for info 😊

[Reply](#)

246.  *Venkatesh* says:
[February 11, 2021 at 10:15 am](#)

Thank you very much karthik. This explains.

[Reply](#)

-  *Karthik Rangappa* says:
[February 11, 2021 at 5:40 pm](#)

Sure, good luck and happy reading, Venkatesh.

[Reply](#)

247.  *Venkatesh* says:

[February 9, 2021 at 5:00 pm](#)

I sold IOC 105 feb CE yesterday as today is ex-date for rs.7.5 dividend payout. Today IOC feb 105 CE contract adjusted to dividend pay out amount and I see strike as IOC 97.5 ce in my positions. However IOC feb FUT didn't seem to go through this change, so it appears we should sell FUT before ex-date if we expect correction in stock price due to significant dividend payout. Is that correct? Could you please help me understand?

[Reply](#)



o *Karthik Rangappa* says:

[February 9, 2021 at 8:56 pm](#)

Hmm not really, check this post – <https://tradingqna.com/t/adjustment-of-f-o-contracts-in-rec-limited/94659>

[Reply](#)



248. *Trace* says:

[February 8, 2021 at 6:36 pm](#)

Dear sir,
Sorry if this Is a repetitive question.

When you say you need to buy a share before Ex Date, does it mean have it in my Demat account or buy it before Ex date?

Lets say Ex date for X company is 10/02/21.

Do I need to have shares of the company by 09/02/21 in my demat or can I purchase shares on 09/02/21 and take delivery in order to receive a dividend?

[Reply](#)



o *Karthik Rangappa* says:

[February 8, 2021 at 11:07 pm](#)

Trace, we have discussed this across the queries, request you to please check the same.

[Reply](#)



249. *suryakant verma* says:

[February 5, 2021 at 5:10 pm](#)

1. Is ex-date is same as effective date?
majesco ltd. only mention effective date on moneycontrol.

2 I bought only 1 share(for test purpose) of majesco on 21/12/2020 effective date is 23/12/2020, i didn't get any dividend, any idea?

[Reply](#)



o *Karthik Rangappa* says:

[February 6, 2021 at 11:25 am](#)

1) Not sure what éffective\' date is but it looks like it
2) Nope, you may want to call the support for this.

[Reply](#)



250. *Dharmendra* says:

[January 27, 2021 at 8:51 am](#)

If the company gives a bonus with 1:1 ratio then the participant's share will be double but the share price will reduce to half then in this transaction, how it will be beneficial to the participant?

[Reply](#)



o *Karthik Rangappa* says:
[January 27, 2021 at 10:46 am](#)

Share price reducing, qty increasing results in same value, right?

[Reply](#)



251. *Satish* says:

[January 25, 2021 at 6:51 pm](#)

Hi Karthik,

In the case of "Buyback", at what price company buys the shares from you, and is it negotiable? What if I don't want to sell it?

[Reply](#)



o *Karthik Rangappa* says:
[January 26, 2021 at 10:53 am](#)

Its a fixed price, it is it really up to you if you want to tender the shares or not.

[Reply](#)



252. *pratik* says:

[January 2, 2021 at 1:15 pm](#)

Karthik i have two questions:-

1) Are dividends paid share ex. if Rs10 dividend is announced and i have 10 shares of that company do i get Rs100?

2) How can company generate bonus shares without changing the face value? in this way any company can generate any no. of shares they want?

[Reply](#)



o *Karthik Rangappa* says:
[January 2, 2021 at 6:57 pm](#)

1) Yes, that's right. Its always on a per-share basis.

2) They can't generate any amount of shares, essentially they will have to infuse more equity from reserves and create more equity.

[Reply](#)



253. *Vishal* says:

[December 25, 2020 at 8:51 pm](#)

Hi,

1) buying a shares at record date will be risky? Right. For e.g. If anyone had bought majesco at 23 Dec, which was record date, around rs ~980 per share, and next day price was adjusted and dropped to 12. Huge loss correct? As not eligible for dividend.

And this will applies to bonus, stock split scenarios as well. ?

2) I can sell at record date and purchase next day, ATST. Think of majesco 23 & 24 dates. Huge profit. Is my assumption is correct?

[Reply](#)



o *Karthik Rangappa* says:
[December 26, 2020 at 9:02 am](#)

- 1) It is not a loss, on the record date, the price would have been adjusted right?
- 2) There are no huge profits, its just that you are getting a dividend 😊

[Reply](#)



254. *Aayush Mohanty* says:
[December 25, 2020 at 1:17 am](#)

Hey Kartik, awesome writing here, it's been easy to understand a lot of stuff. This was written in 2014, I hope you're doing well. My question was regarding bonus issue. As far as I've been able to understand it, the company takes money out of it's reserve, buys some of it's own shares, and gives it to shareholders for free. The company hence can transfer the money in the reserves to the share capital and the shareholders can get extra shares. My question is are the shares that the company procures, are these from the unissued shares pile? If the number of issued shares are now increased, does the company have a smaller stake? If yes, then is this another point of difference b/w stock split and bonus issue? If anything I've said here is stupid, please spare me, I'm an engineering fresher with zero finance knowledge, trying to learn

[Reply](#)



o *Karthik Rangappa* says:
[December 25, 2020 at 7:17 am](#)

Thanks, Aayush. I'm doing good!

Thats right, these are new shares and all shareholders (including the promoters) get diluted with bonus shares. Thats also correct about the difference between Bonus and split, and you are right about it 😊

[Reply](#)



255. *Chandu* says:
[December 16, 2020 at 10:43 am](#)

Sir I thought of applying for majesco dividend of 974, where the stock price is 982 and I came to know that stock price might come down in the market after exdividend
Sir what really happens after exdividend

[Reply](#)



o *Karthik Rangappa* says:
[December 16, 2020 at 9:23 pm](#)

Thats right Chandu, the price will decrease to the extent of the dividend paid.

[Reply](#)



256. *Rajeev ranjan* says:
[December 16, 2020 at 9:17 am](#)

@ Mr kartik is there any other module for intraday strategies... I am tired of learning intraday trading style but there is not any clear module anywhere where one can learn intraday. As I am a beginner. Please recommend me something to read and learn and practice.

Regards

[Reply](#)



- o *Karthik Rangappa* says:
[December 16, 2020 at 9:57 am](#)

Most of the TA patterns can be applied to intraday as well.

[Reply](#)

257.  *Avi* says:

[December 5, 2020 at 7:44 pm](#)

Sir how Share price after Bonus issue is determined

[Reply](#)



- o *Karthik Rangappa* says:
[December 6, 2020 at 9:57 am](#)

It gets adjusted to by the factor to which the bonus is issued.

[Reply](#)

258.  *Reyansh* says:

[November 21, 2020 at 10:46 pm](#)

What if I sell the shares I hold after the record date or the ex date? Will I still get the dividend?

[Reply](#)



- o *Karthik Rangappa* says:
[November 22, 2020 at 10:08 am](#)

Yes, you will if you hold to record date.

[Reply](#)

259.  *Mahant* says:

[November 11, 2020 at 7:56 pm](#)

what happens on ex-record date and on record date of buyback offer ? I mean whether price go up or down ?could you please elaborate with reasons as well .
Thanks in advance

[Reply](#)



- o *Karthik Rangappa* says:
[November 11, 2020 at 8:42 pm](#)

Prices are not affected by the buyback. Of course, if the buyback is backed by solid reasons, and if the buy back is at a much higher price compared to the market price, then the stock price may increase.

[Reply](#)

260.  *Yathish* says:
[November 10, 2020 at 8:38 am](#)

Is Face value of the stock and LTP is same or different?
 what do you exactly meaning of face value?

[Reply](#)

◦  *Karthik Rangappa* says:
[November 10, 2020 at 1:32 pm](#)

No, face value is the nominal value of the share, set by the company at the time of creating the shares. LTP is the last traded price of the company driven by market's demand and supply.

[Reply](#)

261.  *Ritik* says:
[October 29, 2020 at 1:59 am](#)

Why Would The Share prices Of The Company Drop After Paying Out The Dividends ? How Does It Matter if The Company has Paid The Dividends and The Amount No Longer Belongs to The Company , I Mean , After all It Is The Shareholders Who Buy The Shares of The Company and The Supply and Demand of It Is What Determines The Prices of The Shares ; Not How Much Cash The Company Has Got.

[Reply](#)

◦  *Karthik Rangappa* says:
[October 29, 2020 at 12:44 pm](#)

No, not always do the share price drop upon the issuance of a dividend. It happens when only large/special dividends are paid out, which as you know is not a regular affair.

[Reply](#)

262.  *Sanjeev* says:
[October 28, 2020 at 10:56 pm](#)

I understand for futures it is easier. But what about PE and CE as they have Strike prices in their name for example SBI Oct 200 PE and SBI Nov 205 CE. How can this be managed until it is banned for at least month.?

What could be the possible strike prices for this and what about Open Interest data? Please elaborate.

[Reply](#)

◦  *Karthik Rangappa* says:
[October 29, 2020 at 12:43 pm](#)

The adjustment ratio is applicable to all strikes. The exchange has a proper framework to ensure the adjustment happens smoothly.

[Reply](#)

263.  *Sanjeev Patel* says:
[October 24, 2020 at 5:58 pm](#)

Hi Karthik,
 I was curious to know what if someone is holding a future and then stock split or bonus share

announced.

How would the price change happens and lot size. also explain for PE and CE. What is the rule for that and what really happens.

[Reply](#)



- o *Karthik Rangappa* says:
[October 25, 2020 at 8:17 am](#)

The futures contract will be adjusted accordingly, Sanjeev. The adjustment factor is released by the exchanges under such situation.

[Reply](#)



- 264. *Minal Parab* says:

[October 20, 2020 at 11:16 pm](#)

Thanks for the reply.

Company has not provided any reason for capital reduction.

I want to understand what is capital reduction and what exactly happens when any company announces capital reduction?

Thanks,
Minal.

[Reply](#)



- o *Karthik Rangappa* says:
[October 21, 2020 at 9:45 am](#)

They do this by cutting the face value, they do this is distribute reserves, return cash to shareholders, and some time to improve the financial metrics (ROA, ROE etc).

[Reply](#)



- 265. *anmol sharma* says:

[October 20, 2020 at 5:09 pm](#)

does the company pay dividends to company shareholders only or to outstanding shares that are held with the company too?

I mean to ask, total how many parties are eligible to get dividends?

[Reply](#)



- o *Karthik Rangappa* says:
[October 20, 2020 at 8:48 pm](#)

Dividends are paid to all the shareholders of the company Anmol.

[Reply](#)



- 266. *Minal Parab* says:

[October 19, 2020 at 9:08 pm](#)

Hello sir,

First of all thank you very much for providing so much information.

I have query about Reduction of Capital. Today Subex have announced reduction of capital 1:1. but i am not able to understand what exactly it is. please provide some information about the same.

Once again thanks a lot.

Regards,
Minal Parab.

[Reply](#)



- o *Karthik Rangappa* says:
[October 20, 2020 at 10:03 am](#)

The company would have stated the reason, I'd suggest you look at the reasons quoted by the company.

[Reply](#)



267. *Poonam Gupta* says:
[October 14, 2020 at 4:09 pm](#)

Exactly on the ex-dividend date, who is eligible for the entitlement of the dividend?????. Purchaser or seller of the share???... Please clarify

[Reply](#)



- o *Karthik Rangappa* says:
[October 14, 2020 at 9:36 pm](#)

Seller.

[Reply](#)



268. *Swati* says:
[October 3, 2020 at 11:23 pm](#)

Karthik,

Thanks for the excellent write up and explanations. I have just started reading them and enjoying it.

Regards Bonus and Stock split, essentially in both cases the number of shares increases, share price goes down but the investment value remains same. In stock split i understand the face value reduces. My question is in what circumstances will a company choose stock split over bonus or vice-versa and why ?

[Reply](#)



- o *Karthik Rangappa* says:
[October 4, 2020 at 9:51 am](#)

I need to do a bit of reseach on this, Swati. I'll get back on this 😊

[Reply](#)



269. *Shalini Singh* says:
[October 2, 2020 at 4:05 pm](#)

Sir what is the difference between sorting and buying ?

[Reply](#)

- o  *Karthik Rangappa* says:
[October 2, 2020 at 10:38 pm](#)

Shorting is selling first and then buying. The sequence of 'buy-sell' is reversed.

[Reply](#)

270.  *satish* says:
[October 1, 2020 at 10:01 pm](#)

what is the use of rights issue? the management is creating/issuing new shares and we are paying for those shares right? instead of gaining anything we are losing since per share earnings will fall right? then what is the point of rights issue? Can you please explain karthik and correct me if I'm wrong.

[Reply](#)

- o  *Karthik Rangappa* says:
[October 1, 2020 at 10:47 pm](#)

Management is raising funds by tapping into the existing shareholder's base. Yes, you have to pay for this if you wish to subscribe. The funds will be used to improve the business prospects which will give better shareholder's value in the future, or at least that is the expectation of the rights issue.

[Reply](#)

271.  *satish* says:
[October 1, 2020 at 9:53 pm](#)

Hi Karthik, Bonus issue decreases the share price. But the face value remain constant. So if X company has 10000 shares and face value is 10, then they have 1lakh as Capital reserves ($10000 \times 10 = 1 \text{ Lakh}$) and premium over face values times number of shares as Securities premium reserve / account. So bonus share increases share capital right? and what happens to Securities premium reserve / account?

[Reply](#)

- o  *Karthik Rangappa* says:
[October 1, 2020 at 10:37 pm](#)

That's right, the bonus increases the share capital. Securities premium reserves will come down.

[Reply](#)

272.  *Nihar* says:
[September 30, 2020 at 11:28 am](#)

Great content! Thanks for it and the comment section as well.

I don't quite understand rights issue. If a company's stock was trading at 100/-, at announcement date there is a rights issue of 1:2 $\Rightarrow$ For every 2 stock the subscriber already held, he/she can buy new 1 stock at discount price (till ex date, right?). After payout date, a non-subscribed user will still be seeing the company's stock at 100/-. Is this right?

So my question(s) are-

1. Where are the stocks being generated? Are they fresh stocks or the company is offering their own portion at lower price.
2. By what all means can the company issue new stocks to already existing stocks? Eg- if there are 100 stocks and I as promoter want to issue 1000 more stocks, what should I be doing?
3. In Rights issue, what happens after payout date; to the stock price, number of stocks in circulation?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 30, 2020 at 10:03 pm](#)

That's right.

- 1) These are usually new shares issued
- 2) Promoters can dilute or the company can issue new shares.
- 3) Stock price remains the same, but the number of stocks increases.

[Reply](#)

273.  *Raj* says:
[September 30, 2020 at 8:51 am](#)

For a stock, ex split date was on Tuesday, record date was on Wednesday.
So if I bought the stock on Monday, one day before ex split date.
Am I eligible to get the splits ?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 30, 2020 at 10:16 am](#)

Yes, you should be.

[Reply](#)

274.  *Krutuparna randive* says:
[September 27, 2020 at 9:35 pm](#)

Hi Karthik sir,
Will you please explain in detail why the stock price reduces after stock dividend. I understood what is mentioned in this module but unable to understand exactly the Reason why there is reduction in the stock price. I learned a bit accounting of bonus issue, there I find that the proportional balance is transferred from reserves to the share capital and the balance of share capital increases, now here's one question, why they price falls though the balance of share capital increased.
Sir I am extremely confused on such small topic please help me.
Also why company opt for bonus issue instead of stock split as both has same effect.
Your response will be extremely helpful.

[Reply](#)

- o  *Karthik Rangappa* says:
[September 27, 2020 at 9:55 pm](#)

The stock price does not really reduce for normal dividends. But it does when special dividends are issued. Special dividends are those which are more than 15% (or 25%??) of the current market price.

In bonus issue, the value has to remain the same right? Else, I can keep on issuing bonuses and increase the shareholder's value. Remember, the marketcap is a function of sharecap * stock price. If just the share cap increases without the adjustment to CMP, then that will artificially increase the market cap of the company.

[Reply](#)

275.  *Dounil Dharod* says:

[September 27, 2020 at 12:50 am](#)

A very silly question – as the price of the share increases or decreases, does the balance of bank a/c of the company and/or demat a/c of shareholder increase/decrease?

[Reply](#)



o *Karthik Rangappa* says:
[September 27, 2020 at 9:33 am](#)

Nope. The balance impacts only when you sell the share and decide to liquidate.

[Reply](#)



276. *Raghu Vamsi* says:
[September 14, 2020 at 11:02 am](#)

Is record date and effective date both or same?

[Reply](#)



277. *satish* says:
[September 13, 2020 at 6:58 pm](#)

Hi Karthik, What is the difference between interim dividend and final dividend? Also, I wanted to ask is there any other type of dividends that are paid by the company to shareholders?

[Reply](#)



o *Karthik Rangappa* says:
[September 13, 2020 at 9:25 pm](#)

Interim is issued during the year, final is issued at the financial year-end. Apart from these two, companies can issue special dividends as well.

[Reply](#)



278. *Parth Shah* says:
[September 8, 2020 at 12:04 pm](#)

Hey Karthik

I need detail information regarding buy back. like how it happens , the whole process and at which proce they buy their share back? what if the shareholder is not ready to give it back?

[Reply](#)



o *Karthik Rangappa* says:
[September 8, 2020 at 1:18 pm](#)

Please do check this, Parth – <https://support.zerodha.com/category/trading-and-markets/corporate-actions/articles/how-do-i-apply-for-buy-back>

[Reply](#)



279. *Arati* says:
[August 31, 2020 at 11:31 am](#)

I purchased M&M finance RE shares. Where did that go? Im not able to see them in my portfolio nor the price gas been balanced or averaged.

[Reply](#)

-  *Karthik Rangappa* says:
[August 31, 2020 at 9:45 pm](#)

The REs lapse after the trading period is over. Its like holding on to the rights application form after the rights issue has ended.

[Reply](#)

280.  *Mihir Shah* says:
[August 28, 2020 at 4:10 am](#)

So say suppose the company issues shares at an FV of Rs. 10, but over the years the company performs poorly and the market value of the share drops to around 3 Rs. and in that case, the company decides to buy back the shares, given the current market value of the shares it is quite safe to assume that the shares are illiquid and that most of the stakeholders would not mind selling the shares, the company would have just ended up shorting the shares over a period of few years, I am thinking about shell companies. Really new to this, please do let me know if this situation is not at all possible due to the SEBI guidelines, if there are any. Also, awesome series of articles!

[Reply](#)

-  *Karthik Rangappa* says:
[August 28, 2020 at 12:13 pm](#)

Mihir, there is a legal way to do this. The company will have to announce a buy back. The buy back is usually at a premium to market price, which gives the existing shareholders and opportunity to exit at good prices.

[Reply](#)

281.  *SAROJ KUMAR HOTA* says:
[August 22, 2020 at 11:06 pm](#)

For having a quick glance over the daily stock price rise/fall ,year High/Low,Marketcap,div yield,beta,PE etc,I want to have these features in my portofolio list itself.Can I create .add/to my portfolio holding?

[Reply](#)

-  *Karthik Rangappa* says:
[August 23, 2020 at 8:54 am](#)

Please check the stock widget for this. Check this – <https://zerodha.com/z-connect/tradezerodha/kite/kite-3-0-everything-just-got-better>

[Reply](#)

282.  *Kartikeya Sharma* says:
[August 22, 2020 at 12:57 am](#)

How is the face value of the stock important for a trader or an investor?

[Reply](#)

-  *Karthik Rangappa* says:
[August 22, 2020 at 10:09 am](#)

All corporate actions are based with reference to the face value.

[Reply](#)

283.  *Shashank Pendyala* says:
[August 21, 2020 at 12:25 pm](#)

83 per share is announced by Company itself, so profit would be 8300. Did I miss anything here?

[Reply](#)

o  *Karthik Rangappa* says:
[August 21, 2020 at 7:56 pm](#)

Ah, sorry, for some reason I thought you said the dividend was 27, so 27 times 100 = 2700. My bad.

[Reply](#)

284.  *roopam* says:
[August 20, 2020 at 10:09 pm](#)

hi!

if on 1st Of any month dividend is declared and the ex-dividend date is 4th of that month, and I am an existing shareholder, then if I sell my shares on 3rd of that month (such that shares are still in my Demat account on ex-dividend date) Am I eligible to dividend and also did I manage to skip the drop in ex-dividend price?

Thank you,
Roopam Rana

[Reply](#)

o  *Karthik Rangappa* says:
[August 21, 2020 at 9:55 am](#)

The point is that you need to be a shareholder by the record date. As long as you are listed as a shareholdere, you'll receive the dividend. By the way, the drop in ex dividend price is not much, unless it is a special dividend, i.e. the dividend itself is over and above 25% of the share price.

[Reply](#)

285.  *Shashank Pendyala* says:
[August 20, 2020 at 9:26 pm](#)

For point 1, profit should be 83 per share and total 8300 right? You mentioned 27 per share.

[Reply](#)

o  *Karthik Rangappa* says:
[August 21, 2020 at 9:52 am](#)

I thought 27 is the dividend you are to receive. How did you arrive at 83 per share?

[Reply](#)

286.  *Shashank Pendyala* says:
[August 20, 2020 at 3:29 pm](#)

Hello Karthik,

As usual the article is excellent, one question I have regarding dividend even after reading some comments related to it.

Let's consider Britannia company, it has announced interim dividend of 83 per share, record date : 27 August 2020 and ex-date is 26 August 2020.

CMP is 3880. I have 2 cases, please clear my understanding.

1. If I bought 100 shares before ex-date then I'm eligible for dividend right and profit would be 8300 (assuming CMP has not fallen)? Then many can follow this strategy right? once dividend is received then sell the shares.

2. Since dividend amount is on higher side, chances are CMP would drop to the extent of dividend, right? Then buying the shares at this time would be a loss.

So buying the shares after announcing the dividend would be a risky factor since we cannot predict the market sentiment for Britannia unless it is bullish.

Hope I'm clear with the question.

[Reply](#)



o *Karthik Rangappa* says:

[August 20, 2020 at 8:45 pm](#)

1) Yes, as long as you have the shares before the record date, you will receive the dividends. Assuming the stock price stays at 3880, and you receive the dividends, then your profits will be 27 per share or 2700

2) Not always will it fall. It falls in case of the special dividend where the dividend is at least 25% of the CMP.

[Reply](#)



287. *Niranjana* says:

[August 17, 2020 at 2:23 pm](#)

Hi team.

I understood the concept of stock split and bonus.. you guys say the stock price reduces in the same ratio..

Say 100 is the old price.. after split it's goes to 50 (current price).

I don't own any shares until split.

The next day of split.. if I need to buy 10 shares I should be paying only 500 right ? Even though the graph shows 100 per share ?

[Reply](#)



o *Karthik Rangappa* says:

[August 17, 2020 at 8:19 pm](#)

No, you will pay the split price, since this is the current market price.

[Reply](#)



288. *tanisha* says:

[August 17, 2020 at 6:39 am](#)

The stock split and the bonus issue, both reduce the price of the stock. For the same value of money, people get more stocks. Won't this reduce the face value of stock? Also, it reduces the EPS. Does it affect the company in terms of loss?

[Reply](#)

- o  *Karthik Rangappa* says:
[August 17, 2020 at 10:47 am](#)

Thats right. Stock split reduced the FV, but not the bonus. Either way, it reduces the EPS.

[Reply](#)

289.  *RISHI KHANDELWAL* says:
[July 29, 2020 at 5:38 pm](#)

So if we consider the dividend to be greater than 25% than what all adjustments are taken? Are there dividends greater than 25%? Because that's a huge drop on the share price!

[Reply](#)

- o  *Karthik Rangappa* says:
[July 29, 2020 at 10:23 pm](#)

Yes, that is a common practice. I think recently ITC gave out a large dividend. The stock price goes down to the extent of the dividend issued.

[Reply](#)

290.  *RISHI KHANDELWAL* says:
[July 28, 2020 at 1:33 pm](#)

Whenever dividend is paid off, the stock price goes down exactly the same as the dividend paid per share. So let say a XYZ company has share price of Rs.305 and decides to pay dividend of Rs.5. Now i do get the money but i also lost the same as the share price drops down. So what exactly happens here? Kindly elaborate!

[Reply](#)

- o  *Karthik Rangappa* says:
[July 28, 2020 at 8:28 pm](#)

Usually, for small dividends this does not happen, for example, 5 on 305 is considered small. However, if the dividend is more than 25% of the stock price, the adjustment in the price happens.

[Reply](#)

291.  *Mikhail* says:
[July 27, 2020 at 9:44 pm](#)

Is it still possible to do bonus stripping still? I guess we cannot offset our short term loss with Short term gains right while paying taxes?

[Reply](#)

- o  *Karthik Rangappa* says:
[July 27, 2020 at 9:51 pm](#)

You can offset gains with losses, I need to check on bonus stripping.

[Reply](#)

292.  *Niku* says:

[July 23, 2020 at 5:29 pm](#)

Kindly advise the situation after a right issue, Stock price today ₹240, Right issue 1:1, Next day stock price opens at ₹135. Now I want to know what will happen to the put option writers position, Put buyers position, and Futures long and shot positions.

[Reply](#)



o *Karthik Rangappa* says:

[July 23, 2020 at 9:30 pm](#)

All short position makes money and long positions do not 😊

[Reply](#)



293. *Yuvraj Deshmukh* says:

[July 10, 2020 at 10:16 am](#)

I have accidently bought rights issue shares of AB Fashion but I don't have any existing shares of AB Fashion. Will I get my shares or not and what will happen to that shares afet I sell it??

[Reply](#)



o *Karthik Rangappa* says:

[July 10, 2020 at 11:19 am](#)

These were right entitlements. Do check this – <https://tradingqna.com/t/aditya-birla-fashion-rights-issue/82619>

[Reply](#)



294. *Kalpana* says:

[July 9, 2020 at 5:22 pm](#)

- 1) So, market value and share price have same meaning?
- 2) What is meaning of book value?

[Reply](#)



o *Karthik Rangappa* says:

[July 9, 2020 at 10:01 pm](#)

- 1) Depends on the context. But generally true
- 2) The book value is the networth of the company divided by the number of shares outstanding.

[Reply](#)



295. *Kalpana* says:

[July 8, 2020 at 4:41 pm](#)

- 1) What is difference between face value and share price?
- 2) I think there is much difference between share price and value of investment.

[Reply](#)



o *Karthik Rangappa* says:

[July 8, 2020 at 8:08 pm](#)

- 1) FV is the nominal value of the share assigned at the time of creation. The share price is the market-driven price
- 2) Value of investment = the money you invest and the growth it experiences.

[Reply](#)

296.  Aditya says:

[June 29, 2020 at 10:16 pm](#)

Got it... just a logical query.... since the price of shares falls by the value of dividend received say 5 rupees, would this have an impact on the Option premium of that stock on ex dividend date ? reason i am asking this query is the price fall is more due to a reward to share holder and not a negative news per say but at same time the derivative parameters are purely number driven.. so other things being constant....

[Reply](#)

o  Karthik Rangappa says:

[June 30, 2020 at 9:53 am](#)

Usually, for low price dividends, it does not impact much, but for special dividends it does. The futures/options contract will adjust for this.

[Reply](#)

297.  Aditya says:

[June 29, 2020 at 3:07 pm](#)

Trying to understand the concept of Ex Div date and record date in conjunction

Scenario 1: 11th I sell stock, 11th is Ex Div date and 12th is record date = Am I eligible for dividend

Scenario 2: 11th I sell stock, 11th is Ex Div date and 13th is record date = Am I eligible for dividend

can you tell me in both scenarios what happens

[Reply](#)

o  Karthik Rangappa says:

[June 29, 2020 at 8:15 pm](#)

- 1) Yes, because the stock is flushed out on 12 so you are still a shareholder as on 12th. But I'd avoid doing this if I'm chasing dividends
- 2) No, you won't be eligible.

[Reply](#)

298.  JAYA says:

[June 28, 2020 at 7:47 pm](#)

Hai sir how to capture dividend through option strategy sir

Right now hpcl paying 9 rs dividend sir

My opinion was

Buying hpcl stock 2700qty at 232 . In equity.

Sell call options 220 strike one lot at 15.60

Buying put options 220strike one lot at 12

Sir is there any risk in his strategy sir .

[Reply](#)

- o  *Karthik Rangappa* says:
[June 29, 2020 at 10:45 am](#)

How will you make money here, Jaya? I see you losing money here rather than making unless I'm missing something here.

[Reply](#)

299.  *ANIT MOHANTY* says:
[June 21, 2020 at 11:00 am](#)

I belong to the first category i.e. Eligible shareholders of RIL.
I applied through SBI Internet banking from my SB A/C through ASBA on 23/05/2020 for my eligible shares.(A/C linked to Zerodha)
The required amount of application money was blocked in my Account marked as Lien.
A separate client ID was created in CSDL for this, I do not know why . In Zerodha my client ID(CSDL) for RIL is different.
On 11/06/2020 CSDL sent a mail for my RE partly paid shares as DEBITED from my DMAT A/C.
Application money is yet to be debited from my account.
Please tell me whether my application for partly paid shares of RIL stands valid or rejected, if rejected then the REASON THEREOF.
Regards.

[Reply](#)

- o  *Karthik Rangappa* says:
[June 21, 2020 at 12:04 pm](#)

Please check this, Anit – <https://tradingqna.com/t/reliance-rights-issue-dematerialized-rights-entitlement-trading/76627> , request you to take up the discussion on this thread.

[Reply](#)

300.  *Anita Mohanty* says:
[June 19, 2020 at 7:52 pm](#)

I have applied for some Rights shares of RIL through SBI account ASBA. For the new shares a new ID was created in CSDL while I have my shares in another ID of CSDL and that is with Zerodha. On 11/06/2020 I got a mail from CSDL that Rights shares are debited from CSDL. Kindly help how all my rights shares will be added to my client ID in Zerodha.

[Reply](#)

- o  *Karthik Rangappa* says:
[June 20, 2020 at 11:32 am](#)

Temporary rights entitlement shares were added to the demat accounts of
1. eligible shareholders of Reliance
2. investors who purchased the REs from the secondary market
The RTA credited the Reliance partly paid shares to the applicants on June 11th (with a temporary ISIN) and removed the temporary rights entitlements from the account. On the next day (June 12th) the exchanges issued the listing circular for RIL PP with the permanent ISIN. (The depositories then modified the ISIN accordingly)

[Reply](#)

301.  *Bhavani Ashware* says:
[June 16, 2020 at 8:05 pm](#)

Sorry, I forgot to complete last the question.

If I were to take some shares of a particular company before one month, I would be eligible for the dividend?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 17, 2020 at 10:23 am](#)

Yes, you\'d be 😊

[Reply](#)

302.  *Bhavani Ashware* says:
[June 16, 2020 at 8:02 pm](#)

Hello Sir,

I hope you are doing well.

Suppose that If I were to take some shares of a particular company, I would be eligible for the dividend?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 17, 2020 at 10:23 am](#)

Yes, you\'d be eligible.

[Reply](#)

303.  *Mrinal* says:
[June 16, 2020 at 1:09 pm](#)

Understood. Thanks.

[Reply](#)

304.  *Mrinal* says:
[June 15, 2020 at 3:48 pm](#)

Hi Kartik,

How likely is a company to declare dividends after a bonus issue and usual time gap between the two ?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 15, 2020 at 5:53 pm](#)

No standard procedure for this. The company can choose to do this back to back.

[Reply](#)

305.  *Vamsi* says:
[June 5, 2020 at 9:11 pm](#)

Hi Karthik, can you please clarify on my below question?

Why stock price goes up when company announces delisting from bse/nse? With that fear people should sell those stocks right?

Let us say yesterday Hexaware announced delisting and announced buy back at 285/- per share and stock moved up by 20% to 311 around. But many people would have had higher buying average like say 350/-. And after board meeting if delisting is approved at what price will they buy back? Stock went up due to a fact that company needs to buy back shares at any cost(obligation) so investor can quote the higher price? Please clarify. So how much time line will investors have to get rid off their shares once delisting is confirmed. Trading will stop over exchange once delisting is approved by board?

Many questions but concerned as i am holding many shares of hexaware. Thanks,

[Reply](#)

- o  *Karthik Rangappa* says:
[June 5, 2020 at 11:43 pm](#)

Delisting is usually at a premium to the current market price, hence. Time usually depends on the company's timeline provided, can extent upto a year. Yes, trading will stop once delisted.

[Reply](#)

306.  *Sreenivasulu Govindu* says:
[May 27, 2020 at 10:19 am](#)

Dear Sir,

What does Promoter is selling stake to reduce debt of the company.

If Promoter is selling his stake then money goes to him but not to the company, then how companys debt will be reduced.

If promoter is selling his few shares and using this money to reduce the debt then remaining share holders gets benefit without any effort or loss to them. But promoter loses lot of money.

Please explain how company can reduce the debt by selling few shares also explain how shareholding patterns reacts to it.

Please explain using Bharati Airtel or Reliance Jio as example.

Thanks in advance.

[Reply](#)

- o  *Karthik Rangappa* says:
[May 27, 2020 at 9:16 pm](#)

If the debts mount, the promoter can do this as he is the majority stakeholder besides as a promoter, he and the team are responsible for actions the company takes.

[Reply](#)

307.  *Sreenivasulu Govindu* says:
[May 21, 2020 at 7:53 am](#)

In case of rights issue, Market increases without adding any value in Production. Does not it a loss for already existing share holders.

[Reply](#)

- o  *Karthik Rangappa* says:
[May 21, 2020 at 11:12 am](#)

Any form of additional equity is dilution.

[Reply](#)

308.  *Sreenivasulu Govindu* says:
[May 21, 2020 at 7:50 am](#)

Sreenivasulu Govindu says:
 May 19, 2020 at 12:04 pm
 In case of Rights Issues,

From where the shares are transferred to subscribers.
 does it mean promoter is reducing his stake and offering it to existing share holders. or new shares are created. If new shares are created please tell me the source of funds for it. Please help.
 In this case Market Cap increases?
 Who have not subscribed will be at loss?

[Reply](#)

◦  *Karthik Rangappa* says:
[May 21, 2020 at 11:11 am](#)

Shares are issued and capital is raised from existing shareholders. Thats where the funds come from.

[Reply](#)

309.  *Sreenivasulu Govindu* says:
[May 19, 2020 at 12:04 pm](#)

In case of Rights Issues,

From where the shares are transferred to subscribers.
 does it mean promoter is reducing his stake and offering it to existing share holders. or new shares are created. If new shares are created please tell me the source of funds for it. Please help.

[Reply](#)

◦  *Karthik Rangappa* says:
[May 19, 2020 at 6:35 pm](#)

New shares are issued and capital is raised from the existing shareholders.

[Reply](#)

310.  *ishan thakur* says:
[May 17, 2020 at 1:15 am](#)

i didnt understand the concept of Rights Issue. please help

[Reply](#)

◦  *Karthik Rangappa* says:
[May 17, 2020 at 9:56 am](#)

Check this – <https://zerodha.com/varsity/chapter/supplementary-note-ipo-ofs-fpo/>

[Reply](#)



311. *Sreenivasulu Govindu* says:

[May 13, 2020 at 4:03 pm](#)

Sir My doubt is with respect to bonus shares. Total shares are 100000 and Promoter holds 70000 shares and Public hold 30% of stake(I.e 30000 Shares) and Face value is 10 and company wants to issue bonus with 1:1 ratio. I

A) does reserves means accumulated amount from profits or any special account maintained for share capital

B) It is very easy for company to issue bonus shares as it requires $30000 \times 10 = 300000$ to issue bonus shares to public. am I correct here.

c) will promoters also get bonus shares as they hold 70000 shares.

Please explain how promoter holding affects when bonus, splits or rights issue happens.

[Reply](#)



o *Karthik Rangappa* says:

[May 13, 2020 at 8:48 pm](#)

1) Yes, reserves are built by accumulating profits year on year

2) Yup, the money goes from the reserves

3) Yes

Promoter's holdings are impacted the same way as any other shareholders.

[Reply](#)



312. *jai* says:

[May 4, 2020 at 3:45 pm](#)

First of all, amazing work. Thank you so much, this information is helping to understand about the stock market.

Bonus shares:

=====

I have a question about bonus shares.

When the company issues bonus shares, the total value of the investment remains the same, and that means the face value of the share has gotten down is what I understand(as the total value remained the same even after getting more shares).

But in the end, it is said that the face value remains the same. How's that? If it is so, and the face value remained the same, then after the bonus shares received, shouldn't the shareholder's worth of investment increase? But in the examples given the value remained the same!

Please explain.

[Reply](#)



o *Karthik Rangappa* says:

[May 4, 2020 at 8:09 pm](#)

FV remains the same, but the share price is proportionately reduced. However, in a stock split, the FV is reduced but even here the share price is proportionately reduced

[Reply](#)

313.  *Gaurav* says:
[April 30, 2020 at 12:00 am](#)

Whenever a company decides to pay the dividend, the stock price decreases by the same amount as the dividend. How is this possible? Am I missing something here?

We know that once the IPO happens, the shares are no longer related to the finances of the company and their price are only governed by market forces (supply and demand). I hope this statement is correct! Moreover, once the dividend is paid, there could be possible buyers (and sellers) who're willing to purchase the stock at the same price, in which case the price shouldn't fall. Please can you explain?

[Reply](#)

o  *Karthik Rangappa* says:
[April 30, 2020 at 10:58 am](#)

Whenever a company decides to pay the dividend, the stock price decreases by the same amount as the dividend. – This is true wrt to special dividends, not the regular dividends, Gaurav.

Yes, that is correct.

[Reply](#)

314.  *Hardik Chauhan* says:
[April 22, 2020 at 5:54 pm](#)

Why the Zerodha does not provide the services for Buy Back announced through Open Market????? Is it not impacting the shareholders who are holding the particular shares through zerodha, financially????? And if it is impacting the shareholder, due to non-availability of such services, who should be held responsible for lack of providing such services.

[Reply](#)

o  *Karthik Rangappa* says:
[April 22, 2020 at 10:04 pm](#)

Buy back is through open mkt itself, the company purchases shares from the secondary market and you wouldn't know who you're selling it to, the rates are the prevailing market rates only. Also what difference does it make if one were to sell it back to the company or to any other person?

[Reply](#)

315.  *Apurva* says:
[April 17, 2020 at 10:33 am](#)

What do you mean by "charts are cleaned up for corporate action"?

[Reply](#)

o  *Karthik Rangappa* says:
[April 17, 2020 at 11:20 am](#)

Adjusted for bonus and splits I mean.

[Reply](#)

316.  *Apurva* says:

[April 17, 2020 at 10:25 am](#)

I have two queries,

- 1) In case, I own a X company preferred stock which pays a good dividend on quarterly basis, I went long on this stock for say 5 years and now I wish to sell it, so will I have to give away the dividends I received throughout the 5 years along with share?
- 2) In splitting of shares the face value changes along with market value, what difference does FV make and how come it is attractive to investors (shareholders)?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 17, 2020 at 11:21 am](#)

- 1) No, the dividends are for you to keep
- 2) It does not make any change. FV is considered only for corporate action purpose

[Reply](#)

317.  *Janko* says:

[April 14, 2020 at 1:42 pm](#)

Thanks a lot (^ _ ^)♡(^ _ ^)♡

[Reply](#)

- o  *Karthik Rangappa* says:
[April 15, 2020 at 9:33 am](#)

Welcome 😊

[Reply](#)

318.  *Janko* says:

[April 14, 2020 at 3:46 am](#)

Sir, If a company announces bonus share, it is given that the share price gets reduced accordingly so that your total investment remains same.. that is, if bonus shares are issued in 1:1 ratio and suppose if price before bonus issue was Rs.1000, then it will get changed to Rs.500. But, when I checked past data of many companies that have issued bonus shares, I couldn't find share prices getting reduced... I checked both record date and announcement date and all the dates around... Taking an example, Infosys announced bonus (1:1) on July 13 2018 and ex-bonus date was September 4, 2018. It was trading around Rs.650 on July 13 and it was trading around Rs 700 on September 4.. According to theory, the share price should have fallen to around 350, but it didn't happen... For the sake of checking, I checked price from July to October 15 and the prices never dropped below even 650 ... why this happened so? Same was seen in almost all the companies I checked... Could you please look into this issue and explain?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 14, 2020 at 12:20 pm](#)

That's not possible, Janko 😊

Btw, the charts are cleaned up for corporate action, so the chart will look continuous, smooth and nice,

[Reply](#)

319.  *Robin Sethi* says:
[April 11, 2020 at 7:07 pm](#)

Hi Karthik,

How issuing of bonus will stop reserves from swelling? As you mentioned earlier that one of the reasons can be swelling up of reserves for which a company can issue bonus shares. Bonus shares are issued in case of 1:1 on additional for the another and share price gets halved then what is the role of reserves here as they are not getting utilized?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 12, 2020 at 1:44 pm](#)

Will probably do a write up on corporate action and balance sheet impact soon, Robin.

[Reply](#)

320.  *kritika* says:
[April 6, 2020 at 6:10 pm](#)

Split Ratio Old FV No of shares you own before split Share Price before split Investment Value before split
 New FV No of shares you own after the split Share Price after the split Investment value after the split

1:2 10 100 900 90,000 5 200 450 90,000

1:5 10 100 900 90,000 2 500 180 90,000

Hi,

in this table, 1:2 split—shouldnt the number of shares post split be 50?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 7, 2020 at 12:13 pm](#)

Let me recheck this, it's possible I that I've made a typo.

[Reply](#)

321.  *shivam* says:
[April 6, 2020 at 12:59 pm](#)

Sir , do company release announcement for interim dividends ? and why companies do share consolidation?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 7, 2020 at 10:47 am](#)

Yes, they do because as a public limited company, they are obligated too.

[Reply](#)

322.  *Ricky* says:
[January 22, 2020 at 8:01 am](#)

another question on buyback, how buyback impacts on the stock price. As per my understanding, buyback is nothing but selling the position to the company at defined rate. For e.g. I have 100 units of stock ABC @ 10/- in my position. Company announces to buy back @12/-. On the event date, out of 100 units, 30 units bought back by the ABC company @12/- where 2/- will be treated as profit in my books of account. However final position will be 70 units @10/- hence no change in security price.

Please clarify.

[Reply](#)

-  *Nakul Kulkarni* says:
[January 23, 2020 at 2:34 pm](#)

What you have explained here is partially correct. However, your holding average after the buyback might not remain the same in all cases. The average price of your holdings is calculated on FIFO (First In First Out) basis. Consider a case where you had bought the 100 shares in two different transactions:

- 1) Buy 30 shares at Rs. 14.65
- 2) Buy 70 shares at Rs. 8.00

In this case, your average price for 100 shares is still Rs. 10.00. When 30 shares are bought back by the company at Rs. 12, the 30 shares you had bought first at Rs. 14.65 will be moved out causing a loss of 2.65. The remaining 70 shares in your account will remain at Rs. 8.00.

[Reply](#)

323.  *Ricky* says:
[January 22, 2020 at 7:52 am](#)

Thank you sir for the informative article.

1. Can you please explain below terminology with an example:
Entitlement date, Ex-date, record date of a dividend?

2. Other than Split, bonus, right issue, buyback, which are other corporate action events impact existing stock position?

Thanks in advance.

[Reply](#)

-  *Karthik Rangappa* says:
[January 22, 2020 at 1:24 pm](#)
- 1) Explained in the chapter itself, right?
 - 2) M&A has an impact on the stock position.

[Reply](#)

324.  *ANKITA AGARWAL* says:
[December 27, 2019 at 12:44 pm](#)

Hey Karthik,

I have a doubt regarding cum dividend and ex- dividend price.

Suppose I purchase shares of a company after the date of AGM but before Ex dividend date the share price is considered to be cum dividend. But actually the dividend would be for the previous financial year. How will the amount of dividend that I receive as a shareholder of a company on a later date than of a period which the amount is being distributed be accounted for?

I mean I was not a shareholder of that period for which the dividend is distributed. Is it like I am paying for the dividend that I am receiving?

[Reply](#)



325. *Omkar Pandit* says:

[December 25, 2019 at 10:59 am](#)

Hello Karthik Sir,

Can you please elaborate more about buy back?

Like who will be eligible for buyback?

If certain individual buys the share after buyback is announced then will he be able to sell his share to company?

And as in dividend and bonus share will there be cut off date?

What is buyback through secondary market route and tender route?

How to calculate acceptance ratio?

Regards,

Omkar

[Reply](#)



o *Karthik Rangappa* says:

[December 26, 2019 at 9:21 am](#)

Buyback is just like a corporate action that a company can announce. All eligible shareholders can opt to participate in this. Yes, a cut off date is applicable for this as well. The acceptance ratio is computed by the company itself, not sure about the math but I guess it is not too complicated.

[Reply](#)



326. *Pradip Bhaskar Gupte* says:

[December 20, 2019 at 1:15 pm](#)

Presently on expiry if future long or short contract is not closed on expiry , will exchange settle it with difference or holder will have to buy those shares of lot.

Regards

P.B.Gupte

[Reply](#)



o *Karthik Rangappa* says:

[December 21, 2019 at 9:10 am](#)

Based on your position, you will either have to bring in cash or margins, Pradip.

[Reply](#)



327. *Kartheek* says:

[August 31, 2019 at 2:15 pm](#)

Thanks a lot Karthik..!

[Reply](#)



o *Karthik Rangappa* says:

[September 1, 2019 at 9:09 am](#)

Good luck and happy reading 😊

[Reply](#)

328.  *Kartheek* says:

[August 30, 2019 at 2:58 pm](#)

Hi Karthik,

How buy back of shares will Improve the profitability on a per share basis?
Please explain

[Reply](#)

o  *Karthik Rangappa* says:
[August 31, 2019 at 11:57 am](#)

Buyback reduces the number of outstanding shares, hence the profitability increase on a per share basis. For example, EPS is calculated as –

Net profit/Number of outstanding shares. When buy back happens, the number of shares reduce, hence the EPS increases.

[Reply](#)

329.  *Nakul Kulkarni* says:

[July 15, 2019 at 11:42 am](#)

1. The cost of acquisition will be the original cost of acquisition of the amalgamating company. In this case, it'll be Rs. 266.32 for each share of Indusind bank. Calculated as $(600 \times 170) / 383$. Refer to Section 49 (2) for more.
2. Yes, the grandfathering clause will apply as the period of holding will be the original period of holding of the amalgamating company. Refer to Section 2 (42A) (c).
3. The capital gains will be the sale price minus the original cost of acquisition or the high as on 31st Jan 2018 whichever is higher. The cost of acquisition will be the sale price in case the sale price is higher than the original cost of acquisition and less than the high price as on 31st Jan 2018. Refer to Section 112.

[Reply](#)

330.  *Peeyush* says:

[July 12, 2019 at 4:51 pm](#)

I have a question for which again I couldnt find clarification.

I had bought Bharat Financial inclusion 600 Shares in december 2012 @ 170 per share
now after being merged with Indusind Bank I have received 383 shares of IndusInd bank effective from July 4th 2019
my questions are

1. How does one calculate the cost of acquisition of the Indusind share?
2. Will the grandfathering clause apply as original shares of Bharat financial were acquired before Jan 2018 but the merger happened after that? could not find a sound clarification on this.
3. What will be the capital gains in this case if I sell them now ?

Thanks again for this wonderful forum to educate investors and clear their doubts.

[Reply](#)

331.  *Nakul Kulkarni* says:
[July 5, 2019 at 12:48 pm](#)

I think the STT would have already been paid as the bonus shares for fractional entitlements were allotted to a trustee appointed by the board. The trustee, in turn, would have sold the shares at the prevailing market rates and distributed the net sale proceeds after adjusting the costs and expenses among the eligible shareholders in proportion to their fractional entitlement. You can refer to this announcement for more info. The STCG in your case would be charged on the total cash amount you have received. Hope this helps.

[Reply](#)

332.  *Peeyush* says:
[July 5, 2019 at 7:56 am](#)

Hi Nitin,
 While updating the Capital gains section in ITR2 there is one more confusion regarding this bonus credit share deposit in my account. Has Wipro credited this amount to me after paying STT ? how much will be the STCG tax in this case?

[Reply](#)

333.  *Peeyush* says:
[July 4, 2019 at 7:58 am](#)

Thanks for clarification Nitin,
 It would be great if you can update this section covering also how to arrive at cost of acquisitions in case of various corporate actions normally for STCG and LTCG and also taking in to consideration the grandfathering cause as there is a lot of confusion which investors might have for shares bought before Jan 2018 and corporate actions like bonus/rights issued after and before Jan 2018 scenario

[Reply](#)

-  *Karthik Rangappa* says:
[July 4, 2019 at 11:04 am](#)

We will try and do this, Peeyush. Thanks. Meanwhile, I'd suggest you check this module on taxation – <https://zerodha.com/varsity/module/markets-and-taxation/>

[Reply](#)

334.  *Peeyush* says:
[July 3, 2019 at 8:32 am](#)

Thanks a lot Nitin,
 I am confused – to treat them as long term or short term

I had acquired 100 original shares in dec 2014 and since then bonus has been declared twice first 1:1 on June 13 2017 to make them 200 and again 1:3 on March 6 2019 to make them 266.66. this fractional share for 0.66 cash got credited on 7th March 2019.

how do I arrive at the acquisition value and calculate the CG.

[Reply](#)

-  *Nithin Kamath* says:
[July 3, 2019 at 1:15 pm](#)

Hi Peeyush, my bad. I think it is best to consider them as STCG. Typically with bonus shares, we take the bonus credit day as the date of acquisition and price as 0. Instead of shares you got money, so I think you should show this as STCG.

[Reply](#)

335.  *Peeyush* says:
[July 1, 2019 at 10:42 pm](#)

I am an NRI . Recently Wipro had announce bonus 1:3 ratio. I had 200 shares which made my share as 66.66 so I received 66 full shares and got Rs175 as fractional bonus trust entitlement for the 0.66 portion. I got 147 in my account after deduction of 28 Rs TDS. I am filling ITR2. I have following queries. 1. whats the taxation angle on this fractional bonus cash that I received? someone told me the fractional bonus price if paid as part of bonus trust is not taxable. please advice if this is correct as the TDS has been deducted on same. 2. Where do I need to report this income in ITR2? which section? 3. While claiming TDS deducted for this fractional bonus in ITR2 now you need to mention the gross value and choose the type of income from a drop down menu. the options are income from other sources/Capital gains/exempt income. which one do I select for this fractional share payment? Thanks

[Reply](#)

o  *Nithin Kamath* says:
[July 2, 2019 at 3:22 pm](#)

1. The fractional bonus you have got it against your holding. If it is long term holding it is exempt upto Rs 1lk else STCG at 15%.
2. Under capital gain, either under STCG or LTCG based on holding period.
3. Capital gains.

[Reply](#)

336.  *Sarath* says:
[June 18, 2019 at 3:35 am](#)

Hi Karthik! I've got 2 questions.

1. When we short the cum dividend shares, while squaring off, should we pay the market price+ dividend for each share? Not paying dividend doesn't make sense as everyone would short considering the certainty in the reduction of the market price of shares. (Or the fact that everyone thinks about shorting but no one is willing to lend the shares for shorting help in overcoming this idea?)

2. What *exactly* do we mean when we say company buybacks the shares? Who gets to control them (certainly not the promoter/Angels/VC/PE investor right?) Does the company have a specific Demat kind of account to store these shares (are these called treasury shares?)

Thanks 😊

[Reply](#)

o  *Karthik Rangappa* says:
[June 18, 2019 at 11:13 am](#)

Sarath, this does not matter because when you short, you do not carry forward the position in the spot as you will have to square off the position on the same day. In futures, it does not really matter.

Yes, the shares are bought back by the company itself. Yes, the company too has a DEMAT account.

[Reply](#)

337.  *Vijayant* says:
[June 8, 2019 at 4:04 am](#)

I can't understand what is difference between stock split and bonus issue.
 They both are leading me to the same results.

[Reply](#)

- o  *Karthik Rangappa* says:
[June 8, 2019 at 10:41 am](#)

They are somewhat similar.

[Reply](#)

338.  *Bineeth Mistry* says:
[April 19, 2019 at 1:01 pm](#)

The following is an excerpt from the news column on a Corporate action undertaken by the said company.

The company has fixed June 27, 2018 as the record date for the purpose of ascertaining the eligibility of the members for
 sub-division of equity shares from face value of Rs 2 each to Re 1 each and issue of bonus equity shares of Re 1 each
 in the ratio of 1:2, i.e. one equity share of Re 1 each for every two equity shares of Re 1 each (i.e. after sub-Division of shares).

My query is regarding the implication of actions like Stock split/Bonus share issuance on the company's Equity Share Capital.

Does it change with respect to Share capital, Number of shares?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 19, 2019 at 4:00 pm](#)

Yes, this has a direct impact on the number of shares. Both stock split and bonus increase the number of outstanding shares.

[Reply](#)

339.  *Aryan Singhal* says:
[April 10, 2019 at 8:40 pm](#)

Hello Karthik,

I have a doubt in the following example

“When the stock goes ex dividend, usually the stock drops to the extent of dividends paid. For example if ITC (trading at Rs. 335) has declared a dividend of Rs.5. On ex date the stock price will drop to the extent of dividend paid, and as in this case the price of ITC will drop down to Rs.330. The reason for this price drop is because the amount paid out no longer belongs to the company.”

so my doubt is that why the price drops from 335 to 330, shouldn't it rise because the seller of ITC are foregoing their dividend of rupees 5 which they should ask the buyer to pay extra for it to compensate for that 5 rupees and pay a total of rupees 340 to buyer

[Reply](#)

- o  *Karthik Rangappa* says:
[April 11, 2019 at 11:20 am](#)

Aryan, actually for small dividend amounts this may not really happen. The fall in price is quite evident when special dividends are paid out. Yes, if the company issuing the dividend is good, the price does tend to go up.

[Reply](#)

-  *Aryan Singhal* says:
[April 11, 2019 at 6:38 pm](#)

Thank you, Karthik for replying back
so it generally happens that the price rises if the company announces a good dividend, right?

[Reply](#)

-  *Karthik Rangappa* says:
[April 11, 2019 at 9:42 pm](#)

Yup, that is the expected outcome. But then it also depends on the overall business prospects. Remember a company that makes a loss can still pay a good dividend (like many PSUs). So you really need to look at things from a larger perspective.

[Reply](#)

-  *Aryan Singhal* says:
[April 11, 2019 at 10:15 pm](#)

So Karthik, what happens when such scenarios happen where a loss-making company like PSUs having a good cash reserve still manages to give a good dividend, will the price of that company drops or rise(as a general view of yours) and second thing why will the company still announces dividend when they are in loss?

-  *Karthik Rangappa* says:
[April 13, 2019 at 9:20 am](#)

Yes, the company can still announce a dividend even if they make a loss, as the dividend comes from reserves. This is true with large well-established companies where the growth prospects are usually low and the company is better off giving a dividend to shareholders rather than hoarding cash.

You cannot have a generalized opinion on this. It really depends on the circumstances of the company issuing the dividend 😊

340.  *Roshan* says:
[March 21, 2019 at 1:01 pm](#)

Thanks, in that one case can purchase share on 3 jan and can sell on record date 5 jan

[Reply](#)

- o  *Karthik Rangappa* says:
[March 22, 2019 at 11:00 am](#)

Yes, make sure your on the list of shareholders on the record date.

[Reply](#)

-  *Roshan* says:
[March 22, 2019 at 3:11 pm](#)

So I can sell on record date

[Reply](#)

-  *Karthik Rangappa* says:
[March 23, 2019 at 9:23 am](#)

Yup, you can.

[Reply](#)

-  *Roshan* says:
[March 23, 2019 at 12:54 pm](#)

Thanks..

341.  *Roshan* says:
[March 17, 2019 at 2:15 pm](#)

Dear sir, NTPC record date 20.3.19, Ex bonus date 19.3.19 if I purchase share on 18.9.19 will those shares will be eligible for bonus ?

[Reply](#)

-  *Roshan* says:
[March 17, 2019 at 2:18 pm](#)

Sorry Please read 18.3.19 not 18.9.19

[Reply](#)

-  *Karthik Rangappa* says:
[March 18, 2019 at 11:18 am](#)

Got it 😊

[Reply](#)

-  *Karthik Rangappa* says:
[March 18, 2019 at 11:18 am](#)

Yes, Roshan. You will be eligible.

[Reply](#)

-  *Roshan* says:
[March 18, 2019 at 11:51 am](#)

Thanks a lot sir..

[Reply](#)

-  *Karthik Rangappa* says:
[March 18, 2019 at 12:03 pm](#)

Welcome!

[Reply](#)

-  *Roshan* says:
[March 21, 2019 at 9:15 am](#)

Good morning sir, I have one confusion suppose a company declare bonus / dividend, record date 5 Jan
Ex dividend / ex bonus date 4 jan
1. One has to purchase share AT LEAST on 3 Jan (hope I am correct) will that fulfill T + 2 criteria
2. When can one SELL the share after getting benefit of bonus / dividend, is it on record date i. e 5 Jan or 6 jan

-  *Karthik Rangappa* says:
[March 21, 2019 at 10:25 am](#)

1) Yes, you need to ensure that you are a shareholder by record date, which means you need to have purchased the shares 2 days prior
2) Yes.

342.  *Shreeamar* says:
[March 3, 2019 at 4:47 pm](#)

Suppose I have 1 share of Rs. 100. Company gives a bonus issue of 1:1.

1) Now, I have 2 shares of 100 each OR 2 shares of 50 each?
2) How does price correction take place? In this case how does price reach 50? It's done by company OR automatically via market trading? Can any formula relating to reserves, share-capital and market price of share clear this concept of price correction showing price reach 50 from 100?

[Reply](#)

-  *Karthik Rangappa* says:
[March 4, 2019 at 2:38 pm](#)

1) 2 shares, 50 each. Your investment value remains constant, but the number of shares change
2) This is taken care by the exchanges.

[Reply](#)

343.  *Chetan Phirke* says:
[February 2, 2019 at 9:04 am](#)

Hi..thank you for explaining these topics. I have some doubt regarding dividend payout. What if I own a share of the company before the ex date(makes me eligible for dividend payout) but decide to sell the share before the payout date! Would I still receive dividend in this case?

[Reply](#)

-  *Karthik Rangappa* says:
[February 2, 2019 at 11:05 am](#)

Chetan, you just need to ensure you are a shareholder on the record date and you will be eligible for the dividend.

[Reply](#)

344.  *Kiran* says:

[February 1, 2019 at 7:50 am](#)

Respected sir, zerodha varsity is very good initiative towards stock market education. Thanks for your help to novice like me who are aspire to come in the market.

Sir, I read about the news that you are going to launch app also for the same.

So sir my request for you that please add small animation videos in the app to understand concepts deeply because ACTION speak LOUDER than WORDS.

Again thanks for the your help.

Regards.

Have a nice day.

[Reply](#)

o  *Karthik Rangappa* says:

[February 1, 2019 at 9:02 am](#)

Thanks for the suggestion, Kiran. Hopefully, we can do things like that in the subsequent release.

[Reply](#)

345.  *Shrey Jain* says:

[January 3, 2019 at 3:20 pm](#)

What happens if a shareholder owns 1 share, and the bonus issue is 1:5 (1 share for every 5 shares held) ?

Would he get proportionate shares?

[Reply](#)

o  *Karthik Rangappa* says:

[January 4, 2019 at 11:17 am](#)

The proportionate amount will be cash settled, Shrey. The shareholder would receive cash equivalent to 0.2 shares

[Reply](#)

346.  *Vivek* says:

[December 1, 2018 at 1:02 am](#)

Hey Karthik,

First of all, highly appreciate this great initiative!

Could you please specify the difference between the Face Value of the stock and the Share price?

Thanks in advance!

[Reply](#)

o  *Karthik Rangappa* says:
[December 1, 2018 at 6:31 pm](#)

Face value is the nominal value of the share assigned at the time of creation of the share by the promoters. Usually it is Rs.10 or Rs.5. However, the share price is driven by the market.

[Reply](#)

347.  *Pranav* says:

[November 28, 2018 at 7:02 pm](#)

Arvind LTD has been demerged to arvind ltd (textile) arvind fashion and lastly arvind engineering... Split is for every 5 shares of arvind LTD one will get 5 shares of arvind fashion and for every 27 shares of arvind LTD 1 share of engineering group...how will this split work if I have 10 shares of Arvind LTD ? Will I not get anything for Arvind Engineering ? Will I only get additional 2 shares for Arvind fashion ?

[Reply](#)

o  *Nakul Kulkarni* says:

[November 30, 2018 at 3:45 pm](#)

As per the scheme of demerger, the shareholders of Arvind Ltd will be entitled to an allotment of 1 share of Arvind Fashion Ltd (AFL) for every 5 shares held in Arvind Ltd, and 1 share of Anveshan Heavy Engineering Limited (AHEL) for every 27 shares held in Arvind Ltd.

A person holding 10 shares of Arvind Ltd would get 2 shares of Arvind Fashion Ltd (AFL) and there would be cash settlement for 0.37 share (10/27) of Anveshan Heavy Engineering Limited (AHEL). You might have to contact the company to know when this will be initiated.

[Reply](#)

■  *Pranav* says:

[November 30, 2018 at 6:56 pm](#)

Thanks a lot for the response Nakul. I do not hold any shares of Arvind . I had asked to understand the process for my knowledge. Thanks again for the clarification

[Reply](#)

■  *Niranjan* says:

[February 6, 2019 at 1:34 pm](#)

Hi,
I received a mail post the Arvind demerger stating I will be getting 4 Arvind fashion limited shares. My question is when will these 4 shares reflect in my zerodha account.

[Reply](#)

■  *Karthik Rangappa* says:
[February 7, 2019 at 1:20 pm](#)

Unfortunately, there is no timeline on this Niranjan. You will have to speak to the company itself for this.

[Reply](#)

348.  *Tathagat Shah* says:

[November 21, 2018 at 3:12 am](#)

Please help me with specific of buyback record date.

1) say for example that record date of a buyback is on 30 november that is friday. When can i buy latest

such that I will be eligible to participate in the buyback? If i buy them on wednesday that is 28 november, would i be eligible to participate in the buyback? Which is the last date on which if I buy, I would be eligible to participate in the buyback?

2) When i talked with zerodha support, the guy said something like this that even if you buy one day before, you will still be eligible to participate in Buyback, as the shares are in some pool account . Please Clarify

3) say for example that the record date is on 30 november that is friday, and i already have shares in my demat account. If i sell those shares on the same date as the record date, will I be still eligible to participate in the buyback? Which is the earliest possible date when I can sell my shares and still be eligible for the buyback

Thanks

Looking forward to your answer

[Reply](#)



o Tathagat Shah says:

[November 21, 2018 at 7:31 pm](#)

Looking forward for your reply Kartik

Please Help

Regards

Tathagat Shah

[Reply](#)



o Nakul Kulkarni says:

[November 21, 2018 at 8:15 pm](#)

1. and 2. To be eligible for a buyback, you need to have the shares in your demat account on the record date. You will have to purchase the shares before the ex-date. If the ex-date is say, 29th November, you will be eligible to offer your shares bought on 28th November. You will not be eligible if you buy on the ex-date (29th November).

3. You will still be eligible for the buyback in case you sell on the record date (30th November). Record date is the earliest possible date to sell and still be eligible.

[Reply](#)



■ Tathagat Shah says:

[November 21, 2018 at 10:13 pm](#)

Thank you very much

Really appreciate your efforts

[Reply](#)

349.



Bharath says:

[November 17, 2018 at 10:32 am](#)

Dear Karthik,

I want to know that, is it possible to company increase \'Face Value\' once it is Split or Bonus issue is done.

[Reply](#)

- o  *Karthik Rangappa* says:
[November 17, 2018 at 5:23 pm](#)

Possible, but companies rarely do that.

[Reply](#)

-  *Bharath* says:
[December 9, 2018 at 11:22 am](#)

Thank you very much and your knowledge level is unbelievable.

[Reply](#)

-  *Karthik Rangappa* says:
[December 10, 2018 at 12:42 pm](#)

Good luck, Bharath! Happy learning 😊

[Reply](#)

350.  *satish* says:
[November 6, 2018 at 9:14 pm](#)

Kartik....

Can you explain stock Future price adjustment....

Eg- Vedanta Limited went Ex div(Rs17) on 06/11/18. On 05/11/2018, I have sold Vedanta future at 223.30 and covered position on 06/11/18 at 212.5... Will you please explain my net position?

[Reply](#)

351.  *Daniel* says:
[October 30, 2018 at 11:51 pm](#)

Dear Sir, After reading through the concept of "Buyback" I put an effort to make an analysis of my own but there are some errors to be fixed, kindly go through the analysis and help me.

TCS successfully made a buyback of it shares worth RS.16000 crores on 21st sep 2018.

<https://economictimes.indiatimes.com/markets/stocks/news/tcs-completes-rs-16000-crore-share-buyback/articleshow/65970847.cms>

On a approx one share costs Rs.2000-2100

Hence 16000 crores/2000 gives 8 crore shares (western system= 80,000,000)

This translates to 80M shares.

On zerodha kite, on 21st sep the volume on tcs is mere 4.5M.

Q1.) What happened to the rest of the shares? why aren't they showed? Is this data in-accurate or misleading?

Q2.) After a buyback the expectation for the company is to move in the positive direction. Here in this example there is constant falling in the stock price. What's the reason for this?

Please correct me if im wrong anywhere in my analysis, It would really help strengthen my knowledge.

Thank you 😊

[Reply](#)

- o  *Karthik Rangappa* says:

[October 31, 2018 at 11:32 am](#)

The shares are tendered offline and not online 😊

The buyback does not guarantee that the shares will move north. It really depends on the term of the buyback.

[Reply](#)



■ *Daniel* says:

[October 31, 2018 at 10:29 pm](#)

Thanks for answering sir. 😊

[Reply](#)



■ *Karthik Rangappa* says:

[November 1, 2018 at 11:47 am](#)

Good luck, Daniel.

[Reply](#)



352. *Tanveer* says:

[September 17, 2018 at 2:11 pm](#)

Hi Kartik,

Thanks for such wonderful content.

I have some confusion though.

How does Stock Split and bonus differ from each other then?

Both are used to reduce the price of the existing share. Even if I get a split, I will have the same value, same goes for the bonus share. I still end up with the same value.

[Reply](#)



○ *Karthik Rangappa* says:

[September 18, 2018 at 10:55 am](#)

In a stock split, the face value of the shares reduce and in bonus issue, the face value remains the same. There are few more changes from the balance sheet perspective, I guess you will understand that when you read more about the balance sheet.

[Reply](#)



353. *Dev* says:

[September 4, 2018 at 1:06 pm](#)

I had omkar speciality chemicals last yr and it got demerged into omkar and lasa (new).

But lasa is not reflected in my last year profit loss statement. No reply to the support mail also. its already more than 50 days. I had to create a manual profit loss statement for tax filing. what should i do now ?!?!? please advise.

[Reply](#)



○ *Nakul Kulkarni* says:

[September 4, 2018 at 10:02 pm](#)

We are currently running a recalculation in our new back-end for all the corporate actions that happened from FY 2017-18. Once this process is completed, your profit and loss statement will be updated correctly. We might need another couple of weeks to complete this process. It would be great if you emailed me at nakul.k[at]zerodha.com and I'll try to get this fixed for you.

[Reply](#)



■ Dev says:

[September 5, 2018 at 6:06 pm](#)

Thanks. I have emailed u the details.

[Reply](#)



354. Sunil H N says:

[August 20, 2018 at 3:05 pm](#)

Hi Karthik, Thanks again for the great article. Can you please explain more about Face value, how it is determined/calculated? and how the change in face value affects the share price? Thanks in advance.

[Reply](#)



○ Karthik Rangappa says:

[August 21, 2018 at 12:29 pm](#)

Face value is the notional value of the share assigned at the time of creation. Common face values are 10, 5, 2 etc. The face value is useful when dealing with corporate actions like the bonus, splits, dividends etc.

[Reply](#)



355. Mayank says:

[August 12, 2018 at 3:11 pm](#)

In case of buyback, the number of shares would reduce, but would there be any effect on price then? Will it increase?

[Reply](#)



○ Karthik Rangappa says:

[August 13, 2018 at 8:48 am](#)

If the terms of buy back is good, then usually the stock price goes up.

[Reply](#)



356. Sana says:

[July 23, 2018 at 8:32 am](#)

Possible impact when debentures are raised??

[Reply](#)



○ Karthik Rangappa says:

[July 23, 2018 at 11:37 am](#)

This really depends on the cash requirement situation of the company, Sana.

[Reply](#)



357. *preeti* says:

[July 16, 2018 at 12:13 pm](#)

How is the opening market price of the stock derived on the exdate in case of bonus/split. Is it calculated by the exchange or determined by the market ?

[Reply](#)



o *Karthik Rangappa* says:

[July 17, 2018 at 11:14 am](#)

It get adjusted to the extent of the factor of the corporate action.

[Reply](#)



358. *Kumar* says:

[July 2, 2018 at 11:09 am](#)

Sir,

I am placing buy order (i.e predicted pattern breakout price) in limit order but which is executing at present price, so please let me know how to place order predicted in advance(in day trading) so that I should get ordered price or little near price (For example now share price is near Rs.1500, I want to buy at Rs 1035, so my requirement is to place order now at predicted price 1035 so that order should execute when price reaches 1035 or at very near price

[Reply](#)



o *Karthik Rangappa* says:

[July 2, 2018 at 11:16 am](#)

Kumar, you just need a Buy limit order here, that will suffice.

[Reply](#)



359. *Vivek* says:

[June 21, 2018 at 10:11 pm](#)

So if I buy a stock on the next day of the Dividend declaration date, I'll get the dividend?? As I bought it before the Ex date?

[Reply](#)



o *Karthik Rangappa* says:

[June 22, 2018 at 6:34 am](#)

Yes, you will.

[Reply](#)



360. *Mangesh Baxi* says:

[June 15, 2018 at 3:01 pm](#)

In terms of shares of a company owned, there is no difference between 5:1 bonus & 1:5 split ?

[Reply](#)



o *Karthik Rangappa* says:

[June 16, 2018 at 11:06 am](#)

Hmmm, sort of. The changes would appear in the balance sheet.

[Reply](#)

361.  *Sudarshan Patil* says:
[June 12, 2018 at 12:37 pm](#)

Sir, if i sells shares of a company on the next day to ex dividend date or record date but before the dividend payout date, then will i get dividend ?

[Reply](#)

o  *Karthik Rangappa* says:
[June 13, 2018 at 11:04 am](#)

Yes, you would.

[Reply](#)

362.  *karthikjayasimha* says:
[June 8, 2018 at 1:05 pm](#)

Dear Sir,

I have doubts regarding dividend and rights issue.

1. You have mentioned that dividend will be paid to the shareholders listed in the register of the company. Where will they get this data from, i.e., from the exchange or various brokers?
2. It has been written that rights issue is like a second IPO for new project or development or expansion. Now, before going ahead with this what are the mandatory steps to be followed by the company, for example, evaluation of the new project, exchange permission etc. Kindly elaborate.

[Reply](#)

o  *Karthik Rangappa* says:
[June 9, 2018 at 6:31 pm](#)

- 1) They will get this from the RTA (Registrar and Transfer Agents)
- 2) Usually, the same set of steps which are used to evaluate the need to raise money for IPO are adopted before going in for a rights issue.

[Reply](#)

■  *karthikjayasimha* says:
[June 10, 2018 at 10:10 pm](#)

Thanks for clearing the doubt. You are the best.

[Reply](#)

■  *Karthik Rangappa* says:
[June 11, 2018 at 11:20 am](#)

Good luck and happy reading 😊

[Reply](#)

363.  *Gaurav Gupta* says:

[May 30, 2018 at 11:33 am](#)

Hi, the ex-dividend date for ITC was 25th May 2018. By when should I expect the dividend to be credited in my associated bank account? Thanks in advance,

[Reply](#)



- o *Karthik Rangappa* says:
[May 30, 2018 at 12:28 pm](#)

You should get the dividends as soon as the company transfers the funds. This usually happens within 10-15 working days.

[Reply](#)



- *Gaurav Gupta* says:
[May 30, 2018 at 12:46 pm](#)

Thanks Karthik!

[Reply](#)



- *Karthik Rangappa* says:
[May 31, 2018 at 10:53 am](#)

Welcome!

[Reply](#)



- *Gaurav Gupta* says:
[June 12, 2018 at 10:56 am](#)

Hi Karthik,

In continuation to my earlier query, I wish to inform that I have yet not received any dividend for ITC or for that matter even TCS (though the bonus share has been added to my account). Could you please clarify if there is some concern regarding connecting the bank account so that crediting of the dividend is smooth.



- *Gaurav Gupta* says:
[June 13, 2018 at 7:19 pm](#)

Hi Sir, thought you might have missed my query, hence sending it again...

Hi Karthik,

In continuation to my earlier query, I wish to inform that I have yet not received any dividend for ITC or for that matter even TCS (though the bonus share has been added to my account). Could you please clarify if there is some concern regarding connecting the bank account so that crediting of the dividend is smooth.



- *Karthik Rangappa* says:
[June 14, 2018 at 12:30 pm](#)

Gaurav, ideally you should check this with the company directly. Please speak to the investor grievance department and you will know the reasons.

-  *Gaurav Gupta* says:
[June 14, 2018 at 3:13 pm](#)

Thanks Karthik, what should I quote while contacting the firm. Where can I find the information that needs to be quoted.

-  *Karthik Rangappa* says:
[June 15, 2018 at 11:00 am](#)

Gaurav, just let them know you are a shareholder as on record date but have not received the dividends. Ask then why and when you can expect the same.

364.  *Siddharth* says:
[May 8, 2018 at 11:35 pm](#)

How do i know the face value of a share ?.

Does it change every AGM or with CMP of the share or Market cap of company or with Free Float Market Cap or is it fixed?

Is there a link on NSE or BSE where face value of each company share is mentioned?

[Reply](#)

-  *Karthik Rangappa* says:
[May 9, 2018 at 11:28 am](#)

The easiest way to check this by looking at the NSE's page, for example here is the stock page for Infy –

https://www.nseindia.com/live_market/dynaContent/live_watch/get_quote/GetQuote.jsp?symbol=INFY&illiquid=0&smeFlag=0&itpFlag=0
FV changes whenever there is a bonus or split.

[Reply](#)

-  *Siddharth* says:
[May 10, 2018 at 4:42 am](#)

Thank you .

Really appreciate your your explanation- clarity ,style & practical example.

[Reply](#)

-  *Karthik Rangappa* says:
[May 10, 2018 at 12:28 pm](#)

Happy to note that, Siddharth 😊
Keep learning!

[Reply](#)

365.  *Roshan* says:
[April 30, 2018 at 7:27 pm](#)

Hello sir, I have searched a lot but not able to find out January 18 to march 18 quarter result. Latest results shown of Dec 2017. Please suggest where to find Q1 2018 result.

[Reply](#)

- o  *Karthik Rangappa* says:
[May 1, 2018 at 10:37 am](#)

I'd suggest you go to the website (investor section) of the company you are looking at and look at the results.

[Reply](#)

-  *Roshan* says:
[May 1, 2018 at 3:49 pm](#)

Ok.. if possible please suggest some source (website/ magazine) from where I can get list of recent eps of stocks. Visiting each and every company (in NSE 50 or in bse30) reading financial.. bit tedious. Hope you understood what I mean to say .. thanks..

[Reply](#)

-  *Karthik Rangappa* says:
[May 2, 2018 at 7:49 am](#)

If you are using Kite, then you can click on the stock widget and get the EPS information. More on that here – <https://kite.trade/docs/kite/marketwatch/>

[Reply](#)

366.  *Roshan* says:
[April 25, 2018 at 12:50 pm](#)

Thanks.. means EPs changes daily !!.. where could one find list EPs (apart from capital market)

[Reply](#)

- o  *Karthik Rangappa* says:
[April 26, 2018 at 11:03 am](#)

Yes, since the stock price changes every day, so would the EPS.

[Reply](#)

-  *Roshan* says:
[April 26, 2018 at 5:53 pm](#)

Ok sir.. I have one query, formula for EPs is $EPS = \frac{\text{Net Income} - \text{Preferred Dividend}}{\text{Average Outstanding Shares}}$. Net Income, Preferred Dividend and Average Outstanding Shares are declared quarterly and annually (I guess). So how daily changes in stock price affect EPs.

[Reply](#)

-  *Karthik Rangappa* says:
[April 27, 2018 at 11:44 am](#)

Sorry, EPS does not, but the Price to Earnings does.

[Reply](#)

-  *Roshan* says:
[April 28, 2018 at 11:40 am](#)

Thanks sir..



- *Karthik Rangappa* says:
[April 28, 2018 at 12:23 pm](#)

Welcome!



367. *Ritik* says:

[April 15, 2018 at 11:43 am](#)

Please let me know if there is any video lessons of varsity anywhere and by anyone.
P.S. People are talking about it .

[Reply](#)



- *Karthik Rangappa* says:
[April 16, 2018 at 1:54 am](#)

We have few videos here – <https://www.youtube.com/user/zerodhaonline>

[Reply](#)



368. *Kaushal Singh* says:

[April 14, 2018 at 10:45 pm](#)

What will be the impact of stock split on future and option price. For ex if I have bought 1 lot(600 qty) of INFY Mar 18 future at 1150/- and stock split 1:2 then will it show 1200 Qty and the current price as we see in stocks.

[Reply](#)



- *Karthik Rangappa* says:
[April 16, 2018 at 1:46 am](#)

Yes, the contracts will get adjusted and NSE will send out an official circular for this with all the details.

[Reply](#)



- *satish* says:
[November 6, 2018 at 9:13 pm](#)

Kartik....

Can you explain stock Future price adjustment....

Eg- Vedanta Limited went Ex div(Rs17) on 06/11/18. On 05/11/2018, I have sold Vedanta future at 223.30 and covered position on 06/11/18 at 212.5...Will you please explain my net position?

[Reply](#)



369. *Ritik* says:

[April 13, 2018 at 10:42 am](#)

What is price of one share called?
Thanks to you and varsity team.

[Reply](#)

- o  *Karthik Rangappa* says:
[April 13, 2018 at 3:03 pm](#)

That would be called the share price, Ritik.

[Reply](#)

370.  *Ritik* says:
[April 12, 2018 at 6:13 pm](#)

What is face value ?

Difference between face value and share price?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 13, 2018 at 12:17 am](#)

Face value is the notional price given to a share at the time of creation. Typically, it is Rs.10/-. Share price, on the other hand, is driven by the market.

[Reply](#)

371.  *Roshan* says:
[April 5, 2018 at 10:59 am](#)

Sir what is difference between div % and div yld (%). How both are calculated?. Thanks.

[Reply](#)

- o  *Karthik Rangappa* says:
[April 5, 2018 at 11:29 am](#)

Assume a company announces Rs.2 as dividend on a share which is trading at 50/- per scrip and has a face value of Rs.10.

Dividend % is $2/10 = 20\%$

Div yield is $2/50 = 4\%$

[Reply](#)

-  *Roshan* says:
[April 5, 2018 at 1:45 pm](#)

Oh great sir.. got it in just four lines for that I had search lot many web pages. 1. What these two things indicate. 2. which one is more important 3. which value should be consider before investing in stocks. Thank sir.

[Reply](#)

-  *Karthik Rangappa* says:
[April 6, 2018 at 10:57 am](#)

These two are essentially the same – gives a perspective of how attractive is the dividend payout. I personally prefer the Div yield as the dividend % is quite pointless 😊

[Reply](#)

-  *Roshan* says:
[April 6, 2018 at 5:59 pm](#)

Okay.. thanks..

-  *Karthik Rangappa* says:
[April 7, 2018 at 1:39 pm](#)

Welcome!

-  *Roshan* says:
[April 25, 2018 at 11:51 am](#)

Sir, I have few queries regarding EPs (earning per share). (1). Do the EPs changes only after annual / quarterly report. Or it changes daily. (2). Among 4 – 5 types of EPs which one is most important (3). When the quarterly report available to investors for example for the quarter ending in June after how many days usually report get published.
Thanks

[Reply](#)

-  *Karthik Rangappa* says:
[April 25, 2018 at 12:02 pm](#)

- 1) Yes. However, based on the quarterly numbers, you can project the forward EPS
- 2) Diluted EPS
- 3) It is almost on an immediate basis.

372.  *Roshan* says:
[April 3, 2018 at 12:11 am](#)

Sir, I am extremely thankful to you for elaborating explanations in simple language. I have doubts about dividend yield shown on different site on same stock in same time with same current market price. For eg ONGC 5.10 (zerodha kite), 3.4 (money control). Power grid 2.25 (zerodha kite), 0.52 (moneycontrol). Reliance industries 0.62 (zerodha), 1.25 moneycontrol. Wipro 0.36 (zerodha) 1.42 moneycontrol. (1) Why did that happen. Which one is reliable. (2) to calculate div yield we require annual dividend / current share price . Where to find annual dividend. Thanks.

[Reply](#)

-  *Karthik Rangappa* says:
[April 3, 2018 at 11:04 am](#)

Roshan, the numbers on Zeordha Kite is powered by Smallcase. Smallcase uses consolidated numbers (which is the correct approach)...however, I suspect MC uses standalone numbers. I guess you need to confirm this with them.

Yes, the Div yeild formula is correct. You will get the lastest dividend numbers on MC.

[Reply](#)

-  *Roshan* says:

[April 4, 2018 at 11:06 am](#)

Thanks a lot sir.

[Reply](#)

-  *Karthik Rangappa* says:
[April 4, 2018 at 11:36 am](#)

Welcome, Roshan!

[Reply](#)

373.  *Roshan* says:
[April 2, 2018 at 11:57 pm](#)

Sir, I have doubts about dividend yield. I was searching dividend yield of ONGC it is 5.1 (zerodha kite), around 3 on money control. Th

[Reply](#)

-  *Karthik Rangappa* says:
[April 3, 2018 at 11:01 am](#)

The difference could be because of the numbers – standalone versus consolidated.

[Reply](#)

374.  *Ishan Choubey* says:
[March 31, 2018 at 12:39 pm](#)

Hello karthik,

I have one doubt about dividends,

You said that when the dividends are paid out the price of the stock falls to the extent of dividend paid, but if the price of the stock falls then, isn't it our own money they are paying back to us, then what's the point in paying the dividend. Suppose I purchased just one stock before the ex-dividend date (of Rs. 200) and dividend paid out is Rs. 5 per share,

then on the date of dividend pay out the stock falls to Rs. 195 a share and I got Rs. 5 in bank as dividend since I only had one stock. Here I paid Rs. 200 and I got back Rs. 5 which is my own money and the stock dropped to Rs. 195 so they took 5 rs. from the stock and gave it to me in real money form, how is this an income then, I request you to please clarify this in detail as I can't seem to understand the concept.

[Reply](#)

-  *Karthik Rangappa* says:
[April 2, 2018 at 11:36 am](#)

Ishan, in most cases where the dividend amount is low, this won't happen....as in the stock price dropping to the extent of dividend paid. However, if this is a special dividend....for example, a company declaring 50 Rupee dividend on a 200 stock, then you will see the dip in the stock price.

[Reply](#)

375.  *Rohan* says:
[March 25, 2018 at 12:02 am](#)

Hi Kartik, I have one doubt about the bonus issues. You mentioned whenever a company issues a bonus, price of stock adjusts accordingly in the market. In your example, if a company allots bonus issue in the ratio 1:1 then price of the stock will fall down to half of its original value. But one such event happened in the history when reliance allotted bonus issue (sep-2017) in the ration 1:1 and instead downfall in the stock price, reliance share went up by 2 times. I am trying to understand the reason behind this, can you help with that.

Thanks in advance.

[Reply](#)



o *Karthik Rangappa* says:
[March 25, 2018 at 12:36 pm](#)

Rohan, bonus shares issuance is a corporate action, which has balance sheet impacts. Reducing the share price and increasing the number of shares is the only way it works. The price cannot go up. I suspect you are looking at the chart which is adjusted for the bonus.

[Reply](#)



376. *Nalubwe* says:

[March 17, 2018 at 3:29 am](#)

Which action is better, increase firm's stock price from a current level of \$20 to \$25 in 6 months and then to \$30 in 5 years but another action keeps the stock at \$20 for several years but then increases to it to \$40 in 5 years.

[Reply](#)



o *Karthik Rangappa* says:
[March 17, 2018 at 9:34 am](#)

I'd say 20-25 in 6 months followed by 20-40 in 5 years.

[Reply](#)



377. *Avinash Sonawane* says:

[January 21, 2018 at 7:26 pm](#)

In Varsity moduel 1 chapter 11 and point 11.4 of split of shares, when the ratio is 1:1 then 100 shares became 200 and when the ratio is 1:5 the 100 shares became 500. I think the ratio is wrong. When the ratio is 1:2 then 100 shares will became 200. Please clarify.

[Reply](#)



o *Faisal Mohammed* says:
[January 22, 2018 at 11:58 am](#)

Yes, there's no such thing as a 1:1 Stock Split. The chapter is now updated with the changes. Thank you for pointing out 😊

[Reply](#)



378. *invest_novice* says:

[January 2, 2018 at 5:17 pm](#)

And one more thing. Is buyback also optional like rights issue? i.e Only those shareholders who agree will be part of the buyback. The number of shares of other shareholders remains unchanged.

[Reply](#)

- o  *invest_novice* says:
[January 2, 2018 at 8:56 pm](#)

On reading tradingqna I found out that buyback is also optional.

[Reply](#)

-  *Karthik Rangappa* says:
[January 3, 2018 at 10:51 am](#)

Yes.

[Reply](#)

- o  *Karthik Rangappa* says:
[January 3, 2018 at 10:42 am](#)

Yes, that is right.

[Reply](#)

-  *invest_novice* says:
[January 3, 2018 at 2:08 pm](#)

Thanks. These training materials are very lucid. Great work.

[Reply](#)

-  *Karthik Rangappa* says:
[January 4, 2018 at 10:58 am](#)

Thanks!

[Reply](#)

379.  *invest_novice* says:
[January 2, 2018 at 4:59 pm](#)

Hi,

Just want to make sure my understanding is correct. In both 1:1 stock split and 1:1 bonus issue the number of authorized shares of the company doubles. Also the shares that are retained by the company also doubles.

Example

Say company has authorized 10 shares. 6 shares are retained by company and 4 are trading in market(issued float shares)

Total no of shares 10

Shares retained by company 6

Shares available in stock market 4

After stock split or bonus issue of 1:1

Total no of shares 20

Shares retained by company 12

Shares available in stock market 8

Am I correct?

[Reply](#)

- o  *Karthik Rangappa* says:
[January 3, 2018 at 10:39 am](#)

Yes, that is correct.

[Reply](#)

380.  *Sai Krishna* says:
[January 2, 2018 at 12:59 pm](#)

Amazing job sir! May I know how long does it take for an order to get rejected ?

[Reply](#)

- o  *Karthik Rangappa* says:
[January 3, 2018 at 10:36 am](#)

Its real-time, Sai.

[Reply](#)

381.  *Sairam* says:
[December 21, 2017 at 2:10 pm](#)

Thanks for the knowledge sharing.
one doubt here...will the dividend pay is cash...will it get directly credited to your trading account?

[Reply](#)

- o  *Karthik Rangappa* says:
[December 22, 2017 at 11:27 am](#)

Yes, its a cash payout, gets credited to your bank account directly.

[Reply](#)

382.  *cheriachen* says:
[December 20, 2017 at 10:34 am](#)

Informative article, brief and clear explanations to readers doubts...

I came here looking for information that might help me decide whether to sell when there is a bullish trend (If I sell now I might get about 13 percent) or wait until the record date for bonus shares issue?

[Reply](#)

- o  *Karthik Rangappa* says:
[December 20, 2017 at 11:29 am](#)

Glad you liked the content here 😊

Unfortunately, no one will be able to help you with a call on this 😊

[Reply](#)

383.  *chinmay* says:
[November 21, 2017 at 1:41 pm](#)

Hello sir,

Have any demo app of trading terminal for gain better practical knowledge before trading ?

[Reply](#)



- o *Karthik Rangappa* says:
[November 22, 2017 at 10:53 am](#)

We conduct demo of our trading platform, twice a day on youtube. At 2:30 PM and 6:30 PM. Check this – <https://www.youtube.com/user/zerodhaonline> . I'd suggest you do sit through this once.

[Reply](#)

384.



Kranti says:

[November 2, 2017 at 4:47 pm](#)

Somewhere in this chapter, i have seen you mentioned \”To ensure you are eligible for the corporate action, you need to be a shareholder 2 days before ex bonus date.

I have purchased infy on 26-oct-17, record date was 1-nov-17, am i eligible for buyback..?

[Reply](#)



- o *Karthik Rangappa* says:
[November 3, 2017 at 10:24 am](#)

Yup, as the shares are in your demat on 30th Oct.

[Reply](#)



- *Kranti* says:
[November 3, 2017 at 6:27 pm](#)

Hey Karthik — Thanks much for your reply

I have 2.02 lakh of worth of infy shares, will i be under HNI or Retail in case i want to tender my shares in buyback offer

What would you suggest, should i make it within 2 lakh to inhance the chances of higher acceptance ratio

[Reply](#)



- *Karthik Rangappa* says:
[November 3, 2017 at 6:55 pm](#)

If I'm not mistaken, the acceptance ratio is fixed across all categories.

[Reply](#)



- *Kranti* says:
[November 3, 2017 at 9:48 pm](#)

Yes corect

I want to know whether i fall under HNI or retail if i have just above 2 lakh worth of infy share??

-  *Karthik Rangappa* says:
[November 4, 2017 at 2:17 pm](#)

Well, for the same of IPO application, that would be considered a HNI.

385.  *avani* says:
[October 30, 2017 at 11:39 am](#)

Sir I have a doubt that whether it is beneficial for a company to directly buy back its shares or first bring bonus issue and then buy back its shares? What will be the tax implications?

[Reply](#)

-  *Karthik Rangappa* says:
[October 30, 2017 at 2:37 pm](#)

The buyback is good if done with the right intent. It lowers the number of outstanding shares, which increases the financial metrics of the company.

[Reply](#)

386.  *Kranti* says:
[October 27, 2017 at 1:01 pm](#)

Hi

Kindly please let me know that if i have shares of infosys in my demate account and if i am not applying for buyback offer will i be in loos after price adjustement after the ex date or record date

[Reply](#)

-  *Karthik Rangappa* says:
[October 28, 2017 at 11:46 am](#)

No, not really. A buyback does not affect the price like a Bonus or Spilt would.

[Reply](#)

387.  *Himanshu* says:
[October 17, 2017 at 8:21 pm](#)

I didn\'t get it. What are the benefits of dividends? As I see your portfolio remains same.

[Reply](#)

-  *Karthik Rangappa* says:
[October 18, 2017 at 11:57 am](#)

Dividends are cash payout made by the company against the shares held by you. This is tax-free at the hands of the investor.

[Reply](#)

388.  *Dipesh* says:
[October 10, 2017 at 9:16 am](#)

Sir what if I brought stock after ex bonus date?

I know that I\'ll not get bonus on this after reading this article but should I exit from this now and

purchase after the effect of bonus in stock.?? Please help..
Thank you

[Reply](#)

- o  *Karthik Rangappa* says:
[October 10, 2017 at 12:08 pm](#)

It really does not matter, Dipesh as the stock price will be adjusted for the bonus effect.

[Reply](#)

389.  *Archit Bagla* says:
[October 5, 2017 at 12:51 am](#)

Hi Karthik
I couldn't get one point os subtopic \"Buying Back shares\"

1. Improve the profitability on a per share basis :- How does this happen. Even if the company buys some share the number of shares still remains the same right ?

[Reply](#)

- o  *Karthik Rangappa* says:
[October 5, 2017 at 10:54 am](#)

When buyback happens, the shares are relinquished by the company. So fewer number of shares outstanding. For example, assume Profits before buyback was 100, the number of shares (before buyback) was 10. Now profit per share is $100/10 = 10$

Assume 5 shares are bought back, profit per share –

$100/5$

$= 20$

[Reply](#)

-  *Archit Bagla* says:
[October 5, 2017 at 11:53 am](#)

Thanks for the clarification 😊

[Reply](#)

-  *Karthik Rangappa* says:
[October 6, 2017 at 8:12 pm](#)

Cheers!

[Reply](#)

390.  *jyotshna* says:
[October 4, 2017 at 5:32 pm](#)

If a company announce bonus shares in some ratio, after bonus number of shares will increase in that ratio, Please clarify

1.) If I hold 10 shares (I purchased 2 years back, No capital gain tax)
and company announces 1:1 and I sell shares, will that bonus shares come under short term capital gain

?

2.) share sell is based on first come first out basis, so what about bonus and also about split.

3.) In case of buyback who will be the owner of that shares (Is it company or promoter ? Infy has extra cash, from that cash they are buying so...

[Reply](#)



o *Karthik Rangappa* says:
[October 5, 2017 at 10:46 am](#)

1) For the additional 10 bonus shares, the date of allotment of bonus shares will be marked as the buy date. 365 days hence these will be eligible for exemption of LTCG. However, if you sell 10 shares out of 20, then the 10 that you sold can be offset against the initial 10 shares that you purchased. Work on the First in First Out\ basis

2) For split, it works slightly different as this is not additional shares that you are getting. Its the existing shares which are getting split.

3) The company will be owners.

[Reply](#)



391. *soundarya* says:

[September 26, 2017 at 10:36 am](#)

sir, i am asking about od in demat(debit amount) leverage.will i get corporate benefits if i bought shares using leverage amount?

[Reply](#)



o *Karthik Rangappa* says:
[September 27, 2017 at 10:54 am](#)

Are you talking about taking an overdraft by leveraging your existing shares in DEMAT? Are you talking about pledging of shares? If yes, then you cannot buy shares using the pledged amount. So no question of corporate benefits.

[Reply](#)



392. *soundarya* says:

[September 25, 2017 at 11:12 pm](#)

hello sir,

i have a doubt that if i bought shares from overdraft amount,then will i get the corporate benefits of those shares or not?

please clarify my doubt.

[Reply](#)



o *Karthik Rangappa* says:
[September 26, 2017 at 10:13 am](#)

Yes you will, your OD is with the bank, not really linked to purchasing of shares.

[Reply](#)



393. *Yoganantham Gunasekaran* says:

[September 25, 2017 at 6:06 pm](#)

Hi karthik,
Outstanding shares will increase when company announces bonus issue and stock split. Hence their Return on equity decreases and their book value also decreases right. Is this a good or bad sign for that company.

[Reply](#)



- o *Karthik Rangappa* says:
[September 26, 2017 at 10:07 am](#)

Dilution is not great for the business, Yohanantham.

[Reply](#)



394. *Shubhank* says:

[September 24, 2017 at 5:20 am](#)

Hello,
What's the difference between Bonus and Split? Per my understanding from this chapter, both does the same thing and it doesn't seem any profit to shareholder apart from the quantity goes up which makes equity more retailable. I may have misunderstood something, please illustrate.
Thanks!

[Reply](#)



- o *Karthik Rangappa* says:
[September 24, 2017 at 7:43 am](#)

The bonus issue is considered a stock dividend. There is no visible difference to the shareholder...they are essentially the same, stock price decreases, number of shares increases. However, there is a difference from the balance sheet perspective. Will probably put up a note on this 😊

[Reply](#)



395. *ajay* says:

[September 23, 2017 at 7:38 pm](#)

Hello sir,
My doubt is based on dividend. I have shares of BSE Company.
Company announced dividend on 5/5/17. I didn't get till now & tell me when i get dividend.

[Reply](#)



- o *Karthik Rangappa* says:
[September 24, 2017 at 7:30 am](#)

You will get it the day the company dispurses the dividend to its shareholders. You will receive this money directly to your bank id.

[Reply](#)



396. *Madhu* says:

[September 23, 2017 at 1:15 pm](#)

Thanks for enriching information Zerodha. Thanks for the same.
I have one doubt regarding, why few companies don't go for stock splitting like Eicher Motors share price is around 30000. Why these companies don't go for stock splitting? Is it like they don't want to encourage retail participation? What's the company strategy behind this?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 24, 2017 at 7:20 am](#)

Splits and bonuses are a part of the corporate strategy. Like you said, some companies believe that they don't need more retail holding in their portfolio, maybe they look for institutional holding....long term shareholding sorts. Hence they don't venture into these corporate actions.

[Reply](#)

-  *Madhu* says:
[September 25, 2017 at 9:46 pm](#)

Thanks Mr Kartik.

[Reply](#)

-  *Karthik Rangappa* says:
[September 26, 2017 at 10:10 am](#)

Welcome!

[Reply](#)

397.  *SANJAY* says:
[September 21, 2017 at 8:41 pm](#)

Hi Rangappa,
What is the Record Date of INFOSYS buyback offer ? Are they yet to announce that ?
I am hold Oct. option series 'short straddle' 920 strick price. If Buyback Record Date in between Oct. series, so what is the effect of Oct. option series.

[Reply](#)

- o  *Karthik Rangappa* says:
[September 22, 2017 at 8:34 am](#)

It is yet to be announced I guess.

[Reply](#)

-  *SANJAY* says:
[September 23, 2017 at 11:48 am](#)

I am hold Oct. option series 'short straddle' 920 strick price. If Buyback Record Date in between Oct. series, so what is the effect of Oct. option series.

[Reply](#)

-  *Karthik Rangappa* says:
[September 23, 2017 at 1:08 pm](#)

Buyback does not really affect much as the face value remains the same...unlike split and bonus issues (which tends to alter the lot sizes).

[Reply](#)

-  *SANJAY* says:

[September 23, 2017 at 8:25 pm](#)

I don't understand that, if buyback record date is 18-oct-2017, so share price will go down accordingly.

Than my holding Oct. option series \"short straddle\" 920 strike price premium price will be high, thus we make loss.

Please clarify.



■ *Karthik Rangappa* says:

[September 24, 2017 at 7:33 am](#)

A buyback does not guarantee the stock price going down. This really depends on the terms of the buyback.



■ *SANJAY* says:

[September 24, 2017 at 10:07 pm](#)

As per SEBI guideline,
after how many days from announcement of record date will buyback record date come.



■ *Karthik Rangappa* says:

[September 25, 2017 at 10:47 am](#)

I think from the date of record date it should not take too long, less than 15 days. Check this –

http://www.sebi.gov.in/sebi_data/commondocs/bback_p.pdf



398. *ROBIN* says:

[September 21, 2017 at 6:57 pm](#)

Sir,

Regarding bonus share of Reliance Ind when the bonus shares issued will be credited to my a/c?

[Reply](#)



○ *Karthik Rangappa* says:

[September 22, 2017 at 8:33 am](#)

I guess the ISIN was not active, it should reflect next week. Can you please check with your broker's support team? Thanks.

[Reply](#)



399. *Ghanshyam kedia* says:

[September 2, 2017 at 5:55 pm](#)

Why do the share prices fall, when the dividend is declared

[Reply](#)



○ *Karthik Rangappa* says:

[September 2, 2017 at 10:48 pm](#)

If the dividend amount is not big, then the fall due to dividend is not significant.

[Reply](#)

400. *Ranjith Kumar B* says:
[August 9, 2017 at 8:43 pm](#)

Consider a company XYZ which announce Dividend $x\%$ on 01 January 2017 ,effective date is 01 march 2017

Case 1: if i bought 10 share on 01 February 2017

Case 2: if i bought 10 share on 25 February 2017

which is most profitable?

will share holder get equal dividend on both the cases?

[Reply](#)

o *Karthik Rangappa* says:
[August 10, 2017 at 11:45 am](#)

Yes, equal dividends.

[Reply](#)

401. *Hits* says:
[August 1, 2017 at 12:21 pm](#)

If any company issue Bonus share 2:1, then its prices will be half.

Then don't it will affect the Nifty of Sensex if its in Nifty-50 or Sensex-30.....as they calculated by averages of them...!!!!

[Reply](#)

o *Karthik Rangappa* says:
[August 3, 2017 at 1:12 pm](#)

The effect will be taken into consideration.

[Reply](#)

402. *Hitendra* says:
[August 1, 2017 at 12:16 pm](#)

I can't understand the difference between Bonus issue & stock splits, bcz the impact of both on share price and its value is same.

Can you explain clearly with example if possible..!!!

[Reply](#)

o *Karthik Rangappa* says:
[August 3, 2017 at 1:11 pm](#)

In a bonus issue, the face value remains the same....where as in split, the face value is reduced to the extent of the split.

[Reply](#)

403. *Zinnia* says:
[July 31, 2017 at 12:17 pm](#)

That i have understood that the price will decrease according to it. I wanted to ask that it particularly happens on ex dividend date only ?

[Reply](#)



- o *Karthik Rangappa* says:
[August 1, 2017 at 10:29 am](#)

Yes, it does.

[Reply](#)



404. *Zinnia* says:

[July 27, 2017 at 1:23 pm](#)

\\'\\When the stock goes ex dividend, usually the stock drops to the extent of dividends paid. For example if ITC (trading at Rs. 335) has declared a dividend of Rs.5. On ex date the stock price will drop to the extent of dividend paid, and as in this case the price of ITC will drop down to Rs.330. The reason for this price drop is because the amount paid out no longer belongs to the company.\\'\\ Please explain the same again and what happens to stock price on record date ?

[Reply](#)



- o *Karthik Rangappa* says:
[July 27, 2017 at 3:44 pm](#)

When the dividend is paid out, the stock adjusts to the extent of the price paid out. Nothing more to this I guess, Zinnia.

[Reply](#)



405. *james* says:

[July 18, 2017 at 3:56 pm](#)

Respected Sir,

Stock price drops at the ex-dividend date or after a day or two. In fact, the exchange itself makes deductions (as per my information) & next day stock opens up with new (dropped) price. This is what I was observing till now. After all, the effect of the Corporate Actions is immediate.

1) But, for past few months, I am observing that (almost) no stock is showing price drop at all, as if there has been no any Corporate Action. Is it due to strong bull market, or any other reason? Please Clarify.

2) Also, popular sites, like moneycontrol, are showing ex-dividend dates for stocks, but there is no record date. Couldn't get what does this mean? What about dividend in such cases? Please clarify.

Thanks & Regards

James

[Reply](#)



- o *Karthik Rangappa* says:
[July 19, 2017 at 10:54 am](#)

1) No, the stock price will (has to) reflect the adjusted price. Can you please double check this?

2) I'm not sure about how MC deals with corporate actions.

[Reply](#)



- *James* says:
[July 19, 2017 at 2:10 pm](#)

Thanks Sir, that gave the protective layer of confidence to my foundation concepts. I am just wondering about this strange price behavior, (or maybe I am not able to figure out slip-up in my research).

An example, Bharti Airtel had 13-07-2017 as ex-dividend date. When, I checked NSE site for historical data, there is no significant price change to relate to –

12th close – 397.10

13th open – 402.25

14th open – 405.05

Similar for HDFC and (all) others.

Highly thankful if you clarify it for us all !!

Best Regards

James

[Reply](#)

-  *Karthik Rangappa* says:
[July 20, 2017 at 8:02 am](#)

Yes, if the dividend amount is small then it does not really move the stock much.

[Reply](#)

406.  *Pandri* says:
[July 18, 2017 at 3:05 pm](#)

Hi Karthik: Nice and simple explanation on various dates associated with some corp actions. I have seen in websites like Moneycontrol, Eco times etc the use of 'EFFECTIVE DATE'. Is it the same as RECORD DATE? Since record date is a standard term why can't people just use this rather than a non standard confusing name (i.e effective date) . Pl clarify. Thanks

[Reply](#)

-  *Karthik Rangappa* says:
[July 19, 2017 at 10:33 am](#)

I'd assume it refers to record date 😊

[Reply](#)

407.  *Meet* says:
[July 15, 2017 at 7:27 am](#)

There is hyperlink on word 'Hindi' just below the title... Is this content gonna available in hindi too? would be really great for mass population of india.

[Reply](#)

-  *Karthik Rangappa* says:
[July 15, 2017 at 5:34 pm](#)

We attempted to get this translated to Hindi, unfortunately not much success there.

[Reply](#)

408.  *Harish Kumar* says:
[July 13, 2017 at 9:54 pm](#)

I have 340 shares of Hindustan Petroleum at an average cost of Rs. 517/-. Due to Bonus issue 1:2 rate of share has been reduced to 375.10. In my holding number of shares are shown 340 whereas it should

be 510 and average cost is showing 517/- whereas it should be 345. When it will be rectified? Can i rectify it myself? If yes, how?

[Reply](#)

- o  *Karthik Rangappa* says:
[July 14, 2017 at 10:57 am](#)

The bonus shares will hit your DEMAT account as soon as the shares are released by the company.

[Reply](#)

409.  *Deepa Suvin* says:
[July 11, 2017 at 9:31 am](#)

I have 100 shares of SANWARIA, the stock is split, 1:1, But in the account the stock quantity is still showing as 100 only, where as it should be 200. Kindly clarify, when this will be reflected in my account

[Reply](#)

- o  *Karthik Rangappa* says:
[July 11, 2017 at 11:09 am](#)

It will reflect when the stock goes ex bonus and the bonus shares are credited by the company.

[Reply](#)

410.  *Arijit Kundu* says:
[June 6, 2017 at 11:28 am](#)

What is a PENDING corporate action and how does it affects stocks ?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 6, 2017 at 10:37 pm](#)

Pending corporate action? Can you share the context please? Thanks.

[Reply](#)

411.  *Sudarshan* says:
[May 31, 2017 at 3:05 pm](#)

Hi. I understood all the topics except for buyback. How does the share go up if the company buys the share back from the shareholders. Could you explain that with an example.

[Reply](#)

- o  *Karthik Rangappa* says:
[June 1, 2017 at 11:13 am](#)

This happens for 2 reasons –

1) When a company announces a buy back, it indirectly conveys to the market that the people who know the business really well (i.e the company itself) perceive their share price to be really

undervalued....and the fact that they are buying back, suggests that they are optimistic on the future business prospects

2) When a company buys back shares, the bought back shares are eventually relinquished. This decreases the number of outstanding shares in the market, and hence the efficiency ratios of the company increases.

[Reply](#)

412.  *Muneer* says:
[May 29, 2017 at 11:58 am](#)

Hi,
 I had some shares of JK Tyre, I see that the company announced dividend but I have not yet recieved it.

[Reply](#)

o  *Karthik Rangappa* says:
[May 29, 2017 at 7:01 pm](#)

You will receive it soon.

[Reply](#)

413.  *Saiyed Kamil* says:
[May 19, 2017 at 12:30 am](#)

In your example, you have said if ITC is trading at 335 and it goes ex-dividend then it shall be slashed by the amount of dividend that has to be paid. here that was Rs. 5, hence ITC now shall trade at 330. BUt isn't dividend a kind of reward which is basically given out of profit. If a company gives me dividend and simultaneously slashes the share price then in a way they are just returning my money back.

nobody has asked this question above and it seems like I have missed out something. Please if you can clarify this.

[Reply](#)

o  *Karthik Rangappa* says:
[May 19, 2017 at 1:56 pm](#)

The impact on share price is especially true for very large dividend payout. You can ignore this for small value dividends.

[Reply](#)

■  *Saiyed Kamil* says:
[May 25, 2017 at 2:56 am](#)

But wont that be giving me money and then just taking it back from me at the same time?

[Reply](#)

■  *Karthik Rangappa* says:
[May 25, 2017 at 8:34 am](#)

Nope, as I mentioned, for small dividends the impact is not much. Also, remember dividends are tax free.

[Reply](#)

414.  *Ankur* says:
[April 27, 2017 at 10:27 am](#)

Hi, I am new to market and I have doubt regarding Buyback. Take the Case of TCS for example, they have a buyback price of Rs.2850 with CMP 2320 and record date as 8 May. So, how will TCS decide that how much shares they will buyback from each reatail investor and when will I come to know of it i.e before record date or after record date ?

Thanks.

[Reply](#)

o  *Karthik Rangappa* says:
[April 27, 2017 at 11:50 am](#)

You will receive a circular directly by TCS which would contain terms of buyback. This will give you all the information you need.

[Reply](#)

■  *Ragav* says:
[May 4, 2017 at 2:33 am](#)

Hi, I bought one TCS share to understand how this buyback stuff works...I haven't received any notifications from TCS yet...Do I need to hold large number of shares to be eligible for buyback offer?

[Reply](#)

■  *Karthik Rangappa* says:
[May 4, 2017 at 11:46 am](#)

No, please do contact the registrar responsible for doing the TCS buyback to know the exact details (in terms of timeline).

[Reply](#)

■  *Ragav* says:
[May 5, 2017 at 12:59 pm](#)

Thanks a lot...I checked with my registrar....they said that they are yet to publish the details regarding the buy back.

■  *Karthik Rangappa* says:
[May 6, 2017 at 3:33 am](#)

Great! Good luck.

415.  *shabaz* says:
[April 26, 2017 at 12:26 pm](#)

so ,
 according to this article,
 is it right to say that we should buy those shares of companies which give much dividends

[Reply](#)

- o  *Karthik Rangappa* says:
[April 27, 2017 at 11:22 am](#)

Yes, if your agenda in the market is to make money via dividends.

[Reply](#)

416.  *venu* says:
[April 24, 2017 at 10:46 am](#)

hi,
on 27th april vedanta and cairn swaps the stocks.what might happen to vedanta stock price on that day

[Reply](#)

- o  *Karthik Rangappa* says:
[April 24, 2017 at 11:23 am](#)

Depends on what the market thinks about the swap.

[Reply](#)

417.  *Samved Sinho* says:
[April 3, 2017 at 5:18 pm](#)

Quick question about Buyback of HCL Tech. As I understand, At the market price of Rs. 865 today, the stock gives you Rs. 135 return if it's bought back at 1000. So if I buy now at 865 and get Rs. 135 in a buyback, that's a 15.6% return in four months. I understand that not 100% stocks would be brought back, but even if they buy 50%, still we should be able to make a decent profit. Is there some other risk which we should be aware of before building a position to tender shares for buyback.

[Reply](#)

- o  *Karthik Rangappa* says:
[April 4, 2017 at 7:35 am](#)

Hey Samved, good to see you here.

The biggest risk (in general, may not be specific to HCL) is how the buy back would be perceived by the market participants. End of the day, buy back is \'capital allocation\' by the company. If the market perceives that they are buying back shares at higher valuation, then that is a risk. The share price will come down, you may not be able to tender all your shares, and eventually stuck with shares bought at a higher price.

[Reply](#)

418.  *subhash sultania* says:
[April 3, 2017 at 4:45 pm](#)

shares bought in cum bonus date 23.03.2017 and sold on ex date 24.03.2017 before record date 28.03.2017, shall i be eligible for the bonus shares

[Reply](#)

- o  *Karthik Rangappa* says:
[April 4, 2017 at 7:30 am](#)

Nope, you need to be a shareholder by record date to be eligible for corporate benefits.

[Reply](#)

419.  Srihari says:
[March 23, 2017 at 6:02 pm](#)

Would all of the 100 shares be bought back by the company?

[Reply](#)

- o  Karthik Rangappa says:
[March 24, 2017 at 11:22 am](#)

Depends on the buy back terms.

[Reply](#)

-  Srihari says:
[March 24, 2017 at 9:53 pm](#)

Thank you Karthik 😊

[Reply](#)

-  Karthik Rangappa says:
[March 25, 2017 at 7:00 pm](#)

Cheers!

[Reply](#)

420.  Srihari says:
[March 23, 2017 at 5:40 pm](#)

And what is the procedure to apply for buy back?

[Reply](#)

- o  Roopa K V says:
[March 24, 2017 at 12:15 pm](#)

When a buy back is announced the company issues the letter of offer along with a tender form to all shareholders who were holding the shares as on record date, this form will be sent on your registered email ID and to your registered address through post which will detail the opening, closing date, price and number of eligible shares. Do fill this form and send the signed copy to us through email we shall have the order placed on behalf of you after the transfer of your shares to the concerned RTA and on the settlement date you will receive the money to your bank account. You can either tender only the shares you are all eligible or all the shares you are holding as on record date. The number of shares you are eligible will be accepted for sure but any number of shares more than that depends on the total bids received by the company.

[Reply](#)

-  Srihari says:
[March 24, 2017 at 3:50 pm](#)

Thanks a lot Roopa 😊

[Reply](#)

421.  *Srihari* says:
[March 23, 2017 at 5:33 pm](#)

Sir, I have a question regarding buy back

Suppose the buy back price is 340, cmp is 333 and record date is 5/April/2017.

If I purchase 100 shares tomorrow and hold it till the record date within how many days would the buy back amount be given to us? And would it be transferred to demat account or bank account?

[Reply](#)

o  *Karthik Rangappa* says:
[March 24, 2017 at 11:17 am](#)

I'm not sure how long it would take for the funds to hit your account, but it would hit you bank account not DEMAT.

[Reply](#)

422.  *Sai Sreedhar* says:
[March 22, 2017 at 5:55 pm](#)

Hi Karthik

If we get bonus shares of a stock, and we sell the initially bought shares, would that be recorded as a profit or loss if the LTP is below the price bought?

Eg. 100 shares bought at ₹100/Share [trade value ₹10,000]. If the share is trading at say 110, next after bonus of 1:1 you have 200 shares of each ₹55 [Positive Holding of ₹11,000]. So If I sell 100 Shares at ₹55 [LTP] after the bonus (which were actually bought at ₹100/share), will it be considered as a loss of 5500 as Zero Holdings? (while still having ₹5500 in your Positive Holdings, buying price of Zero! 😊)

[Reply](#)

o  *Karthik Rangappa* says:
[March 23, 2017 at 12:32 pm](#)

Bonus issue is a fairly standard corporate action. You will have to declare the bonus issue and adjust the buy average accordingly.

[Reply](#)

■  *Sai Sreedhar* says:
[March 23, 2017 at 5:32 pm](#)

Agreed! I am actually asking in taxation point of view, If at all we sell the shares initially bought and sold them before 365 days, would that be considered as a loss in out FY end statement?

[Reply](#)

■  *Karthik Rangappa* says:
[March 24, 2017 at 11:12 am](#)

No, on an adjusted basis it is still a capital gains of 10%. If you are holding the stock for under 365 days, then STCG is applicable. LLTCG is anyway 0%.

[Reply](#)

■  *Arun* says:

[December 15, 2017 at 4:23 pm](#)

If my understanding of bonus shares and tax implications is correct, There is a FIFO (First in First Out) rules applicable for any stocks held in DEMAT Account.

So going back to example in "Sai Sreedhar" question, shares got doubled from 100 to 200 after bonus shares and the price was reduced from Rs. 110/- to 55/- after bonus shares.

So when a person sells only half of the shares (100 in his example), bases on FIFO rules, he/she is actually selling original shares which were bought at Rs 100/- (In the example given). Hence person would attract a capital loss of $100 \times (100 - 55) = \text{Rs. } 4500$.

At the same time when person sells remaining shares (100) as well, which were bonus shares, the but price for those would be considered as 0 hence it will attract a capital gain of $100 \times (55 - 0) = \text{Rs. } 5500$.

For Calculation of Short Term or Long Term, in first sale the buying date of original shares will be considered whereas in 2nd sale, allotment date of bonus shares would be considered as buying date.

To explain it further lets say you had bought 100 shares of price 100/- on "01-Jan-2017". You got bonus shares of 100 on "30-Aug-2017" and the adjusted price after bonus share was Rs 55/-.

You now own 200 shares and the current price if Rs. 55/-

You sell 100 Shares on "10-Aug-2017" at Rs 55/-

Bases on FIFO rule, you have accrued a loss of $100 \times (100 - 55) = 4500/-$ which would be termed as Short Term Capital Loss and can be used to set of against any short term capital gain.

Remaining 100 bonus shares can be hold for more than a year from the date of allotment which is "30-Aug-2017" in this example.

So you sell these 100 shares at any date after "30-Aug-2018" there wont be any tax.



■ *Nithin Kamath* says:
[December 17, 2017 at 1:07 pm](#)

Yep, u r right. People try to do this, also called bonus stripping.



423. *Sudhish* says:
[March 21, 2017 at 5:56 pm](#)

So if I buy shares after declaration of dividend, bonus, rights etc but before ex-date, then will I get that benefit ?

[Reply](#)



○ *Sudhish* says:
[March 21, 2017 at 6:26 pm](#)

Sir One more Question,

Are dividend incomes completely tax free ? Do we have to show it file filing tax returns ?

[Reply](#)



- *Karthik Rangappa* says:
[March 22, 2017 at 1:07 pm](#)

Yes, dividends upto 10L (from all sources) is exempted from tax.

[Reply](#)



- *Karthik Rangappa* says:
[March 22, 2017 at 1:06 pm](#)

Yes, you will.

[Reply](#)



424. *Ayush* says:
[March 17, 2017 at 6:14 pm](#)

Why do the price of a stock drop on ex dividend date to the price of dividend which is to be paid?

[Reply](#)



- *Karthik Rangappa* says:
[March 18, 2017 at 3:04 pm](#)

If the dividend is small then the price drop is not very significant. Anyway, it drops because cash goes out of the company and gets paid to shareholders.

[Reply](#)



425. *Akash* says:
[March 5, 2017 at 1:06 am](#)

Hi,
Like almost everybody here, I got confused on the topic of bonus shares. So if a bonus share is done at 1:1, which means that the shareholders now own 2x stocks each, but since the FV doesn't decrease, therefore their value of investment should double, BUT, the total investment remains constant.
In essence, Selling price = 2 x Cost price.

[Reply](#)



- *Karthik Rangappa* says:
[March 5, 2017 at 8:32 am](#)

When bonus shares are issued, 3 things happen –

- 1) No change in face value
- 2) Number of shares increase (based on the ratio of bonus issue)
- 3) Stock price is accordingly reduced

So net net the investment amount remains the same.

[Reply](#)



426. *Soubhik Bardhan* says:
[February 25, 2017 at 10:20 pm](#)

Hi,

I had a specific query with respect to bonus share issues. What happens if one buys shares in between the ex-bonus date and record date? Since ex-bonus date is usually before the record date – what I have gathered is that the prices are adjusted in the market according to the bonus share issue proportion on ex-bonus date but record date is usually the cutoff date used by the company to register who is eligible for bonus shares. So, my question is: Do you get allotted bonus shares even if you buy shares after ex-bonus date (new adjusted price of the share) but before the record date? Ideally, that shouldn't be the case but wanted to confirm.

Thanks.

[Reply](#)



o *Venu Madhav* says:

[February 27, 2017 at 3:28 pm](#)

You'll have to purchase shares before the Ex-Date to be eligible for the bonus. I've explained it in more detail on this tradingqna link here: <https://tradingqna.com/t/if-i-buy-or-sell-shares-on-ex-date-of-dividend-announcement-do-i-receive-the-dividend-what-is-the-record-date/174>

Do let me know if you're having any trouble understanding.

Cheers

[Reply](#)



427. *Uday Kumar V* says:

[February 25, 2017 at 3:42 pm](#)

Hi Team,

This is a fantastic information on stocks and trading. I have a simple suggestion on the UI layout.

Most of the pages are read only but the header is taking more space while reading.

Why can't you reduce the header height on scroll down and you may show the actual height on scroll up making the pages more readable and intuitive.

[Reply](#)



o *Karthik Rangappa* says:

[February 27, 2017 at 8:37 am](#)

Thanks Uday. Will pass on the feedback to our UI designer. We do want to rehash Varsity with a completely new look etc. Hopefully should happen sometime soon.

[Reply](#)



428. *aravindt* says:

[February 24, 2017 at 11:14 am](#)

What is the difference between bonus issue and stock split??

[Reply](#)



429. *Mihir Vidwans* says:

[February 20, 2017 at 8:18 pm](#)

Hi Karthik, In Bonus issue, does the FV of the share not get affected as it does in Stock Split. As you said, The bonus shares are issued out of the reserves of the company. That means company must be transferring funds from its reserves to its authorized share capital. For example: a company has an

authorized share capital of Rs. 1,00,000. It has issued 10,000 shares with a face value of Rs. 10 each. Thus, its issued share capital is also Rs. 1,00,000. It has an accumulated reserve of Rs. 10,00,000. It decides to issue bonus shares in the ratio of 1:1 or “1 for 1” – that is, 1 bonus share for each share held. In this case, it transfers Rs. 1,00,000 from its reserves to its authorized share capital. Thus, its reserves come down to Rs. 9,00,000, and its authorized share capital increases to Rs. 2,00,000. Using this new share capital of Rs. 1,00,000, the company issues 10,000 new shares, each having a face value of Rs. 10, and gives a new share – the bonus share – for each share held. Its issued share capital also goes up to Rs. 2,00,000. This means there is no change in FV of the shares post Bonus Issue. Is it right?

[Reply](#)

- o  *Karthik Rangappa* says:
[February 21, 2017 at 11:18 am](#)

Absolutely Mihir. FV does not reduce in case of a bonus issue, it is just a balance sheet readjustment. Both reserves and share capital are on the reserves side, so money is transferred from one line item to another.

[Reply](#)

430.  *Siva Prasad* says:
[February 16, 2017 at 3:23 am](#)

I have doubt that..

what will be the immediate next day impact on share market

1. Bonus
2. Split
3. dividend
4. Buy back

I mean share value increase or decrease?

[Reply](#)

- o  *Karthik Rangappa* says:
[February 16, 2017 at 8:08 am](#)

Nothing really happens on the next day for Bonus, Split, and dividends. However if the offer details of the buy back is good, then the share price may move up. Co incidentally, TCS has announced today (16th Feb) that they may consider a buy back of shares before 20th Feb. It will be interesting to watch what would happen to the stock price.

[Reply](#)

431.  *kmayank* says:
[January 29, 2017 at 2:08 pm](#)

I am very beginner. All i have learnt is from your tutorials provided here. I want to practice it virtually before i land in real trading market. I mean i want to play where all are real except money which will be virtual. I have this question that if you have this feature.

[Reply](#)

- o  *Karthik Rangappa* says:
[January 30, 2017 at 11:12 am](#)

We do not have that feature yet, for now I'd suggest you check out NSE's Paathsaala – https://www.nseindia.com/NP/nse_paathshaala.htm

[Reply](#)

432.  *Siva hemanth* says:
[January 29, 2017 at 6:41 am](#)

if the stock split is 1:1 the face value will be changed from 10 to $10/(1+1)=5$. But if the stock split is 1:5 the face value should change from 10 to $10/(1+5)=10/6$. But u have mentioned 2. Can u please explain?

[Reply](#)

- o  *Karthik Rangappa* says:
[January 29, 2017 at 8:42 am](#)

Both 1:1 and 1:2 are similar....I dont know why I mentioned 1:1 in stock splits (it is usually works for bonuses, will correct this as well). Anyway, in 1:2, FV is split from 10 to 5 ($10/2$)... and in 1:5, FV is split from 10 to 2 ($10/5$).

[Reply](#)

433.  *Rahul* says:
[January 26, 2017 at 3:09 am](#)

Hello Sir,

If my capital is 20,000/-, i purchased 100 shares of xyz company @ 200/- per share on 20/12/2016 & company declare bonus share of 1:2 record date is 28/1/2017 & after record date i will get extra 50 shares of xyz company, so now i am having total 150 shares of xyz company in my demat account. Suppose the market price is 220/- per share on 2/2/2017 Now if i sell all 150 share on 2/2/2017, How it calculated?

Is it 150 shares * 220/- market price = 33,000/- ?

Please Reply

[Reply](#)

- o  *Karthik Rangappa* says:
[January 26, 2017 at 7:22 am](#)

No, with a 1:2 bonus, you get 1 share for every 2 shares....therefore additional 50 shares, making a total of 150. But at the same time, share price also declines to about 133.

So you will still have $150 * 133 = 20000$ worth of investments.

[Reply](#)

-  *RAHUL* says:
[February 3, 2017 at 2:55 am](#)

Sir, But i have seen that within 5 days like group 'A' stocks the price does not fall from 200/- to 133/- it will decline upto 185 (roughly). So now if i sell 150 shares @ 185/- then my capital will become $150 * 185 = 27,750$?? Sir, ur doing great job!!

[Reply](#)

-  *Karthik Rangappa* says:
[February 5, 2017 at 7:55 am](#)

No Rahul, the effect of a corporate action is immediate.

[Reply](#)

434.  *Sparsh Gupta* says:
[January 24, 2017 at 11:51 pm](#)

For dividend ,TCS has record date of 24/1/2017 , so how much time it takes for money to credit in account after record date ? And dividend money comes to bank account or zerodha account ?

[Reply](#)

o  *Karthik Rangappa* says:
[January 25, 2017 at 11:35 am](#)

Money hits your bank account directly. Usually happens within a week...but it really is company dependent.

[Reply](#)

435.  *Rajiv* says:
[January 21, 2017 at 11:40 pm](#)

Hi Sir, thanks for the article. my query is: Is BLOCK deals good or bad for a stock price? Thank you.

[Reply](#)

o  *Karthik Rangappa* says:
[January 23, 2017 at 11:37 am](#)

It makes no difference as they do not tend to affect the price movement.

[Reply](#)

436.  *venkatesh* says:
[January 18, 2017 at 1:58 pm](#)

Ex dividend date: 19 Jan 2017
Record date: 20 Jan 2017
IF i sell on Record Date will I be able to get the dividend?

[Reply](#)

o  *Karthik Rangappa* says:
[January 19, 2017 at 4:23 am](#)

Yes.

[Reply](#)

437.  *venkatesh* says:
[January 17, 2017 at 10:04 pm](#)

Ex dividend date: 19 Jan 2017
Record date: 20 Jan 2017
I have bought x company shares one week back and if i sell on ex dividend date will I be able to get the dividend?

[Reply](#)

o  *Karthik Rangappa* says:
[January 18, 2017 at 11:33 am](#)

No, as the company looks for the shareholder's register on the record date.

[Reply](#)

438.  *venkatesh* says:
[January 16, 2017 at 4:43 pm](#)

Ex bonus date: 19 Jan 2017

Record date: 20 Jan 2017

IF i buy shares on 17 Jan 2017, will i get the dividend, please answer yes or no, and clarify.

[Reply](#)

o  *Karthik Rangappa* says:
[January 17, 2017 at 11:10 am](#)

Yes.

[Reply](#)

439.  *Dipankar Vedant* says:
[January 16, 2017 at 1:17 am](#)

Hi , I have a confusion. Please look the below scenario.

Company:OIL

Announcement date: 28 Nov 2016

Ex bonus date: 12 Jan 2017

Record date: 13 Jan 2017

I bought shares on 11 Jan 2017 which is before ex date. But the shares won't be on my account on record date considering T+2 period.

What will happen in this scenario? Kindly clarify

Thanks.

[Reply](#)

o  *Karthik Rangappa* says:
[January 16, 2017 at 12:16 pm](#)

To ensure you are eligible for the corporate action, you need to be a shareholder 2 days before ex bonus date.

[Reply](#)

440.  *venkatesh* says:
[January 15, 2017 at 5:07 pm](#)

Whether dividend amount is paid to zerodha account or bank account

[Reply](#)

o  *Karthik Rangappa* says:
[January 16, 2017 at 11:12 am](#)

Gets credited to your bank account.

[Reply](#)

441.  *Chandramohan* says:
[October 27, 2016 at 12:41 pm](#)

Thanks for the detailed information. Can you please provide the formula to adjust the stock price in case of rights issue. For example recently Karnataka Banks stock price got adjusted to 130 from 158 after the rights issue. Please let me know how to arrive at this price.

[Reply](#)



- o *Karthik Rangappa* says:
[October 28, 2016 at 11:30 am](#)

Ah, I'm not really sure. I will try and get you the info soon.

[Reply](#)



442. *Prashanth* says:
[October 16, 2016 at 3:17 pm](#)

How to buy rights...?
What is the process?
How to apply?

[Reply](#)



- o *Karthik Rangappa* says:
[October 17, 2016 at 10:48 am](#)

Check this QnA thread – <http://tradingqna.com/14647/how-to-apply-for-tata-motors-rights-issue>

[Reply](#)



443. *Vaibhav Joshi* says:
[September 27, 2016 at 6:34 pm](#)

Hi Karthik,

Please consider below example

Declaration Date-Friday, 7/26/2013
Ex-Dividend Date-Thursday, 8/8/2013
Record Date-Monday, 8/12/2013
Payable Date -Tuesday, 9/10/2013

If one has to target dividends then please suggest what is the minimum holding duration as per above example.

[Reply](#)



- o *Karthik Rangappa* says:
[September 28, 2016 at 5:30 pm](#)

You have to make sure you are a shareholder before the record date. In order to do that you need to buy the share at least 2 days before the record date since the settlement is T+2 basis. So in this case by 8/10/2013.

[Reply](#)



- *Vaibhav Joshi* says:
[September 28, 2016 at 5:53 pm](#)

Thank You Sir!

if I bought share before record date and sold after record date but before payable date,

Then in that case I will be eligible for dividend?

Considering above example bought on 8/8/2013 and sold on 8/20/2013 then does dividend will receive to me?

[Reply](#)

-  *Karthik Rangappa* says:
[September 29, 2016 at 2:57 pm](#)

You should, but its best to hold it till the payable date.

[Reply](#)

444.  *prashanth* says:
[September 21, 2016 at 8:18 pm](#)

sir today i sold 10 of my 20 IOC shares...(i bought these 20 shares on august 10th)
on sep 02(ex-date) company announced dividend Rs 8.50 per share
still i have 10 shares of IOC.

am i eligible for dividend now ?

if i am eligible for dividend will i get dividend per 20 shares OR 10 shares?

[Reply](#)

-  *Karthik Rangappa* says:
[September 22, 2016 at 9:01 am](#)

If you have sold the 20 shares today i.e around 21 st Sept...then you will receive the dividend for 20 shares.

[Reply](#)

445.  *Roy* says:
[September 18, 2016 at 4:15 am](#)

I received a message from NSE a few days ago that bonus shares for Wim Plast have been credited to my demat account but the same does not reflect on my zerodha account (under holdings). Kindly let me know when these shares will reflect in my holdings.

[Reply](#)

-  *Roy* says:
[September 18, 2016 at 3:36 pm](#)

Kindly ignore the above comment/query since I've just been informed by the Zerodha support team that the shares will show up in my account once the new ISINs are activated by the company.

[Reply](#)

-  *Karthik Rangappa* says:
[September 19, 2016 at 2:39 pm](#)

Happy to know that 😊

[Reply](#)

- o  *Karthik Rangappa* says:
[September 19, 2016 at 2:30 pm](#)

It should happen today, request you to check your holdings t'row morning. Else, please do write an email to support@zerodha.com .

[Reply](#)

446.  *Arun326* says:
[September 6, 2016 at 3:55 am](#)

Can you explain demisting, what happens when a company wants to delist, how it affects stock price?
.. Thanks

[Reply](#)

- o  *Arun326* says:
[September 6, 2016 at 3:56 am](#)

Can you also explain delisting* (typo corrected)

[Reply](#)

- o  *Karthik Rangappa* says:
[September 6, 2016 at 11:19 am](#)

Sure, we will try and add a supplementary note on this.

[Reply](#)

447.  *khushbu dubey* says:
[September 1, 2016 at 8:39 am](#)

I am not convinced with the split ratio ez of 1:1 .
split 1:1 , should mean no split at all. It should be always like , 1:2; 1:3; 1:4 ; 1:n , where n is any positive integer.

Pls. correct me if i am wrong.

[Reply](#)

- o  *Karthik Rangappa* says:
[September 1, 2016 at 11:18 am](#)

1:2 indicates I get 1 share for every 2 shares that I own...but what if the company decides to give 1 share for every 1 share that I own?

[Reply](#)

-  *khushbu dubey* says:
[September 1, 2016 at 9:20 pm](#)

Can you pls. justify based on the explanation in this chapter above :

Split Ratio Old FV No of shares you own before split Share Price before split Investment Value before split New FV No of shares you own after split Share Price after the split Investment value after split

1:1 10 100 900 90,000 5 200 450 90,000
 1:5 10 100 900 90,000 2 500 180 90,000

Thnks!
 khushbu

[Reply](#)

448.  *deepender* says:

[August 31, 2016 at 1:51 pm](#)

first of all great efforts karthik sir you have done marvelous job

after reading your page , i came to know how stock price affected by corporate actions , sir my question is to you that as i am studying a company (ALANKIT LTD) which recently has announced sub devision of shares (stock split) on 26-aug-16 , and last time they had announced stock split on 13.7.15 but when i saw company price graph i saw no price down fall after split please clear my doubt i have high hope from you and please tell me also what will happen if company declare bonus share and the date when price will effect ..

and thanks for making such awesome page on stock marketing knowledge

[Reply](#)

o  *Karthik Rangappa* says:
[September 1, 2016 at 11:21 am](#)

Thanks Deepender.

Most likely the price you are seeing in the chart is adjusted for splits and bonuses.

[Reply](#)

■  *sonthu* says:
[October 18, 2016 at 6:55 pm](#)

Hi Karthik,

Firstly thanks for all the brilliant consolidated beautiful explanations you have given for the corporate actions. This thread have provided the information's i have been searching since some months. Kudos to you and your team.

Well my question is about the answer you have given to deepender above

1) How do they adjust the splits in the chart?. They will do for the historical prices ?. Like consider the price of a XYZ stock is 900 and the company have announced 1 :3 split . so the current price on record date will be 300(900/3) right?. so will they change the historical prices by the same ratio?

2) How is the notion for bonus and share split described?. Is it (2:1 or 1:2) for 2 share bonus for the existing single share?

3) Also, in the split ratio 1:1 how is the share price gets affected of a stock?

[Reply](#)

■  *Karthik Rangappa* says:
[October 19, 2016 at 4:57 pm](#)

I'm glad you liked the contents here Sonthu.

1) Yes, the prices will be adjusted historically to reflect the recent corporate action to make the charts look consistent

2) 2:1

3) Share price will be divided by 2 and the number of shares will increase by 2

[Reply](#)



sonthu says:

[October 23, 2016 at 2:12 pm](#)

thanks karthik for the reply.

In reference to the third answer, the split ratio of 1:1 and 1:2 is the same right? because in both the shares will be split into two shares and the share prices divided by 2.

please let me know if i am incorrect



Karthik Rangappa says:

[October 24, 2016 at 10:20 am](#)

1:2 is the right way to express. And yes, shares are divided by 2.



449. Leontia Whyte says:

[August 25, 2016 at 5:32 pm](#)

Thanks for a detail understanding of how the CA effects the stock price. There were many confusions before i read your chapter, now i am confident on how this works and effects the stocks 😊

[Reply](#)



Karthik Rangappa says:

[August 26, 2016 at 10:57 am](#)

Most welcome Leontia!

[Reply](#)



450. Ashok Goyal says:

[August 20, 2016 at 2:51 pm](#)

On July 1st 2016 ITC issued 2:1 bonus but the stock price did not change proportionately. The reason for this it?

[Reply](#)



Karthik Rangappa says:

[August 22, 2016 at 12:03 pm](#)

It did I guess.

[Reply](#)



Ashok Goyal says:

[August 22, 2016 at 1:57 pm](#)

The price on
June 30th : 246,
July 1: 252.
July 4: 245.6

July 4: 243.3

A bonus of 1:2 was announced so we would expect the price of a share to become 2/3rd as explained.

[Reply](#)

-  *Karthik Rangappa* says:
[August 23, 2016 at 11:39 am](#)

Yes, but this will happen when the bonus is effective i.e on Record Date.

[Reply](#)

451.  *mahavishnu* says:
[August 19, 2016 at 11:38 pm](#)

REC CMP230.. 28-09-2016 bonus 1:1
today bought option contract 180pe sep @0.05
28-9-2016 rec cmp range 125-120.. my option contract LTP will increase or not.. option contract what will be react ..

[Reply](#)

-  *Karthik Rangappa* says:
[August 22, 2016 at 11:53 am](#)

F&O prices will reflect the bonus, so do not expect your Puts to increase in value.

[Reply](#)

452.  *Pooja* says:
[August 12, 2016 at 12:54 pm](#)

Why does stock decline between dividend declaration and exdate? In your example of ITC, if ITC declared a dividend of Rs. 5, then ITC dropped down from 335 to 330. I did not understand the reason given.

The seller now knows that the buyer will get Rs 5 income after buying the shares. Hence, won't the seller ask for an additional share price of, say, Rs 4? So, it would actually go up to 339 – why does it drop?

In your reason that the money does not belong to company – I did not understand what it means – why/where is the company in this trade? What I am missing here?

Thanks for the time and effort you are putting here.

[Reply](#)

-  *Karthik Rangappa* says:
[August 13, 2016 at 4:36 am](#)

Dividend is a cash income which is distributed from the profits made by the company. Will shortly put up a detailed note on how this (and bonus, splits, and rights) affect the stock price.

[Reply](#)

453.  *Shivanand* says:
[August 5, 2016 at 4:48 pm](#)

Usually after rights issue announcement whether the share price decrease or increase? Take the case of Karnataka bank, rights announced in the ratio 1 for every 2 shares held @ Rs 70 per share (10 Fv +60 premium). Market price (share price) decreased by Rs 7 to Rs 143 from RS 149.75 around 4.7%, that to bullish market day where nifty peaked to 52 week high and nifty bank jumped by around 2%. What this indicates?

[Reply](#)



o *Karthik Rangappa* says:

[August 7, 2016 at 9:07 am](#)

It is usual to expect the stock price to fall after Right issue...this is because there are more number of shares for the given set of earnings. Even the dividend and PE kind of declines. You got to be absolutely sure before subscribing for a rights issue...do it only if you are sure about the growth prospects of the company.

[Reply](#)



454. *Raga* says:

[July 15, 2016 at 8:12 pm](#)

I am a bit confused understanding bonus and split shares:

Lets say ABC company has a market capital of Rs.1 Lakh and FV Rs.10. The company decided to issue bonus shares and transferred Rs.1 lakh from its reserves and issued bonus shares.

If a shareholder has 1 share, after bonus issue he is getting 2 shares with FV Rs.10 and at the same time the market price is normalized in the same manner i.e., market price will get dropped by half. So what is the benefit the shareholder gets? Even a split does that!

Please clarify.

[Reply](#)



o *Karthik Rangappa* says:

[July 16, 2016 at 7:46 am](#)

Well, there is no material benefit as such 😊 But in the long run, if the company continues to perform well and the profits swell, you can expect a higher dividend yield.

[Reply](#)



455. *subhro acharya* says:

[July 15, 2016 at 4:42 pm](#)

Suppose i have 105 equity shares of a company x and the company issue bonus share in the ratio 1:2. Then how many additional share will I get? ? If the answer is 52 then is it a loss for me? ?

[Reply](#)



o *Karthik Rangappa* says:

[July 16, 2016 at 7:41 am](#)

No, the fractional shares will be converted to cash and the cash will be credited to your bank account.

[Reply](#)



456. *Prasanthi* says:

[July 13, 2016 at 12:54 pm](#)

Bharti Infratel has sent me the Buy back offer's Tender form. In that form they have mentioned that we have to tender the stocks through my respective shareholder broker i.e. zerodha by indicating the details of Equity shares I intend to tender under the Buy-back offer.

Would you please let me know how can I do that? I am unable to find the option to offer my shares for buy back online anywhere in Zerodha website. Please help.

[Reply](#)



- o *Prasanthi says:*
[July 13, 2016 at 2:25 pm](#)

I am sorry Karthik, My question was already answered by you as an answer to someone else... Thank you. I will send the scanned copy to the mail ID support@zerodha.com mentioning the no of shares I wish to offer. Thank you once again for your patience...

[Reply](#)



- *Karthik Rangappa says:*
[July 14, 2016 at 8:43 am](#)

Good luck!

[Reply](#)



- o *Karthik Rangappa says:*
[July 14, 2016 at 8:43 am](#)

This is still an offline process, I'd suggest you speak to our support executives for this. Thanks.

[Reply](#)



457. *Jitendra boinwar says:*
[July 13, 2016 at 8:43 am](#)

Hi sir,

Can you please how various factors affect on share price. I mean if company declares bonus shares price of the shares increasing like wise some other actions which can increase or decrease price of the shares.

[Reply](#)



- o *Karthik Rangappa says:*
[July 13, 2016 at 11:05 am](#)

I've done this in the chapter itself!

[Reply](#)



458. *Monal Jain says:*
[June 14, 2016 at 3:15 pm](#)

Sir, I want to know. I have bought shares today of Infratel so that on record date my name is on Shareholder list. Now, before buyback actually starts Can I sell those holdings (for a profit of course) and can buy again so as to tender Shares??

In this way, I am eligible to participate in tender offer and also has shares to tender.

Please Clarity

[Reply](#)

- o  *Karthik Rangappa* says:
[June 14, 2016 at 4:42 pm](#)

No, I would suggest you don't do this as the record date is just 1 day away!

[Reply](#)

-  *Monal Jain* says:
[June 14, 2016 at 5:02 pm](#)

karthik,

No, you are not getting it. I will be selling those holdings say after 5-10 days and will buy again after that before actually buyback starts.

Please clarify

[Reply](#)

-  *Karthik Rangappa* says:
[June 15, 2016 at 5:08 pm](#)

Ok, I guess you can do this.

[Reply](#)

-  *Monal Jain* says:
[June 23, 2016 at 5:35 pm](#)

Thanks Karthik.

How does Buyback Process will work at Zerodha. Manual or Online ? Many Brokers have special window open for buyback surrender.

Can you elaborate , how The process will be if i need to surrender shares for buyback from my Zerodha account

-  *Karthik Rangappa* says:
[June 24, 2016 at 4:51 pm](#)

You can send an email to support@zerodha.com indicating your desire to take part in the Buy back. You'll have to attach the scanned copy of the tender form and mention how many shares you wish to tender for the buyback.

459.  *Dr Prasanthibu* says:
[June 14, 2016 at 11:17 am](#)

In case of Bharti Infratel the Record date is mentioned as 16 June 2016. In this case if I buy shares of Bharti Infratel on 14th June 16 will I be eligible for the buy back. Will my shares that I have bought reach my Demat account by the Record date?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 14, 2016 at 4:33 pm](#)

It will on 16th EOD and reflect in your holdings on 17th morning.

[Reply](#)

460.  *ASHISH SODHI* says:
[June 4, 2016 at 11:34 am](#)

Hi, is the record date always after the dividend declaration date?

[Reply](#)

◦  *Karthik Rangappa* says:
[June 5, 2016 at 5:25 am](#)

Yup.

[Reply](#)

461.  *Vishal Saini* says:
[June 4, 2016 at 10:05 am](#)

Could you explain how bonus issue and stock split are beneficial for both parties company as well as shareholders???

Thanks for putting all this information so nicely...:)

[Reply](#)

◦  *Karthik Rangappa* says:
[June 5, 2016 at 5:25 am](#)

With bonus issue, the number of shares increase, the price of the share decreases...this would lead to higher liquidity. Higher liquidity means more trading, reduced volatility. Reduced volatility means less pain to investors. These are advantages for both the company and shareholders.

[Reply](#)

462.  *Sai Sreedhar* says:
[June 2, 2016 at 12:26 pm](#)

Is there any special advantage buying a company stock after they have announced Split/Bonus? I see a lot of buying in recent days after companies have announced Bonus/Split.

[Reply](#)

◦  *Karthik Rangappa* says:
[June 2, 2016 at 12:41 pm](#)

Not really, as it does not make any material difference to your investments.

[Reply](#)

463.  *Sainudheen* says:
[May 30, 2016 at 1:47 pm](#)

Sir,

After Bonus issue of any particular company suppose 1:1 ITC 100 shares @320 , Our share would double (100 become 200)and price become half(160) right.

But that time market value would be 330, so what ever bonus we are getting can we sell with profit, I mean in this Example can i sell it in 200@330

[Reply](#)

-  *Karthik Rangappa* says:
[June 1, 2016 at 6:10 am](#)

The stock split and increase in shares happen simultaneously so there is no scope for that 😊

[Reply](#)

464.  *D. Omprakash* says:
[May 30, 2016 at 2:45 am](#)

IF A COMPANY ANNOUNCED BONUS SHARES SAY 1:2 AND SHARE PRICE IS 380 THEN AFTER GETTING BONUS SHARES THEN PRICE OF THE SHARE CONVERTED TO 180 OR LESSER THAN THAT OR REMAINS THE SAME PRICE 380 WITH 1 BONUS SHARES

[Reply](#)

-  *Karthik Rangappa* says:
[May 30, 2016 at 5:14 am](#)

Share price will be reduced by half.

[Reply](#)

465.  *D. Omprakash* says:
[May 30, 2016 at 1:49 am](#)

Hi Nithin

My name is D.Omprakash. ID:DO0042. I have some query on record date. eg: ITC announces record date on 06/15/2016 and bonus shares 2:1 If i purchase itc shares on 30/05/2016 then bonus shares will get credited to my account?

[Reply](#)

-  *Karthik Rangappa* says:
[May 30, 2016 at 5:14 am](#)

Yes, you should be eligible for the bonus.

[Reply](#)

466.  *Sainudheen* says:
[May 27, 2016 at 1:42 pm](#)

Sir,

Have a doubt on Bonus shares, suppose i have a 100 shares of ITC @320 , company issued a bonus 1:1 after my shares number would be 200 shares @320 rs or 200 shares @160 rs.

My doubt is why share price will decrease after bonus issue,

Thanks

[Reply](#)

-  *Karthik Rangappa* says:
[May 28, 2016 at 2:22 pm](#)

Yes, share price will decrease and number of shares increase. But your investment amount will be the same. In your example it would be 200 shares @ 160.

[Reply](#)

467.  *Lakshmi* says:
[March 16, 2016 at 4:26 pm](#)

Sir since the no of shares increases in both bonus and stock split , doesn't the intrinsic value of the company decrease ? Should we consider this while calculating the IV ?

[Reply](#)

o  *Karthik Rangappa* says:
[March 17, 2016 at 9:16 am](#)

If you are referring to intrinsic value in terms of fundamental valuation, then it wont change.

[Reply](#)

■  *Lakshmi* says:
[March 17, 2016 at 11:43 am](#)

But in the calculation of the IV in DCF method we use the no of shares . Since the no of shares is increasing shouldn't the IV too decrease ?

[Reply](#)

■  *Karthik Rangappa* says:
[March 19, 2016 at 1:55 pm](#)

Well, the number of shares is multiplied by share price, so the valuation remains the same. Also, thing about this – if by means of corporate actions the company's valuation decreases, then why would corporate even do it 😊

[Reply](#)

468.  *SARAVANA PERUMAL D* says:
[March 6, 2016 at 2:15 pm](#)

Hi Karthik,

One more doubt for me. The dividend query available on tradingqna forum stated that for Ex-dividend date & Record Date as below shown:

Ex-Date or Ex-Dividend Date: As the name suggests, Ex-Dividend date is the date on which the stock trades without the dividend included in it. Normally the price of the stock will drop to the extent of the dividend declared on the ex-dividend date. You will have to ensure that you buy the stock before the Ex-Dividend date to be eligible for the dividends. Important: You will NOT get the dividend in case you are buying the stock ON the ex-dividend date.

Record Date: Normally there's a certain amount of time involved between when the shareholder's buy stock and when their names are registered in the company's records. Dividends are paid to shareholder's whose names appear in the company's records as on the Record date.

Record date is normally 3-4 days after the ex-dividend date. If you buy the stock by Ex-Date, you can expect your name to be in the Company's record by the Record Date.

Query:

The above both of the statements are confuse to me.

One is "You will NOT get the dividend in case you are buying the stock ON the ex-dividend date." in ex-dividend date.

And another one is "If you buy the stock by Ex-Date, you can expect your name to be in the Company's record by the Record Date".

My doubt is, if I buy the stock on ex-dividend date. Am I eligible for dividend or not?
Then, why the record date is come on this term? And some company not defines the record date? Why?

I see the money control link some not shown the record date:
http://www.moneycontrol.com/stocks/marketinfo/dividends_declared/

Thanks in advance

[Reply](#)

- o  *Karthik Rangappa* says:
[March 6, 2016 at 6:36 pm](#)

Settlement happens on a T+2 basis, so even if you buy on Ex dividend date, your name will not reflect in Record date.

[Reply](#)

469.  *SARAVANA PERUMAL D* says:
[March 6, 2016 at 12:39 pm](#)

Hi Karthik,
If the Dividend, bonus, Right, Stock split and Merge & Acquisition on the F&O segment stock. Then, What happen on the price of Future market & Option premium.

Thanks in advance.

[Reply](#)

- o  *Karthik Rangappa* says:
[March 6, 2016 at 6:33 pm](#)

They will react accordingly. Will probably put up a chapter in Futures module discussing the effect of corporate actions on Derivative instruments.

[Reply](#)

-  *SARAVANA PERUMAL D* says:
[March 7, 2016 at 3:23 am](#)

Hi Karthik,

Can you please give me the link. I cann\'t find it on that future module. which chapter?

Thanks in advance.

[Reply](#)

-  *Karthik Rangappa* says:
[March 7, 2016 at 5:53 am](#)

Its not available as of now, we plan to write it sometime in the future 😊

[Reply](#)

470.  *Rajasekhar* says:
[March 3, 2016 at 6:33 am](#)

Hi, I have bought prakash steelage stock on 2nd March 2016 – stock gets splitted into 1:10 and will i get the benefit of the stock split or not.. If not it would be loss ?

THanks,
Raj

[Reply](#)



- o *Karthik Rangappa* says:
[March 3, 2016 at 8:47 am](#)

You will get additional shares in the ratio of 1:10...the same will be credited to your DEMAT account on Ex date.

[Reply](#)



- 471. *venki* says:

[February 18, 2016 at 10:17 am](#)

Hi

Thanks for sharing info. I need some more details on buyback. What will be the record and ex-date in case of buyback of shares? Could you please elaborate

[Reply](#)



- o *Karthik Rangappa* says:
[February 19, 2016 at 6:55 am](#)

I suppose you are asking this wrt to Dr.Reddy case. The record and ex dates would be as per companies buy back policy.

[Reply](#)



- 472. *Satheesh A. M* says:

[February 10, 2016 at 11:04 am](#)

Systematically designed notes ! I appteciate your efforts ! Thank you !

[Reply](#)



- o *Karthik Rangappa* says:
[February 10, 2016 at 3:24 pm](#)

Thanks and I\'m glad you liked them 😊

[Reply](#)



- 473. *suresh* says:

[February 8, 2016 at 10:44 am](#)

Hi sir,

how can we get instant news update of GDP and other inflation data for global and india
is there any web links?

[Reply](#)



- o *Karthik Rangappa* says:
[February 8, 2016 at 11:27 am](#)

If you want it instantly then you will have to subscribe to either Bloomberg, Reuters, or cogenics.
If you are ok with delayed information then this should help – <http://pulse.zerodha.com/>

[Reply](#)

474.  *Ranjani* says:
[January 15, 2016 at 5:19 pm](#)

Sir,

What may be the date of Board Meeting for issue of Bonus Share. Also please explain Board Meeting/ AGM date, Record date, ex-bonus date, bonus issue date etc... with example.

[Reply](#)

o  *Karthik Rangappa* says:
[January 16, 2016 at 10:32 am](#)

Its all explained in the chapter itself Ranjani!

[Reply](#)

475.  *abhishek sah* says:
[January 2, 2016 at 6:09 am](#)

so we are in a no loss no gain situation in case we are given the dividends, because however the stock price will drop down to the equivalent amount. Or is there something that i am missing?

[Reply](#)

o  *Karthik Rangappa* says:
[January 4, 2016 at 5:22 am](#)

Dividend yield is quite low...think of the dividends as the rental income you get on your apartment and the apartment itself as an investment in your stock.

Works on similar lines.

[Reply](#)

476.  *Surdev* says:
[December 6, 2015 at 8:15 am](#)

Sir I cannot understand why the price of the stock should compulsorily go down when the company announces a dividend. Please elaborate . T

[Reply](#)

o  *Karthik Rangappa* says:
[December 7, 2015 at 6:33 am](#)

When you pay dividends (on a per share basis) cash is taken out from the company, this gets adjusted on a per share basis hence the stock price declines to the extent of the dividend paid.

[Reply](#)

■  *Swapnil* says:
[March 11, 2019 at 9:54 pm](#)

Suppose I took dividend based trade like.. If company declared 11rs Dividend.. If I bought the share before ex.date @145. on ex date company adjusted share price by 11rs..so new price is 134.. So what will be my profit in this case??

[Reply](#)

-  *Karthik Rangappa* says:
[March 12, 2019 at 4:46 pm](#)

You will earn the dividend amount.

[Reply](#)

477.  *Milan* says:
[October 22, 2015 at 7:32 am](#)

Hello sir,
thanks for this excellent article.
my doubt is based on split. suppose face value is rs. 1
and i have 10 shares of ABC Company.
Company announced split shares 1:1. then i will get 20 shares.
so now face value will be 0.5 ?
on every split year after year, at what lower price face value can go ?
it may touch 0.05 ?
is there any rules for Face Value ?

[Reply](#)

-  *Karthik Rangappa* says:
[October 26, 2015 at 5:15 am](#)

Rs.1 shares cant be split further. Usually companies in such situations give out bonus shares.

[Reply](#)

478.  *Joseph* says:
[October 9, 2015 at 4:46 am](#)

Dear Sir,

Suppose a company declares bonus and dividend. Ex-date for the bonus and dividend is on the same day, will investors receive dividend on shares held as on exdate-1day as well as bonus shares?
Example: Comapny ABC declares bonus 1:1 and dividend 20%. Suppose an Investor holds 1000 shares in ABC on exdate-1day, how much dividend will the investor receive?

$1000 * 10\% = 100$

OR

$2000 * 10\% = 200$ (Including bonus)

Regards,
Joseph

[Reply](#)

-  *Karthik Rangappa* says:
[October 9, 2015 at 5:50 am](#)

Joseph it will be either 10% on 1000 or 5% on 2000.

[Reply](#)

-  *Joseph* says:
[October 9, 2015 at 6:51 am](#)

Thanks Sir, how do companies normally announce... 10% or 5% in this case

[Reply](#)

-  *Karthik Rangappa* says:
[October 11, 2015 at 6:13 am](#)

Joseph – this depends on the profitability of the company.

[Reply](#)

-  *Joseph* says:
[October 11, 2015 at 2:38 pm](#)

Sir, what i am asking here is, if my example is a real scenario whether the company will announce dividend of 5% on 2000 or 10% on 1000?

-  *Karthik Rangappa* says:
[October 13, 2015 at 12:29 pm](#)

Ah ok, got it – its upto the company to decide this and as far as I know, there are no set rules for this.

479.  *Aditya* says:
[September 26, 2015 at 11:53 am](#)

How did the investor get profit if in the example ITC trading at Rs. 335 declares dividend of Rs. 5 in AGM and next day price go down to Rs. 330 and on dividend payout date he got dividend. Value of the investment will remain same.

[Reply](#)

-  *Karthik Rangappa* says:
[September 26, 2015 at 2:03 pm](#)

Not sure where I have mentioned '\profit\'...but anyway, dividend is tax free...so in a sense its advantageous for the investor to have a tax free income.

[Reply](#)

480.  *sudeshnabora* says:
[September 2, 2015 at 8:01 am](#)

What is the difference between FV (face value) of a share and share price (please refer the table in stock split)?

[Reply](#)

-  *Karthik Rangappa* says:
[September 3, 2015 at 6:10 am](#)

Face value is like a nominal value that the company assigns to the stock..usually Rs.10 or Rs.5. Share price is the value market assigns to the companies ...so its market driven.

[Reply](#)

-  *sudeshnabora* says:

[September 3, 2015 at 6:19 am](#)

So, when we trade. We trade by share price or face value?

[Reply](#)

-  *Karthik Rangappa* says:
[September 3, 2015 at 7:40 am](#)

Share price.

[Reply](#)

481.  *Ajinjay* says:
[July 31, 2015 at 12:32 pm](#)

Hi,

In rights issue how early can I sell my existing shares and be still be able to qualify for rights issue. Is it ex-rights date or record date. In other words if I sell my shares on record date will I still qualify for rights issue (b'coz settlement happens at T+2)?

Thanks

[Reply](#)

-  *Karthik Rangappa* says:
[August 2, 2015 at 5:34 am](#)

You need to be a shareholder on Ex day in order to be eligible for any corporate action. For all practical purposes it is advisable to hold the shares till record date.

[Reply](#)

482.  *Ravikanth* says:
[July 29, 2015 at 11:22 am](#)

Thanks for this initiative!

One doubt I have is, are the bonus shares taken from unreserved pool.

Going to the example in the earlier chapters, say 50% of shares are held by Promoter, VC's, PE's and 30% is owned by public.

So these bonus shares come out of the remaining 20%?

[Reply](#)

-  *Karthik Rangappa* says:
[July 30, 2015 at 5:32 am](#)

Bonus shares are usually issued from the free reserves of the company.

[Reply](#)

483.  *prasad sarwate* says:
[July 19, 2015 at 7:00 am](#)

thanks sir!!!!!!!

[Reply](#)

484.  *prasad sarwate* says:

[July 19, 2015 at 3:52 am](#)

so sorry to disturb you,sir but you haven\'t answered my above question.waiting eagerly for your answer

[Reply](#)



- o *Karthik Rangappa* says:
[July 19, 2015 at 4:36 am](#)

Sorry I seem to have missed your question, thanks for the reminder. Yes, you are supposed to get Rs.150 upon maturity....unless the issuer defaults. Defaulting on a bond payment is a major issue and will have a severe -ve repercussions...so most companies attempt not to default on their bond payments. I suppose you can hold few bonds (listed on exchanges) in DEMAT form.

[Reply](#)



485. *prasad sarwate* says:
[July 13, 2015 at 7:15 am](#)

yes,i can get the inverse relationships sir,wrt the bond prices and interest rates but then assuming,i was about to get 150rs on maturity of a 100rs.bond after 10yrs.now,in the 10th year,for some reason the bond price goes down;will i get the same 150 rs as promised to me(that\'s wat the bond means) or will i get according to the prevailing market conditions.pls explain this sir and thanks a ton for ur earlier replies.also tell me can bonds be bought from the same trading a/c????

[Reply](#)



486. *prasad sarwate* says:
[July 12, 2015 at 8:15 am](#)

sir,how does a debenture gets traded on the stock market.i mean,what to make out of a certain japanese bonds loosing its sheen on the wake of the greek crisis.if it\'s a debt instrument shouldn\'t it mean that i issue a bond of 10rs. say for 10yrs.so i get 10 rs from u now and after 10yrs i owe u 12 rs.isn\'t this the way how the debt market works jus like in paying interest and settling the debt.how do the bond prices fluctuate then.what happens to the bondholders in such a scenario and wouldn\'t it be just as risky as equities????so sorry to disturb u but i cant seem to get it

[Reply](#)



- o *Karthik Rangappa* says:
[July 13, 2015 at 6:47 am](#)

Bond prices are influenced by the prevailing interest rate in the economy. They are inversely proportional...so rate go up, price comes down and vice versa. So yes, bonds are also risky..but much less risky than Equities.

[Reply](#)



487. *prasad sarwate* says:
[July 12, 2015 at 7:14 am](#)

sir,what\'s the job of the face value of a share.what does it actually indicate given the fact the share price is different.is it that it\'s only importance is during the stock splits or the face value determines the quality of a stock.pls explain why to have a face value in the first place and how is it determined????

[Reply](#)

- o  *Karthik Rangappa* says:
[July 13, 2015 at 6:44 am](#)

Prasad – for all practical purposes FV is useful only for corporate actions. However when you get into valuations, there are other uses of FV. Have discussed the same here – <http://zerodha.com/varsity/chapter/equity-research-part-2/>

[Reply](#)

488.  *prasad sarwate* says:
[July 11, 2015 at 6:06 am](#)

sir, it would be glad if you introduce a module on all the terms in the company's balance sheet and how to perceive them just to gauge an idea abt how good a company's position is which goes a long way in determining whether to buy a stock or not. asking a tad too much but wud be very much helpful and we r not left stranded at the mercy of pseudo stock gurus!!!

[Reply](#)

- o  *Karthik Rangappa* says:
[July 12, 2015 at 4:17 am](#)

Prasad in fact we have gone beyond the jargons and explained everything you need to know about Balance Sheet, P&L, and cash flow. Have you checked this module ? – <http://zerodha.com/varsity/module/fundamental-analysis/>

[Reply](#)

489.  *Sumeet* says:
[July 9, 2015 at 10:43 am](#)

In one of the comments you mentioned the following..

1. Benefits of M&A – as a result of which you may end up getting shares of other companies
2. Bonus Debentures – As in the current case of NTPC

Can you elaborate on these topics as i could not understand..
Thanks..

[Reply](#)

- o  *Karthik Rangappa* says:
[July 10, 2015 at 5:15 am](#)

When a M&A happens two companies agree to work together and leverage their synergies. For example PVR and Cinemax went through a merger...when it happened they both agreed to swap shares in a certain ratio. So shareholders of PVR were given Cinemax shares and vice versa.

Regarding NTPC – they issued bonus debentures...usually companies give bonus shares but NTPC issued bonus debentures...which is usual. Check this http://www.business-standard.com/article/markets/ntpc-bonus-debenture-issue-is-a-win-win-for-all-stakeholders-115031300183_1.html

[Reply](#)

490.  *Joseph Rodrigues* says:
[June 23, 2015 at 3:46 am](#)

Dear Sir,

How does a merger of two or more stocks impact Holdings and Investment cost under '\All Stock\'', '\All Cash\' and '\Stock and Cash combined\'?

How does an acquisition of a stock impact Holdings and Investment cost of original as well as acquired stock.

Thank you Sir.

[Reply](#)

- o  *Karthik Rangappa* says:
[June 23, 2015 at 5:17 am](#)

Joseph – This is a highly elaborate topic and I'm afraid I cannot give you a straight forward answer here – maybe we should have a module on M&A on Varsity sometime soon 😊

[Reply](#)

-  *Joseph Rodrigues* says:
[June 23, 2015 at 7:29 am](#)

That's fine sir, will be waiting for your write up 😊

[Reply](#)

-  *Karthik Rangappa* says:
[June 24, 2015 at 4:40 am](#)

Thanks for your patience Joseph!

[Reply](#)

491.  *Ganesh* says:
[May 25, 2015 at 6:30 pm](#)

A Question

Following your example if a stock with a market value of 100 announces bonus in the ratio of 1:1, its share price should become half ,i.e., 50.

But when I checked the graphs of a few stocks on moneycontrol I found out that this is not happening. Infosys declared bonus(in the ratio of 1:1) on 2 Dec 2014 and its price on 3 Dec fell just by a mere 5 points instead of halving!!!!

Also Wipro declared dividend(of 250%) on 22 Jan but instead of falling its prices actually rose the next day(and not just the next day, they rose for the next few days for that matter and reached its 52 week High!).

I don't seem to get it. Do these things happen only in theory or am I missing something?

[Reply](#)

- o  *Karthik Rangappa* says:
[May 26, 2015 at 4:54 am](#)

Ganesh – There are two things you need to evaluate when looking at bonus issues. (1) The date they make the announcement (2) The record date. The announcement date is the day the company comes out in the open and suggests that it will pay a bonus. While the record date is the actual day of implementation. The stock price will go down by the required amount on the record date and not really the announcement day. So next time a company makes a bonus announcement, do make sure you check the record date as well.

The dividends announcement is usually made on the face value of the company (FV). So in Wipro's case 250% dividend on its FV of Rs.2 is just Rs.5/-...so that does not really impact the stock much. Hence the stock will move in accordance to the general market sentiment..which in case of Wipro seems to be bullish. Hence the stock continued to rally.

[Reply](#)



■ *Ganesh* says:

[May 26, 2015 at 5:38 pm](#)

Ok Now I get it. Thanks for the clarification, but after rechecking I found out that the stock price of Infosys did fall before the declaration date but still it fell from 2180 to 1920(approx values). This was a mere fall of 210 points. In theory, it should actually become half(1040 in this case). So can a bullish market sentiment be so strong that it can convert a 1040 points (theoretical) reduction in the MV to a mere 260 points reduction in the market value? Or is it that I am missing something again?

[Reply](#)



■ *Karthik Rangappa* says:

[May 27, 2015 at 5:03 am](#)

A bullish market sentiment can help the stock bounce back immediately from the split value. For example if the stock price is supposed to be 1040, then a bullish market can help the stock bounce back from 1040 to whatever value. Nevertheless the low of 1040 will be seen on the charts.

[Reply](#)



492. *tarun* says:

[May 23, 2015 at 6:52 pm](#)

Dear Karthik

if share price less than FV what should be do mean we should buy stock or not?

[Reply](#)



○ *Karthik Rangappa* says:

[May 24, 2015 at 9:54 am](#)

Stock can go below the FV – usually happens when the sentiment in the stock goes very low. If its a good stock but a temporary negative sentiment then you can buy the stock with a hope it will bounce back...otherwise you should avoid. However you also need to develop a sense to identify good business..you will need Fundamental Analysis for this .

[Reply](#)



493. *tarun* says:

[May 21, 2015 at 5:31 pm](#)

Thanks Karthik



494. *tarun* says:

[May 20, 2015 at 7:37 am](#)

if record date of bonus share issue and i sell share before record date i will get bonus share or not

[Reply](#)

- o  *Karthik Rangappa* says:
[May 21, 2015 at 5:29 am](#)

Nope you will not get. You need to be a shareholder on record day for you to be eligible for bonus shares.

[Reply](#)

495.  *nihaal* says:
[April 15, 2015 at 6:20 pm](#)

i guess share price doesn't change after bonus issue as the additional capital is from reserves of the company?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 17, 2015 at 5:25 am](#)

It does nihaal. Assume you hold 100 shares at Rs.50. Your investment here is Rs.5000/-. Now assuming the company issue 1:1 bonus you will now hold 200 shares. If the share price does not change then you will have $200 * 50 = \text{Rs.}10,000/-$ which cant happen. So the share price has to proportionately come down. So you will have $200 * 25 = \text{Rs.}5000/-$.

[Reply](#)

-  *Madhavi Harshala* says:
[October 25, 2018 at 9:05 am](#)

Hi,

I have a few doubts regarding Bonus issue.

1) I understand bonus issue mechanism to be similar to follow-on-public offer except that the new shares are issued to the existing shareholders in proportion to their holdings. Now, if the stock price in case of bonus issue halves(in case of 1:1 bonus) only on account of EPS getting reduced, why is it not the case with FPO.

2) And how the company arrives at the total number of bonus shares to be distributed. Suppose we have x amount of reserves capitalised, then bonus shares = $x/\text{stock price}$, the stock price being market value of stock, Is this how it is decided?

[Reply](#)

-  *Karthik Rangappa* says:
[October 25, 2018 at 12:12 pm](#)

1) Even with an FPO, the equity base increases which dilutes the EPS further.

2) I'm not sure if there is a formula to arrive at this, I think this is more to do with the board's decision.

[Reply](#)

-  *Madhavi Harshala* says:
[October 25, 2018 at 2:49 pm](#)

Thanks for the reply.

-  *Karthik Rangappa* says:

[October 26, 2018 at 11:10 am](#)

Happy learning!

496.  *krushna* says:
[March 16, 2015 at 5:18 pm](#)

Sir , as paying dividend is optional for a company , what other benefits does shareholder gets if he do not intend to sell his share (assuming company does not declare any dividend in a particular year)?

[Reply](#)

o  *Karthik Rangappa* says:
[March 17, 2015 at 4:45 am](#)

Other benefits can include –

- 1) Capital appreciation
- 2) Bonus, Rights, Stock Split
- 3) Benefits of M&A – as a result of which you may end up getting shares of other companies
- 4) Bonus Debentures – As in the current case of NTPC

[Reply](#)

■  *krushna* says:
[March 17, 2015 at 5:53 am](#)

thank you.

[Reply](#)

■  *Karthik Rangappa* says:
[March 18, 2015 at 5:39 am](#)

WC 😊

[Reply](#)

497.  *shinde N D* says:
[February 27, 2015 at 3:03 am](#)

Important note read every one thank s.....

[Reply](#)

498.  *shinde N D* says:
[February 27, 2015 at 3:02 am](#)

Important note read every one thank

[Reply](#)

499.  *anil* says:
[January 20, 2015 at 3:55 pm](#)

Hi Karthik,
 I want to know suppose i have bought Nifty Options using a limit order or market order and later-on can i place a pending stop loss limit or market order?

[Reply](#)

- o  *Karthik Rangappa* says:
[January 21, 2015 at 9:20 am](#)

I'm assuming you are referring to the sq.off order. Yes, you can.

[Reply](#)

500.  *Manoj* says:
[January 14, 2015 at 11:05 am](#)

1)should the stock be in my demat before ex-date or am i entitled to dividend if i purchase the share 1 day before ex date??
2)Am i entitled to a dividend if i sell it after exdate and before record date

[Reply](#)

- o  *manoj* says:
[January 14, 2015 at 11:08 am](#)

*2)Am i entitled to a dividend if i sell it on exdate

[Reply](#)

-  *Venu Madhav* says:
[January 15, 2015 at 10:37 am](#)

1) You'll have to buy the Stock before ex date to receive dividends. If you buy stocks before ex date, the stocks will be in your account by Record date.
2) Yes, you'll get dividends if you sell on Ex-date.

Here's a link which explains the whole dividend flow: <http://tradingqna.com/639/shares-dividend-announcement-receive-dividend-what-record?show=639#q639>

[Reply](#)

501.  *kay kay* says:
[January 11, 2015 at 7:14 am](#)

Hi sir,
where do we find street expectation data of a company before announcement?
and how do we know the result exceed expectation or not on announcement day

thank u sir

[Reply](#)

- o  *Karthik Rangappa* says:
[January 12, 2015 at 1:15 am](#)

Check this – <http://www.moneycontrol.com/earnings/>. Not for all companies , but at least for the top 100 ones.

[Reply](#)

502.  *krishnasai* says:
[December 5, 2014 at 5:49 am](#)

Hi Karthik,

Based on your explanation to VISHVENDRA89, when shares were split in 1:5 ratio...number of shares after split should be 600 and price should be 150..isnt it so? one more doubt is when will company decide to go for Bonus shares and when for stock split....i know there will not be hard and fast rules but on what basis....thanks for your prompt replies to all of questions over here....

[Reply](#)



- o *Karthik Rangappa* says:
[December 6, 2014 at 5:49 am](#)

Yes, the number of shares will be 600 (100 + 500) and the price will be reduced by 1/5th. One of the common reasons for a bonus issue – swelling Reserves of the company. When the reserves starts increasing and the company accumulates a lot of cash they usually opt for a bonus issue. I guess the same thing happened with Infosys recently.

Splits are usually done to increase the liquidity of the stock. When stock price increases in optical value (like Eicher, MRF etc) it would be hard for retail participants to trade these shares. Hence companies opt for splits – to make it easier for retail traders, and thereby increase the liquidity.

[Reply](#)

503.  *Arbaz Jigri* says:

[December 4, 2014 at 7:15 am](#)

Awesome stuff this is! Thanks so much for providing us this platform. Quick question Sir, what do you think about the recent RBI monetary policy?

[Reply](#)



- o *Karthik Rangappa* says:
[December 4, 2014 at 7:32 am](#)

Thanks Arbaz – Btw, you should check Mr.Deepak Shenoy's view on Macro Economic activities. He analysis is excellent – <http://capitalmind.in>

Specifically wrt to the recent rate cut –

<http://capitalmind.in/2014/12/rbi-keeps-rates-unchanged-will-wait-till-early-next-year/>

Hope this helps.

[Reply](#)

504.  *vishvendra89* says:

[November 29, 2014 at 6:51 am](#)

Hi, my query is , in case of stock split example, a ratio of 1:5 indicates that every stock splits into 5 ,for 100 shares you get 500, by following same logic , for a stock to split into 2 , shouldn't ratio be 1:2 vs as you have mentioned 1:1. thanks

[Reply](#)



- o *Karthik Rangappa* says:
[December 1, 2014 at 4:54 am](#)

1:1 indicates that for every 1 share you have, you are entitled for an additional share. Hence if you owned 10 shares before split, you'd now own 20 shares after split. Likewise in a 1:2 split, if the split is 1:2 then for every 1 share you own, you are entitled for additional 2 shares. Hence if you owned 10 shares you will get 20 additional shares taking your total ownership to 30 shares.

[Reply](#)



■ *Ashish Arora* says:

[April 1, 2015 at 11:45 am](#)

Mr. Karthik, As per your explanation on query of Mr VISHVENDRA89, we will receive 30 shares in case of 1:2 ratio stock split.

In that case figures mentioned in example of stock split 1:5 is wrong. New number of shares owned should be 600 and New face value should be 1.67.

Please check once again and confirm.

[Reply](#)



■ *Karthik Rangappa* says:

[April 3, 2015 at 6:36 am](#)

FV cannot be fractional, it has to be a whole number. Will look through the number again and get back on this.

[Reply](#)



○ *Amit* says:

[March 15, 2016 at 12:56 pm](#)

Hi , What you are saying is correct. There is nothing like 1:1 stock split. It should be 1:2. Typo error 😊

[Reply](#)



■ *Sahil* says:

[October 16, 2017 at 5:36 pm](#)

Yes Amit, Spot on with the typo. It should be 1:2

[Reply](#)



505. *Nathan* says:

[November 28, 2014 at 11:45 am](#)

Sir, I have some questions. If face value of a share comes to Rs. 1 after share split. So after this stage what that company will do for further liquidity increase. What kind of benefit we can get from them as a share holder by buying the shares at face value 1rs. for example TCS share is trading now at 2642.00 rs. Face value is 1rs. . What will they do to increase the liquidity after this? Is it safe to buy a share having face value 1 ? what steps they will take to increase more investors? Please answer this also. For long time investment which is safe ? a share having face value 10 or face value 1, apart from other factors.

[Reply](#)



○ *Karthik Rangappa* says:

[November 28, 2014 at 12:41 pm](#)

Nathan..liquidity is not really a function of the face value of a stock. Liquidity purely depends on the demand supply dynamics. Even when the FV reaches 1/-, the company can boost its liquidity

by issuing bonus shares. Yes, it is absolutely safe to invest in shares with FV of 1. It really should not matter as long the company is good (like TCS).

[Reply](#)



■ *Nathan* says:

[November 28, 2014 at 2:31 pm](#)

Thanks a lot sir, You cleared all my doubts. I am new to your site. Very good experience.

[Reply](#)



■ *Karthik Rangappa* says:

[December 1, 2014 at 4:49 am](#)

Good to know that Nathan 😊

[Reply](#)

506. *saxena.000* says:

[November 21, 2014 at 11:56 am](#)

Hi Karthik..

The example of stock split seems to be wrong, as the face value has become 2 from 10 that is one fifth , then the no of shares will be multiplied by 5 and rate will be divided by 5 . That implies if I was holding 100 shares of Rs 900 at face value 10 and new FV is 2 than my no of shares will become 500 and new rate will be 180 and my investment will remain the same.

[Reply](#)



○ *Karthik Rangappa* says:

[November 21, 2014 at 1:03 pm](#)

Thanks again! I have made the corrections 😊

[Reply](#)



○ *udit* says:

[November 21, 2014 at 2:57 pm](#)

can company declared dividend date and record date as a public ? So that trader can buy share for dividend? If yes how can i know dividend date?

[Reply](#)



■ *Karthik Rangappa* says:

[November 22, 2014 at 8:20 am](#)

In fact companies do declare this. You will have to keep track of this on a case to case basis.

[Reply](#)



■ *SARAVANA PERUMAL D* says:

[March 6, 2016 at 10:26 am](#)

Hi,

you'll check the upcoming split, Right, bonus and dividend event on this following link:
http://www.moneycontrol.com/stocks/marketinfo/dividends_declared/

[Reply](#)

-  *Aakash Pandey* says:
[September 18, 2018 at 9:38 pm](#)

Thanks for the link!

[Reply](#)

507.  *Silva* says:
[November 17, 2014 at 4:59 pm](#)

Sorry I didn't mean that, I should have put that as 1:5. Will a share holder get bonus if he holds 4 shares when the company declares 1 bonus for every 5 shares? If not, is there any money compensation for that 4 holding shares?

[Reply](#)

-  *Karthik Rangappa* says:
[November 18, 2014 at 6:15 am](#)

Well in that case it is quite evident – for every 5 shares you get 1 free. Clearly you wont be entitled to receive this if you have 4 shares. However, sometimes you do get a proportional 'fractional allotment' which can be sold back to the company for cash.

[Reply](#)

508.  *Silva* says:
[November 16, 2014 at 11:18 am](#)

How a 5:1 bonus will be issued, if a investor has 4 shares or 21 shares. Do the investor lose benefit for some shares in this case? If so, will that money be moved to share capital from surplus or not?.

[Reply](#)

-  *Karthik Rangappa* says:
[November 17, 2014 at 6:26 am](#)

A 5:1 bonus indicates 5 additional shares are being issued for every 1 shares. If the investor has 4 shares (before issue), he would get 20 additional shares, likewise if you held 21 shares.

[Reply](#)

509.  *Raju Shinde* says:
[November 16, 2014 at 6:34 am](#)

"Only shareholders who own the shares before the ex dividend date are entitled to the dividend." If I bought the shares 4 days before the AGM and sell on AGM day, still I am entitled to get the dividend?

[Reply](#)

-  *Karthik Rangappa* says:
[November 17, 2014 at 6:13 am](#)

No Sir. In fact AGM is when the decision on any corporate actions (bonus, dividend, stock split etc) is taken. For you to enjoy the benefit, you need to be a shareholder by the record date.

[Reply](#)



■ *Harish says:*

[December 19, 2014 at 2:36 am](#)

So if I buy it before AGM and sell it after record date, am I eligible for dividend?

[Reply](#)



■ *Karthik Rangappa says:*

[December 19, 2014 at 5:40 am](#)

Yes Sir, you will be.

[Reply](#)



■ *Dinesh says:*

[May 7, 2015 at 6:16 pm](#)

if I buy shares of company 3 days before record date, am I eligible for bonus issue?



■ *Karthik Rangappa says:*

[May 8, 2015 at 4:48 am](#)

Yes you will be eligible as long as you hold the company's shares before the record date.



■ *Sudhish says:*

[March 21, 2017 at 6:04 pm](#)

Sir, if I buy after AGM but before EX date , then will I get the benefit ?



■ *Karthik Rangappa says:*

[March 22, 2017 at 1:07 pm](#)

Yes, you will.



510. *Vinay says:*

[November 15, 2014 at 8:21 pm](#)

Hi,

Thanks for the great initiative by zerodha.

Its really helpful.

I have a doubt on these topics- bonus issue and stock split.

In both the cases the number of shares we are holding increases but the value remains the same?

Except the face value decreases by stock splits.

Are there any other differences between bonus issue and stock split.

Please explain.

Thanks.

[Reply](#)

- o  *Karthik Rangappa* says:
[November 17, 2014 at 6:07 am](#)

Yes, the investment value remains the same. In stock split, the Face value reduces and in Bonus issue it does not. In both the cases. This helps in realizing a higher dividend value.

[Reply](#)

-  *Raghavendra* says:
[June 4, 2015 at 2:09 pm](#)

How does Stock Split and Bonus shares help us realize more dividend value.

According to my understanding,

Consider before Stock Split FV of a XYZ share is 10. Dividend announced would be 1000% ie Rs 100 per share. After Stock Split FV would be 5 and 2X shares. Dividend announced would be 1000% ie $5 \times 2 \times 10 = 100$ for 2 shares. Dividend would not increase right.

In case of Bonus since FV does not decrease the Dividend realization increases right?.

[Reply](#)

-  *Karthik Rangappa* says:
[June 5, 2015 at 5:26 am](#)

That right. Maybe I need to rewrite this bit. But there is another angle here – capital appreciation, especially for companies with strong capital structure and business model. For example Relaxo Footware was trading around 800 in early 2014..the stock split and the value dropped to 175. The number of shares increased and the stock continued to rally...its back to 800 now, so in the whole process massive wealth has been created. This is one of the advantages of stock split.

[Reply](#)

-  *VRN* says:
[September 22, 2017 at 11:27 am](#)

Hi,

Here I am not able to understand $5 \times 2 \times 10$. What is 10 in this case ?

[Reply](#)

-  *Karthik Rangappa* says:
[September 23, 2017 at 12:45 pm](#)

Face value?

-  *tanmay* says:
[April 3, 2018 at 10:07 am](#)

Hi Karthik,

Please mention this is the module, in case of stock split the face value also splits, while in case of bonus shares the face value remains the same. Otherwise both look exactly the same just the name difference.

And thanks I have been confused for a long time about these, only came to know from the comments.

[Reply](#)

-  *Karthik Rangappa* says:
[April 3, 2018 at 11:09 am](#)

Is that not mentioned already? If not, I will plug that in. Thanks for pointing, Tanmay.

[Reply](#)

511.  *mrsukesh@gmail.com* says:
[November 7, 2014 at 2:16 pm](#)

How can we call the Bonus Issue as a reward to shareholders when the value of investment is not increasing?

Thanks

[Reply](#)

-  *Karthik Rangappa* says:
[November 7, 2014 at 3:34 pm](#)

With the Bonus issue the number of shares increases, this means when dividends are issued you earn more money 😊

[Reply](#)

-  *Ankit Jain* says:
[July 28, 2017 at 3:59 pm](#)

Does the Face Value remain the same on bonus issue?

[Reply](#)

-  *Karthik Rangappa* says:
[July 29, 2017 at 12:20 pm](#)

Yes, it does.

[Reply](#)

-  *Srihari* says:
[November 23, 2017 at 8:40 pm](#)

Karthik. first of all thanks for the info sharing. Really fantastic initiative. My question to your response for

So, what is the difference between Bonus issue and Stock Split? seems to be a very thin line.

- 1) The value of investment is not increasing in both cases.
- 2) The # of shares remains the same

So the difference is the change value remains same in Bonus issue and reduces in Stock split?

-  *Karthik Rangappa* says:
[November 24, 2017 at 3:13 pm](#)

Bonus issue – you get additional shares against what you already hold. This is also considered as a dividend in the form of new shares issued. The split is dividing the shares. Both cases number of shares increases, value remains the same.

512.  *DA2301* says:
[November 7, 2014 at 12:06 pm](#)

First of all many thanks for sharing knowledge in a format which everyone can understand. I have a doubt on your below impact on stock price due to dividend payment –
“When the stock goes ex dividend, usually the stock drops to the extent of dividends paid. For example if ITC (trading at Rs. 335) has declared a dividend of Rs.5. On ex date the stock price will drop to the extent of dividend paid, and as in this case the price of ITC will drop down to Rs.330. The reason for this price drop is because the amount paid out no longer belongs to the company.”
If this is so easy then will it not create a shorting opportunity just before the ex-dividend date if the dividend amount is significant?

[Reply](#)

-  *Karthik Rangappa* says:
[November 7, 2014 at 3:36 pm](#)

Thanks for your kind words.

With respect to shorting just before ex-dividend..its not so easy. Think about it, everybody attempts to do the same 😊

[Reply](#)

-  *Anant* says:
[June 22, 2015 at 10:46 am](#)

Not clear. Please elaborate.

[Reply](#)

-  *Karthik Rangappa* says:
[June 23, 2015 at 5:14 am](#)

When dividends are expected, the stock tends to dip to the extent of the dividend paid. This is a known fact and there is no edge shorting based on this expectation.

[Reply](#)

-  *Prateek* says:
[August 10, 2017 at 2:20 pm](#)

This is not the correct explanation Karthik. When you are shorting a cum-dividend stock and squaring off when the stock goes ex-dividend, you need to square off with the ex-dividend stock plus the dividend amount. Since you have to pay the dividend amount as well to square off, there is no gain.

To sell short you first must set up a margin account with your broker. A margin account allows you borrow from your brokerage company using the

value of your portfolio as collateral. The general rule is that the value of your portfolio must equal at least 50% of the size of the short sale transaction. In other words, If you have Rs. 100,000 worth of stock/cash in your margin account, you can borrow Rs. 200,000 of stock to sell short.

-  *Karthik Rangappa* says:
[August 11, 2017 at 10:31 am](#)

Prateek – are you talking about shorting in the spot or Futures market?

-  *Inderjit Singh Sood* says:
[September 3, 2018 at 1:54 am](#)

So what Prateek says, is it correct?

-  *Rakesh Kumar* says:
[September 10, 2017 at 3:53 pm](#)

How to keep a track or get to know about these dates in specific?

[Reply](#)

-  *Karthik Rangappa* says:
[September 11, 2017 at 10:40 am](#)

You will have to follow the news, Rakesh.

[Reply](#)

-  *narendra* says:
[July 31, 2018 at 11:53 pm](#)

dear sir its my humble request to you plz provide (I P O) facility in zerodha its self only this what we are missing for example i cant apply ipo from zerodha every time i need to go netbanking ..etc...

[Reply](#)

-  *Karthik Rangappa* says:
[August 1, 2018 at 11:24 am](#)

Narendra, this is the only way for now –
<https://support.zerodha.com/category/trading-and-markets/corporate-actions/articles/how-to-apply-for-ipos-and-how-to-stay-informed-of-new-ones>

[Reply](#)

-  *teena patidar* says:
[September 28, 2017 at 4:59 pm](#)

If someone bought shares of BEL yesterday (27th SEPT). will the shares be delivered with price adjusted for ex bonus. I mean deliveries for BEL yesterday were at 60% so all those who bought were already aware that tomorrow price will go down 10%.. so why they'd take such a risk ? I'm thinking that during delivery of these shares the price should be adjusted to ex bonus.. or is it not ?

Thanks in advance for the info.
Cheers!

[Reply](#)



- *Karthik Rangappa* says:
[September 29, 2017 at 11:12 am](#)

Its not really a risk as the prices are adjusted to the extent of bonus. SO there is no risk.

[Reply](#)



- *pradip* says:
[June 25, 2018 at 10:34 am](#)

how much time required for bonus share credit in demat account. ?

[Reply](#)



- *Faisal Mohammed* says:
[June 25, 2018 at 12:51 pm](#)

Pradip, it can take upto 15 days to get credited to your DEMAT Account (depends on the RTA handling the company's shares).
Check this article on the Support Portal for more

[Reply](#)



- *osman* says:
[January 20, 2018 at 7:54 pm](#)

I have a question wit regards to dividend...I some where read on google DAT stock price will get reduced to the extent of percentage declared...ex:if 300 price stock company declared 40% of face value 10...den stock price will reduced to 40%..which is Rs.120 ...is it true...plz provide some info...thanks in advance

[Reply](#)



- *Karthik Rangappa* says:
[January 21, 2018 at 10:29 am](#)

No, 40% is calculated on the face value. So that would be $40\% \times 10 = 4$. Hence, the stock price may reduce to $300 - 4 = 296$. However, you may not experience this for small dividend payouts. Happens when large dividends (special dividends) are paid out.

[Reply](#)

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